

ISO 9001:2015 CERTIFIED

WORK PROCEDURES

FOR

**LEGAL SERVICES AND
BOARD CO-ORDINATION
DEPARTMENT**

APRIL, 2023

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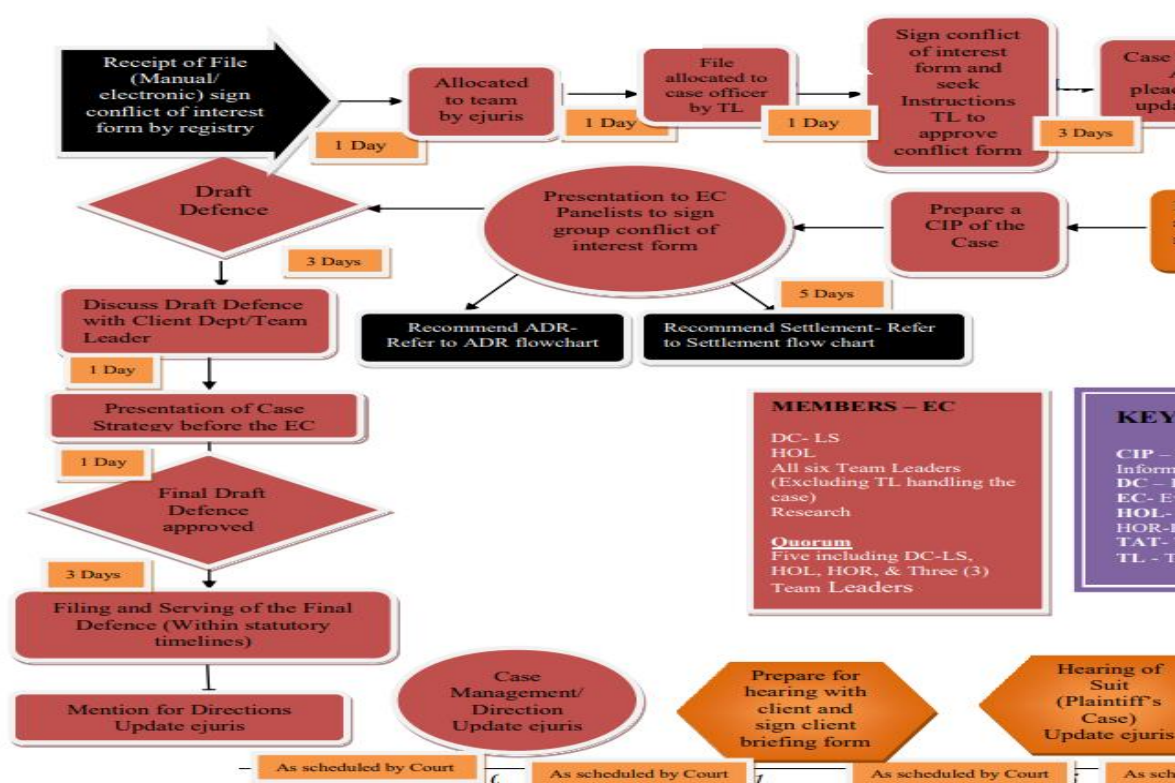
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1.0 FORWARD

In February 2015, the Board approved a new Organizational structure, which among others saw the creation of a new Department – The Litigation Services and Board Co-ordination Department, which comprises the Legal Services and the Board Co-ordination Divisions.

In July, 2017, the Corporate Tax Dispute Resolution function was ‘hived off’ from the Strategy, Innovation and Risk Management Department to the Legal Services and Board Co-ordination Department.

1.1 DEPARTMENT’S MANDATE

The Department is headed by a Commissioner who is also the Secretary to the Board.

1.1.1 BOARD AFFAIRS

Section 12 of the KRA Act (Act) provides for the appointment of the Secretary to the Board by the Board of Directors.

These entails:

1. Normal office administration.
2. Secretarial services to the Board.
3. Documentation of meetings/reports e.t.c.
4. Custody of:
 - (a) Legal and statutory documents and
 - (b) The Authority’s seal.

1.1.2 LITIGATION SERVICES

In line with the Kenya Revenue Authority Act, No. 2 of 1995 (now Cap 469 of the Laws of Kenya) the Division assists in carrying out the broader mandate as set out at Section 5 of the said Act to include:

1. Administration and enforcement of revenue laws and for that purpose assess, collect and account for all revenues in accordance with those laws;

2. To advise on matters relating to the administration of, and the collection of Government revenue.

The Revenue Laws that the Authority is required to administer and enforce are set out in the First Schedule to the Act.

Part I of the Schedule sets out the Acts under which the Authority is required to collect and account for all revenues on behalf of the central government.

These include:

- a. The Income Tax Act (Cap 470).
- b. The Customs & Excise Act (Cap 472).
- c. The Value Added Tax Act 2013.
- d. Road Maintenance Levy Fund Act (No. 9 1993).
- e. Air Passenger Service Charge Act (Cap 475).
- f. Entertainment Tax Act (Cap 479).
- g. East African Community Customs Management Act. (2004).

Part II of the Schedule sets out the Acts where the Authority collects revenue on behalf of other statutory bodies entitled to the revenues under various Acts and remits the collected revenue to the said bodies. Sometimes this is done in consideration for a stipulated commission.

These Acts include:

- a. Traffic Act (Cap 403).
- b. The Second-Hand Motor Vehicles Purchase Tax Act (Cap 484).
- c. The Civil Aviation Act (Cap 394).
- d. The Widows' and Children's Pensions Act (Cap 195).
- e. The Parliamentary Pensions Act (Cap 196).
- f. The Betting, Lotteries and Gaming Act (Cap 131).
- g. The Stamp Duty Act (Cap 480).
- h. The Sugar Act No. 10 of 2001.
- i. The Standards Act (Cap 496).

- j. The Standards Levy Order, 1990 (L.N. 267 of 1990).
- k. Kenya Airports Authority Act (Cap 395).
- l. The Horticultural Crops Development Authority (Imposition of Fees and Charges) Order 1995 (L.N. 225 of 1995).

1.1.3 CONVEYANCE AND LEGAL RESEARCH

The Division is mandated with:

- 1. Conveyancing, which entails the drafting and review of legal instruments; the charging and sale of immovable properties and levying of distress orders on the movable properties of defaulting taxpayers for tax recovery.
- 2. Legal Research including Analysis of court judgements and rulings; Provision of legal opinions and research reports; Stakeholder Engagement; Media analysis and proactive research and Participation in preparation & review of legislative budget proposals.

1.1.4 TAX DISPUTE RESOLUTION

The Division is mandated to:

- 1. Carry out an independent review of assessments.
- 2. Expedite the resolution of tax disputes.
- 3. Release revenue for early collection.
- 4. Improve and enhance customer relations through increased uptake of the Alternative Dispute Resolution process.

1.2 PROCESSES

To achieve its mandate, the Department has the following processes.

1.2.1 GENERAL

- 1. Normal Administrative work.
- 2. Documentation (Board and Management Committees and Top Management enquiries reports)

1.2.2 LITIGATION SERVICES DIVISION

1. Court Litigation.

1.2.3 CONVEYANCE AND LEGAL RESEARCH DIVISION

1. Conveyancing.
2. Legal Research and Opinions.

1.2.4 BOARD AFFAIRS DIVISION

1. Custody of the Authority's statutory records, legal documents and company seal.
2. Preparation of Board and Board Committee Minutes.

1.2.5 TAX DISPUTE RESOLUTION DIVISION

1. Independent Review of Objections.
2. Alternative Dispute Resolution.

1.2.6 OPERATIONS

1. Registry
2. Process Service
3. Administration.

2.0 WORK PROCEDURES FOR NORMAL ADMINISTRATION WORK

APPROVED BY _____ **DATE** _____

COMMISSIONER –

LEGAL SERVICES & BOARD

CO-ORDINATION DEPARTMENT

REVIEWED BY _____ **DATE** _____

CHIEF MANAGER –

OPERATIONS/

BOARD AFFAIRS

PREPARED BY _____ **DATE** _____

MANAGER – OPERATIONS

BUSINESS TRANSFORMATION OFFICE

ISO CHAMPION

2.1.1 AMENDMENT SHEET

ISSUE & REV. NO.	SUBJECT OF AMENDMENT	REVIEWED BY & SIGNATURE :	AUTHORIZED BY & SIGNATURE:	DATE
Issue 1	2.4			
Rev. 1	2.6			

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2.1.3 PURPOSE

The Unit normally receives internal and external correspondence as well as visitors and staff on administrative matters.

2.1.4 SCOPE OF APPLICATION

This is to be used at the Registry, by the Secretarial Staff and at the Operations Office.

2.1.5 DEFINITIONS

2.1.5.1 Correspondence

Communication by letters, memos, email to and from the Legal Services and Board Coordination Department.

2.1.5.2 Visitor

A member of the public seeking services in the department or a person paying a visit to the office

2.1.6 CROSS REFERENCES

1. The Kenya Revenue Authority Cap. 469 of the Laws of Kenya.
2. The Eighth Corporate Plan of the Kenya Revenue Authority.
3. The ISO 9001:2015 International Standards.
4. Kenya Revenue Authority Quality Management Systems Requirements.
5. Performance Contract of the Commissioner – Legal Services and Board Coordination (hereinafter referred to as Commissioner – LS & BC).
6. Departmental Risk Register.

2.1.7 RESPONSIBILITY FOR IMPLEMENTATION

The Commissioner– LS&BC shall be the owner of all the processes under this work procedure. Any amendments or overhaul of these procedures shall have the express approval of the Commissioner– LS&BC who is responsible for providing strategic leadership in the

formulation and implementation of strategies and policies for the Legal Services and Board Coordination functions as well as discharge the duties of the KRA Board Secretary.

2.1.7.1 LITIGATION SERVICES DIVISION

Deputy Commissioner – Litigation Services (hereinafter referred to as DC – LS) who in the absence of the Commissioner - LS&BC and upon delegation of the duties is responsible for the Department. He/She is responsible for overseeing the Functions and Operations of the Legal Services Division, providing and guiding all legal advice on matters affecting the Authority, preparation of legal documents, vetting of fiscal budget proposals and provision of litigation services.

Chief Manager – Litigation Services (hereinafter referred to as CM – LS) who is responsible for overseeing the Functions and Operations of the Litigation Section, provision of legal advice, preparation of legal documents and guiding litigation.

Manager – Litigation Services (hereinafter referred to as M – LS) who is responsible for the implementation of policy and strategy related to litigation as well as offering team leadership in litigation.

Assistant Manager – Litigation Services (hereinafter referred to as AM – LS) who is responsible for providing litigation services on matters affecting the Authority and follow up on compliance with Court orders.

Supervisor – Litigation Services (hereinafter referred to as S – LS) who is responsible for providing litigation services on matters affecting the Authority.

Officer – Litigation Services (hereinafter referred to as O – LS) who is responsible for providing litigation services on matters affecting the Authority.

2.1.7.2 CONVEYANCE AND LEGAL RESEARCH DIVISION

Chief Manager – Conveyance (hereinafter referred to as CM – C) who is responsible for the implementation of policy and strategy related to Conveyancing as well as offering team leadership in the Conveyancing function.

Chief Manager –Legal Research (hereinafter referred to as CM – LR) who is responsible for the implementation of policy and strategy related to Legal Research as well as offering team leadership in the Legal Research function.

Manager – Conveyance (hereinafter referred to as M – C) who is responsible for ensuring effective management and implementation of strategy related to Conveyancing function.

Manager – Legal Research (hereinafter referred to as M – LR) who is responsible for overseeing provision of Legal Research services on matters affecting the Authority and following up on compliance with statutory requirements.

Assistant Manager – Conveyance (hereinafter referred to as AM – C) who is responsible for providing conveyancing services on matters affecting the Authority and follow up on compliance with statutory requirements.

Assistant Manager –Legal Research (hereinafter referred to as AM – LR) who is responsible for providing Legal Research services on matters affecting the Authority and follow up on compliance with statutory requirements.

Supervisor – Conveyance (hereinafter referred to as S–C) who is responsible for providing conveyancing services on matters affecting the Authority.

Supervisor – Legal Research (hereinafter referred to as S–LR) who is responsible for providing Legal Research services on matters affecting the Authority.

Officer – Conveyance (hereinafter referred to as O - C) - who is responsible for providing conveyancing services on matters affecting the Authority

2.1.7.3 BOARD AFFAIRS DIVISION

Manager – Board Affairs (hereinafter referred to as M – BA) who is responsible for the support in the provision of Secretarial Services to the Board, Board Committees and KRA affiliated bodies/entities.

Assistant Manager – Board Affairs (hereinafter referred to as AM – BA) who is responsible for the support in the preparation of Meetings for the Board, Board Committees and KRA affiliated bodies/entities.

2.1.7.4 TAX DISPUTE RESOLUTION

Deputy Commissioner – Tax Dispute Resolution (hereinafter referred to as DC – TDR) who in the absence of the Commissioner - LS&BC and upon delegation of the duties is responsible for the Department. He / She is responsible for overseeing the Functions and Operations of the TDR Division and providing technical direction on complex tax disputes as a senior specialist/independent facilitator.

Chief Manager – Independent Review of Objections (hereinafter referred to as CM –IRO) who is responsible for overseeing the operations of the Independent Review of Objections Unit and offering technical and policy guidance on Objection matters.

Chief Manager – Alternative Dispute Resolution (hereinafter referred to as CM –ADR) who is responsible for effectively managing the implementation of Alternative Dispute Resolution (ADR) initiatives and facilitating ADR discussions.

Manager – Independent Review of Objections (hereinafter referred to as M – IRO) who is responsible for ensuring effective management and implementation of Tax and Customs Dispute Resolution initiatives including the Independent review of Tax and Customs disputes.

Manager – Alternative Dispute Resolution (hereinafter referred to as M – ADR) who is responsible for coordinating Case Review Forums, overseeing preparation of Comprehensive Information Pack (CIP) for facilitators, coordinating ADR administrative operations, revenue related activities, preparing policy briefs, strategies and evaluation of ADR initiatives undertaken and facilitating simple tax disputes.

Assistant Manager – Independent Review of Objections (hereinafter referred to as AM – IRO) who is responsible for review of the objections as well as offering guidance and supervision of the team.

Assistant Manager – Alternative Dispute Resolution (hereinafter referred to as AM – ADR) who is responsible for participating in the implementation of Dispute Management and Alternative Dispute Resolution (ADR) Initiatives and other activities in the Division.

Supervisor – Independent Review of Objections (hereinafter referred to as S – IRO) who is responsible for review of records and making recommendations for appropriate solutions on objection cases

Supervisor – Alternative Dispute Resolution (hereinafter referred to as S – ADR) who is responsible for, preparing reports and information packs for Alternative Dispute Resolution (ADR) and implementing Dispute Management Initiatives and other activities in the Division.

Officer Independent Review of Objections (hereinafter referred to as O – IRO) who is responsible for review of records and making recommendations for appropriate solutions on objection cases

Officer – Alternative Dispute Resolution (hereinafter referred to as O – ADR) who is responsible for, preparing reports and information packs for Alternative Dispute Resolution (ADR) and implementing Dispute Management Initiatives and other activities in the Division.

2.1.7.5 OPERATIONS UNIT

Chief Manager – Operations (hereinafter referred to as CM-OP) who is responsible for coordinating activities and ensuring efficient & effective management of Departmental resources/activities and compliance with directives from the Head of Department in the process of discharging and performance of his/her administrative functions.

Manager – Business Transformation Office (hereinafter referred to as M – BTO) who is responsible for the implementation of policy and strategy related to operational and support services.

Manager – Registry (hereinafter referred to as M – Reg) who is responsible for the implementation of policy and strategy related to records management and process service.

Assistant Manager – Operations (hereinafter referred to as AM – OP) who is responsible for providing operational and support services on matters affecting the Department.

Supervisor – Operations (hereinafter referred to as S – OP) who is responsible for providing operational and support services on matters affecting the Department.

Supervisor – Process Server (hereinafter referred to as S – PS) who is responsible for the implementation of policy and strategy related to records management and process service.

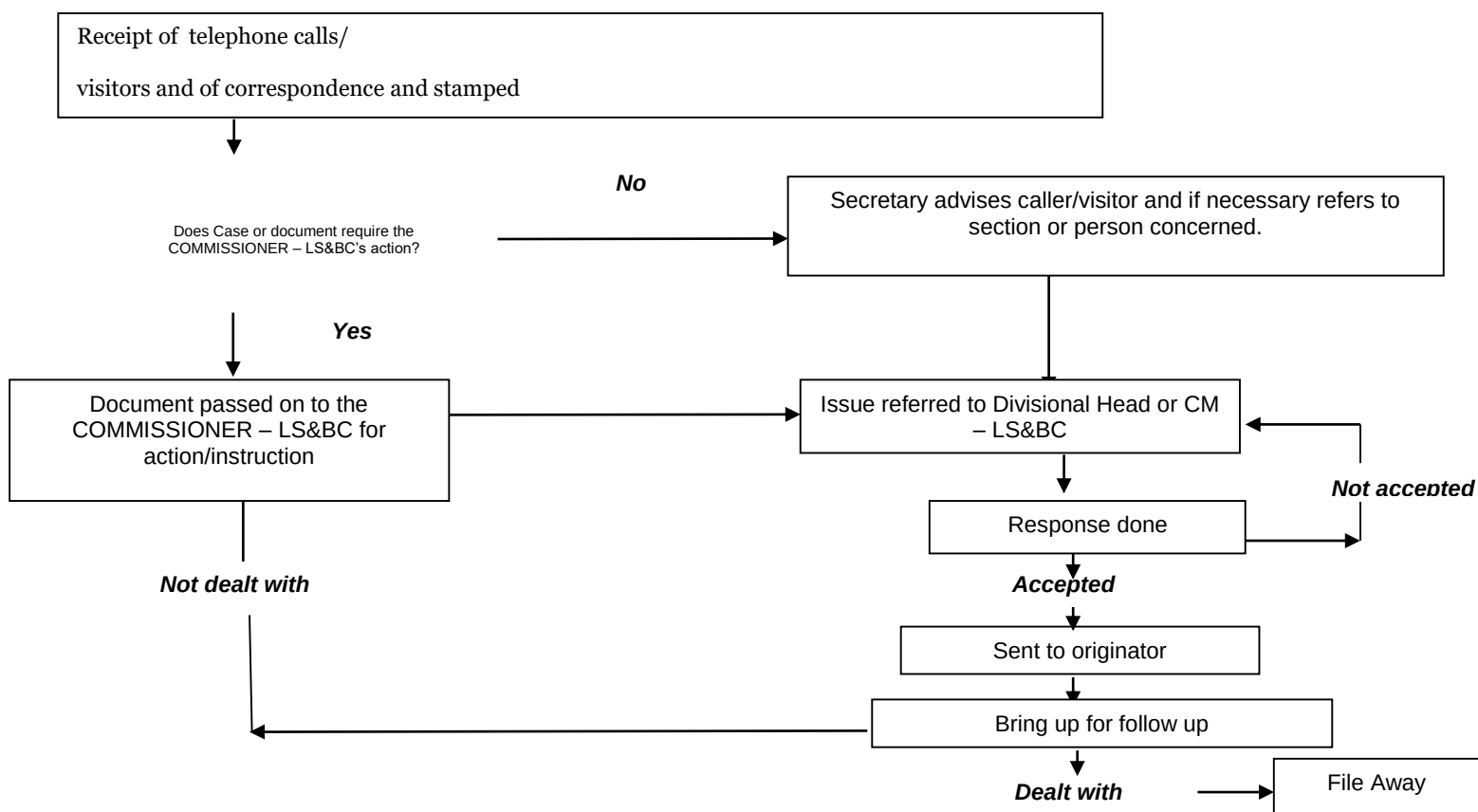
Secretary who is responsible for offering the office administrative services in the Department.

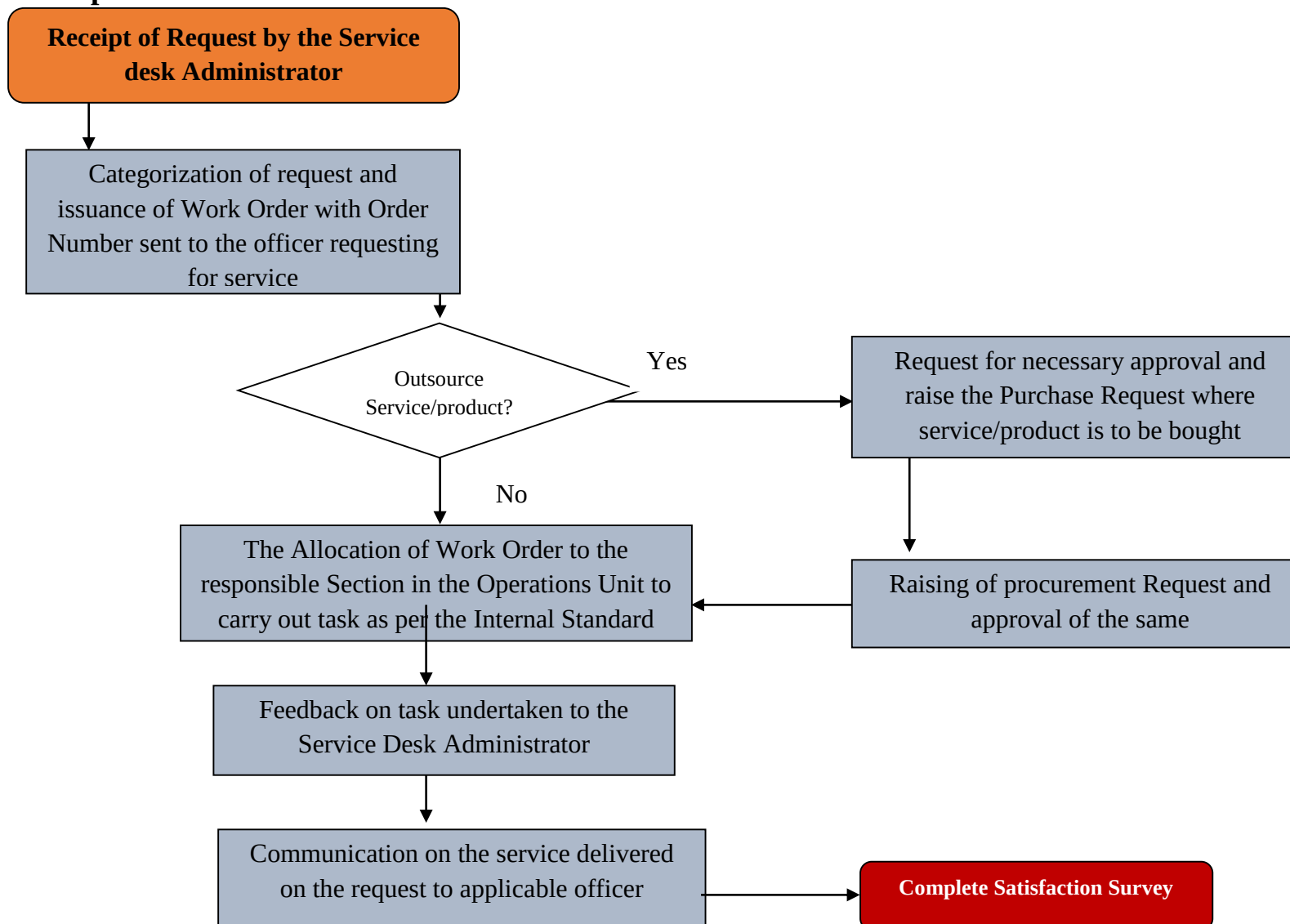
Office Assistant (hereinafter referred to as OA) who is responsible for offering administrative office support services.

Driver who is attached to the Office of the Head of Department.

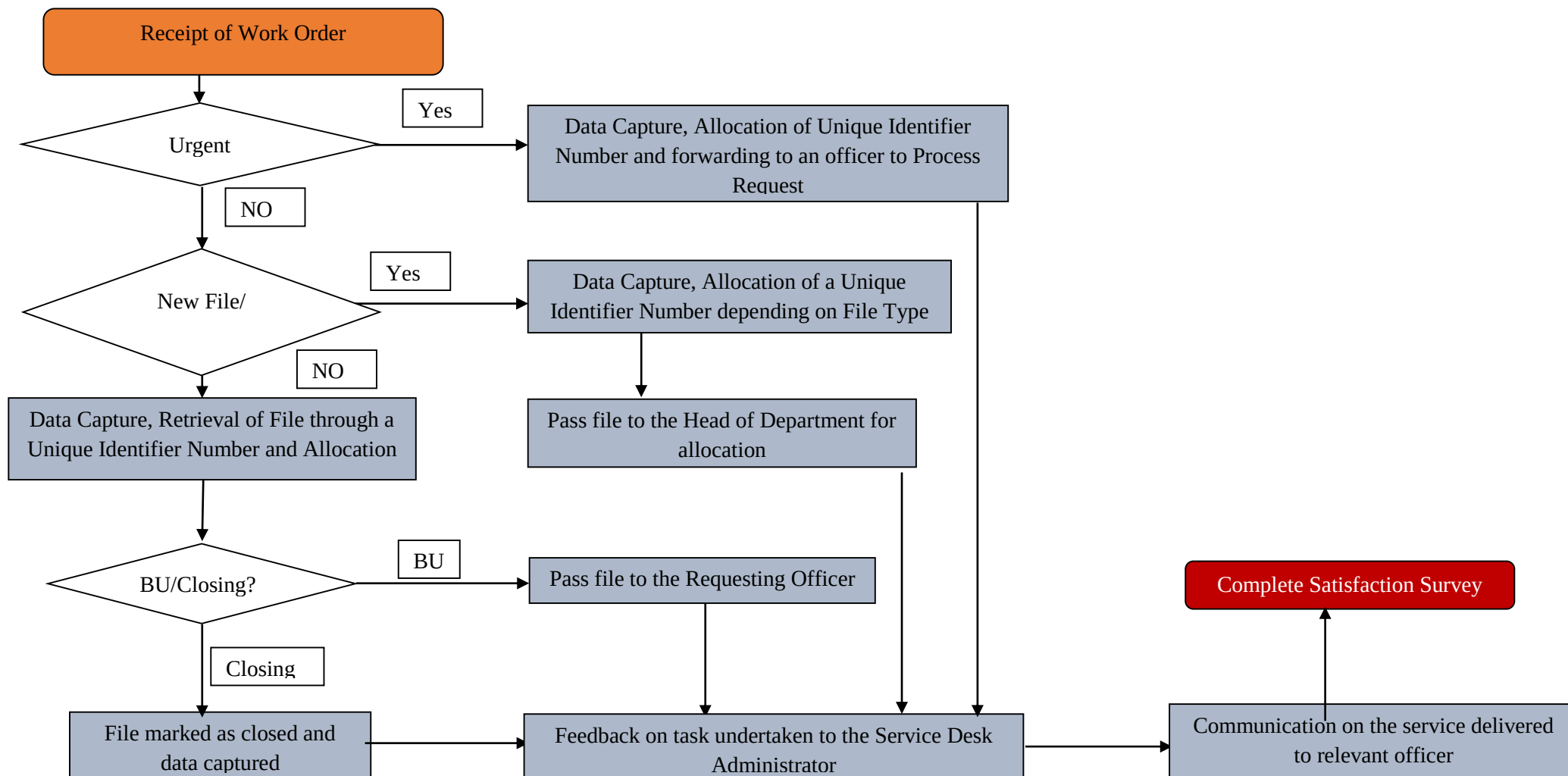
2.1.7.6 COMMISSIONER’S OFFICE

Assistant Manager – Commissioner’s Office (hereinafter referred to as AM – CO) who is responsible for providing legal and administrative support to the Commissioner’s Office by working closely with the Commissioner in managing and executing day to day office operations for efficiency and effectiveness of the Department.

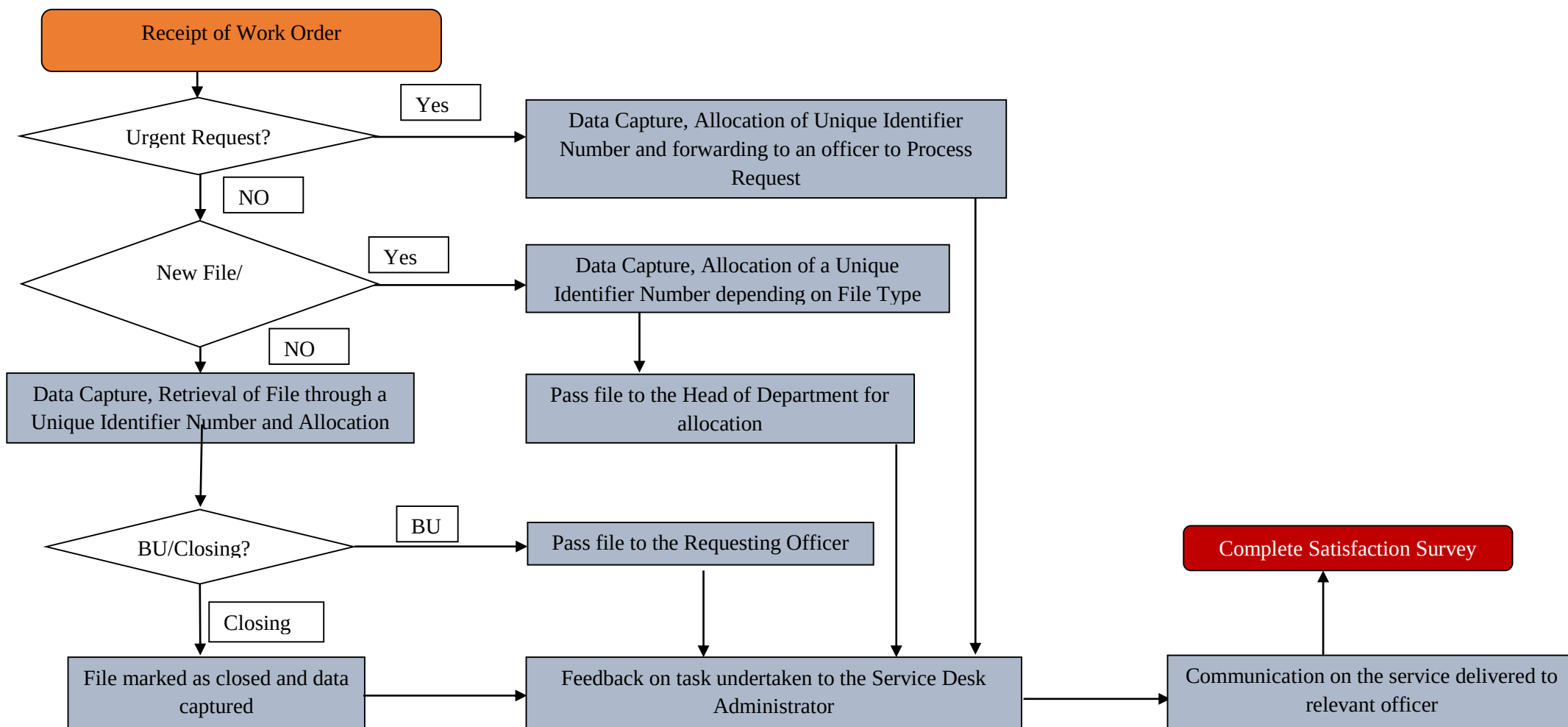
2.1.8 STEP WISE PROCEDURE
2.1.8.1 Written Correspondence and Telephone Calls


2.1.8.2 Operations Unit - Generation of Work Order

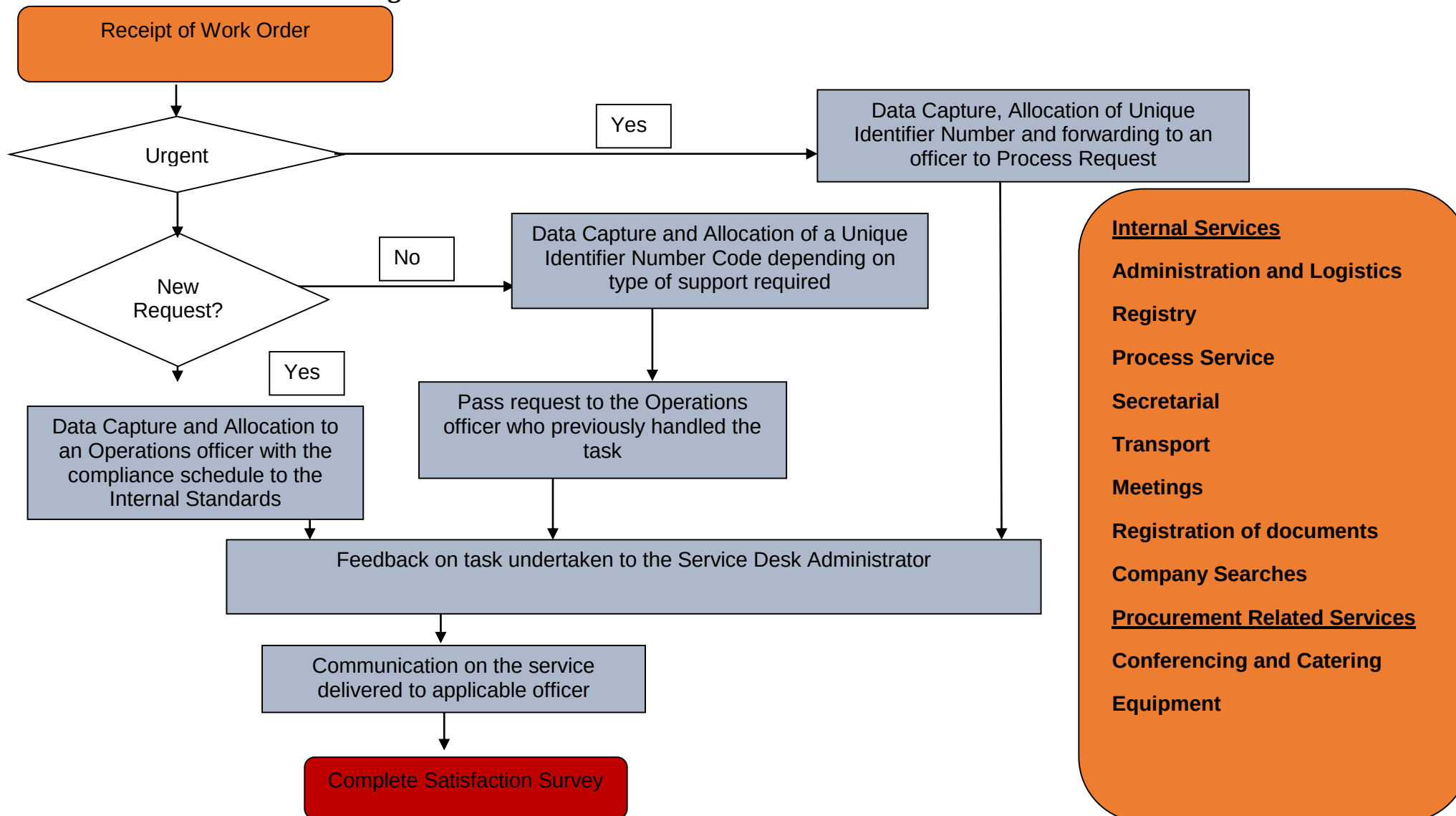
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2.1.8.4 Registry Process – Request for Storage/Retrieval in the Safe and Filing of Documents



2.1.8.5 Administration & Logistics and Process Service



2.1.9 PROCESS FLOW

2.1.9.1 Correspondence

1. The correspondence will be received by the officer manning the Registry under supervision of the Manager – Reg.
2. The correspondence is then placed in the relevant file, which is then forwarded to the Commissioner – LS&BC.
 - a. Upon reading the correspondence the Commissioner – LS&BC shall take the following actions:
 - b. Take action either personally or assign the task to an officer of suitable authority and relevant responsibility.
 - c. Forward the correspondence to the relevant Division or Divisional Head for further action.
 - d. Assign the arising task to the Head of Division for further action.
 - e. Instruct the Secretary to do a memo concerning the same.
3. The Secretary shall record the documents details in an outgoing register and pass documents to the OA for circulation.

2.1.9.2 Telephone

1. Telephone calls are received, and recorded, through the Officers (secretaries) in the Office of the Commissioner – LS&BC or heads of Divisions. They shall then put the caller through to the relevant officer.
2. However, If the officer is busy or out of the office, then the Secretaries shall take and record a message in the message book or request the caller to call later.
3. Upon discussing the matter at hand with the telephone caller the officer shall take action either personally or assign the task to an officer of suitable authority and relevant responsibility.

2.1.9.3 Visitors

1. Visitors may make an appointment to see the Commissioner – LS&BC or Heads of Divisions. This confirms his/her availability for the meeting and reduces the inconvenience of unannounced visitors not being able to meet the Commissioner – LS&BC or Heads of Divisions.
2. Upon arrival at Ushuru Pension Tower, Block B, the visitor shall report to the Reception Desk on the Ground Floor, and the Customer Care Assistants shall issue a Visitor's Pass to the person(s) visiting.
3. The visitor(s) shall then be ushered to the Reception Desk on the 5th, of Ushuru Pension Tower, where a Security Officer shall confirm the visitor's details and appointment.
4. The visitor(s) shall then be granted audience with the Commissioner – LS&BC or Heads of Divisions.
5. Upon discussing the matter at hand with the visitor, the Commissioner – LS&BC or Head of Division shall take action either personally or assign the task to an officer of suitable authority and relevant responsibility.

2.1.9.4 Follow up and Bring Ups

1. The Secretary will check if the correspondence has been dealt with and record the same for bring up, using the Bring Up diary after ten (10) working days or as marked by the relevant Officer.
2. The file will then be passed over to the Registry.
3. The Manager – Reg. will also note and record documents for bring up. The Bring Up will be brought up in time by the registry clerk and forwarded to the relevant secretary for forwarding to the relevant officer.
4. Any typing for reminders and enquiries will be done by the Secretary attached to the Commissioner – LS&BC or Divisional Heads where applicable.

2.1.9.5 Generation of Work Order

1. Request is received by the Officer manning the Service desk.
2. The request is categorized and a work order issued with Order Number sent to the officer requesting for the service.

3. If it is to be outsourced a request for necessary approval and raise the Purchase Request where service/product is to be bought.
4. The procurement request is raised and approved by the Commissioner – LS&BC.
5. The Work Order is allocated to the responsible Section in the Operations Unit to carry out the task.
6. Once a task is carried out feedback is sent to the Officer manning the Service desk.
7. Communication on service delivery is sent to the officer who had requested for the service.
8. The requesting officer completes the satisfaction survey.

2.1.9.6 Registry Process – Request for File Opening & Closure; Correspondence and Bring Ups

1. The work order is received.
2. If urgent, data is captured and allocation of a Unique Identifier Number given. This is thereafter forwarded to an officer to process the request.
3. Data is captured and file retrieved through a unique identifier Number. Thereafter, the same is allocated by the Commissioner – LS&BC to the applicable officer.
4. The file will be brought up if there is a requirement to do so.
5. Once a task is carried out feedback is sent to the Officer manning the Service desk.
6. Communication on service delivery is sent to the officer who had requested for the service.
7. The requesting officer completes the satisfaction survey.

2.1.9.7 Registry Process – Request for Storage and Retrieval in the Safe and Filing of Documents

1. The work order is received.
2. If urgent, data is captured and allocation of a Unique Identifier Number given. This is thereafter forwarded to an officer to process the request.

3. Data is captured and retrieved through a unique identifier Number. Thereafter, direction to store or retrieve from the safe is given by the Commissioner – LS&BC to the applicable officer.
4. Once a task is carried out feedback is sent to the Officer manning the Service desk.
5. Communication on service delivery is sent to the officer who had requested for the service.
6. The requesting officer completes the satisfaction survey.

2.1.9.8 Administration and Logistics and Process Service

1. The work order is received.
2. If urgent, data is captured and allocation of a Unique Identifier Number given. This is thereafter forwarded to an officer to process the request.
3. Data is captured and allocation made to an Operations officer with the compliance schedule to the Internal Standards.
4. Once a task is carried out feedback is sent to the Officer manning the Service desk.
5. Communication on service delivery is sent to the officer who had requested for the service.
6. The requesting officer completes the satisfaction survey.

2.1.10 INPUTS

Qualified, experienced and trained staff.

2.1.11 OUTPUTS

1. Efficiency and reliable services:
2. Administration and Logistics.
3. Process Service.

2.1.12 RESOURCES

1. Adequate Budget.
2. Adequate staff as per structure.

3. Working environment and space.
4. Four (4) motor vehicles.
5. Computers at a ratio of 1:1.
6. Furniture as per the grading structure.
7. Stationery and office equipment.
8. Internet connectivity.

2.1.13 KEY PERFORMANCE INDICATORS

1. 100% implementation of the Departmental Mandate.
2. Number of complaints registered on service delivery.

2.1.14 RISKS

Risks - Refer to the Departmental Risk Register.

2.1.15 OPPORTUNITIES

1. Promotion prospects
2. Training for skills enhancement
3. Recognition and awards
4. Increased digitization

2.1.16 DOCUMENTED INFORMATION RETAINED

A record of all the incoming correspondence and visitors to the Department will be kept by the Head of Registry and Secretary respectively as appropriate.

2.1.17 FILING

1. Collecting Documents to be filed
2. The records of correspondence and visitors register will be kept by the Secretary on duty for future reference both in hard and soft copy.
3. The Manager – Reg. will be responsible for filing of documents to the respective files.

2.1.18 ATTACHMENTS

The files register.

3.0 WORK PROCEDURES FOR DOCUMENTATION

(BOARD AND MANAGEMENT COMMITTEES AND TEAM ONE ENQUIRIES/REPORTS)

PROCEDURE FOR DOCUMENTATION (BOARD COMMITTEES AND TEAM ONE ENQUIRIES/REPORTS)

APPROVED BY _____ **DATE** _____

COMMISSIONER –

LEGAL SERVICES & BOARD

COORDINATION DEPARTMENT

REVIEWED BY _____ **DATE** _____

CHIEF MANAGER –

OPERATIONS/

BOARD AFFAIRS

PREPARED BY**DATE****MANAGER –****OPERATIONS/****ISO CHAMPION**



3.1.1 AMENDMENT SHEET

ISSUE & REV. NO.	SUBJECT OF AMENDMENT	REVIEWED BY & SIGNATURE:	AUTHORIZED BY & SIGNATURE:	DATE

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3.1.3 PURPOSE

The Commissioner – LS&BC’s office acts as a coordinator of the four (4) Divisions under the Department and follow-ups on correspondence with other Departments and organizations from this office.

3.1.4 SCOPE OF APPLICATION

Ordinarily, issues arising from the Board Committees and Team One Committees for the Legal Services & Board Coordination Department are forwarded to this Department to respond and/or give comments.

3.1.5 DEFINITIONS

3.1.5.1 Team One

Members are the Heads of Departments while regional Heads, of the Authority, are in attendance.

3.1.5.2 Committees of the Board

These are Committees set up and composed of the Kenya Revenue Authority Board of Directors and Team One Members.

3.1.6 CROSS REFERENCES

1. The Kenya Revenue Authority Cap. 469 of the Laws of Kenya.
2. The Eighth Corporate Plan of the Kenya Revenue Authority.
3. The ISO 9001:2015 International Standards.
4. Kenya Revenue Authority Quality Management Systems Requirements.
5. Performance Contract of the Commissioner – Legal Services & Board Coordination (hereinafter referred to as COMMISSIONER – LS&BC).
6. Departmental Risk Register.

3.1.7 RESPONSIBILITY FOR APPLICATION

The Commissioner– LS&BC shall be the owner of all the processes under this work procedure. Any amendments or overhaul of these procedures shall have the express approval of the Commissioner– LS&BC who is responsible for providing strategic leadership in the formulation and implementation of strategies and policies for the Legal Services and Board Coordination functions as well as discharge the duties of the KRA Board Secretary.

Chief Manager – Operations (hereinafter referred to as CM-OPS) who is responsible for coordinating activities and ensuring efficient & effective management of Departmental resources/activities and compliance with directives from the Head of Department in the process of discharging and performance of his/her administrative functions.

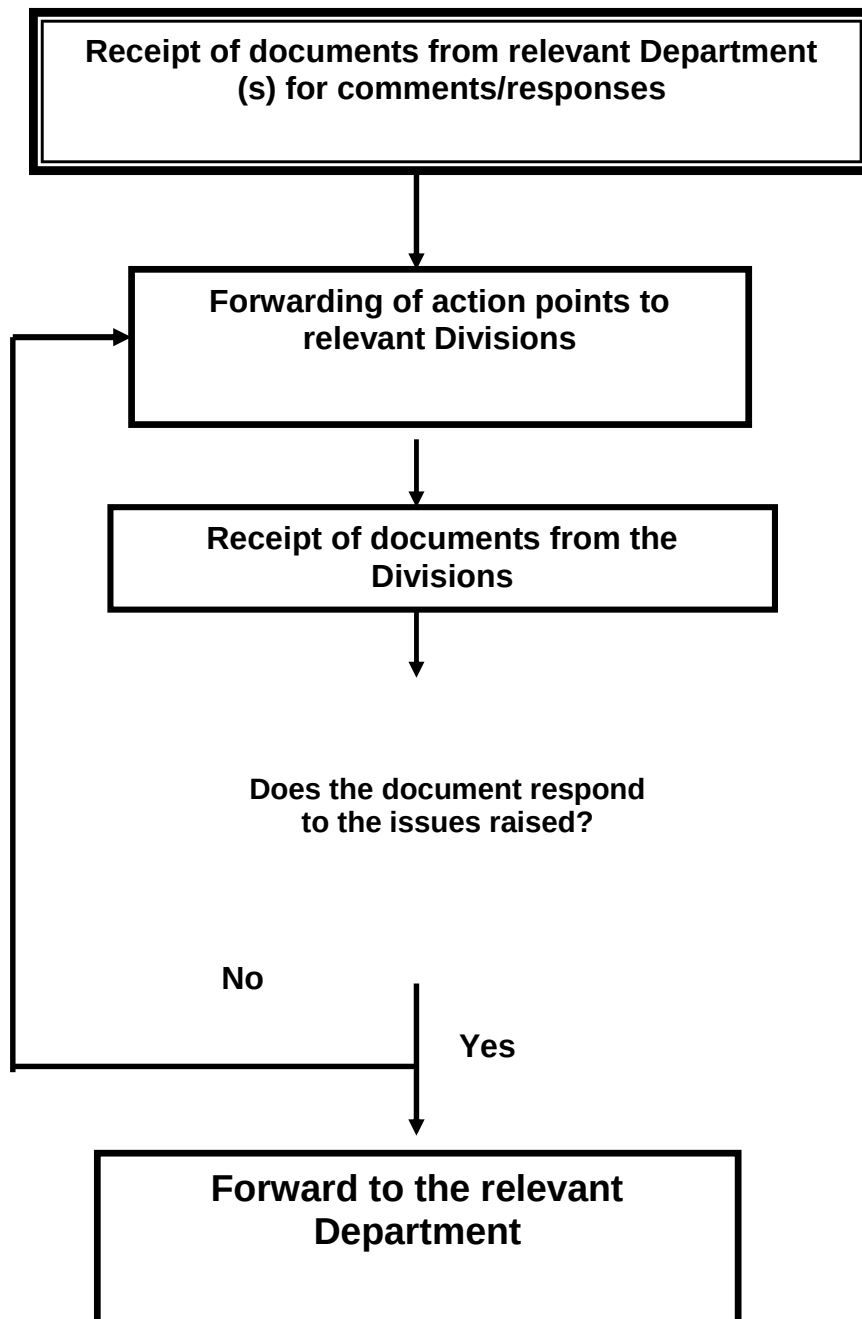
Manager – Board Affairs (hereinafter referred to as M – BA) who is responsible for the support in the provision of Secretarial Services to the Board, Board Committees and KRA affiliated bodies/entities.

Assistant Manager – Board Affairs (hereinafter referred to as AM – BA) who is responsible for the support in the preparation of Meetings for the Board, Board Committees and KRA affiliated bodies/entities.



3.1.8

STEP WISE PROCEDURE FOR ACTION POINTS



3.1.9 PROCESS WORKFLOW ACTION POINTS

Forwarding of the Board and Management Committees and Team One matters arising to the Legal Services and Board Coordination Department.

The officers working under the Manager – Reg. will receive the documents for action from the parent Departments and mark them as appropriate before passing them to the Commissioner – LS&BC for further action. The Commissioner – LS&BC will mark out the matters arising to the CM – OPS or M – BA.

3.1.9.1 Action Points

The CM – OPS or the M - BA will raise Action Points for action by the relevant Divisions and send the same via email. A hard copy will be dispatched if necessary.

3.1.9.2 Action by Divisions

The Secretary on duty will record a reminder for follow up after ten (10) working days.

3.1.9.3 Receipt of Responses and compilation

The CM - OPS or the M - BA will receive comments and/or responses to the Action Points and compile the final report under the direction of the Commissioner – LS&BC and forward the same to the relevant Department.

3.1.9.4 DOCUMENTED INFORMATION RETAINED

A record of all the documents sent out for action will be kept in the relevant file and later moved to the archives within an agreed time.

3.1.9.5 FILING

Receiving the document for any mail (letter or document), the officer on duty working under the Manager – Reg. will record the same in the "mail received" register in the computer, the date received and stamped using the office stamp.

3.1.9.6 ACTION

The Secretary will forward the mail to the Commissioner – LS&BC or the officer acting in that capacity before it is forwarded to the relevant Division or the Acting Head of Department for necessary action and record a reminder for follow up after ten (10) working days.

3.1.9.7 Collecting Documents to be filed

The dealt with documents are put in the out tray and dispatched to their destination. The Secretary is responsible for putting copies of the same in the relevant files and recording the document for follow up within a maximum of two weeks, where applicable.

3.1.9.8 Confidential Documents

All confidential documents shall be kept in soft copy in the marked out computer by the CM - OPS under a folder with a password for access.

3.1.9.9 Custody of Statutory Records, Legal Instruments and the Seal

All statutory records, legal instruments and the seal shall be kept in the safe and the CM – OPS will be in charge of the same.

3.1.10 INPUTS

Qualified, experienced and trained staff.

3.1.11 RESOURCES

1. Adequate Budget.
2. Adequate staff as per structure.
3. Working environment and space.
4. Computers at a ratio of 1:1.
5. Furniture as per the grading structure.
6. Stationery and office equipment.

7. Internet connectivity.

3.1.12 KEY PERFORMANCE INDICATORS

1. Timely submission of documentation to the Board Committees and Team One Meetings.
2. Timely Decision making for issues affecting the Department.

3.1.13 OUTPUTS

Board and Team 1 Policies/Decisions.

3.1.14 RISKS

Refer to the Departmental Risk Register

3.1.15 OPPORTUNITIES

1. Promotion prospects
2. Training for skills enhancement
3. Recognition and awards
4. Increased digitization to enable working offline

3.1.16 ATTACHMENTS

No attachment.

**4.0 WORK PROCEDURES FOR CUSTODY OF THE
AUTHORITY'S STATUTORY RECORDS, LEGAL
DOCUMENTS AND CORPORATION SEAL**

**PROCEDURE FOR CUSTODY OF THE AUTHORITY'S STATUTORY RECORDS,
LEGAL DOCUMENTS AND COMPANY SEAL**

APPROVED BY _____ **DATE** _____
COMMISSIONER –
LEGAL SERVICES & BOARD
COORDINATION DEPARTMENT

REVIEWED BY _____ **DATE** _____
CHIEF MANAGER –
OPERATIONS/
BOARD AFFAIRS

KRA/LS&BC/WPM/2023/001

ISO 9001:2015 CERTIFIED

INTERNAL

PREPARED BY

DATE

MANAGER –

OPERATIONS/

ISO CHAMPION



4.1.1 AMENDMENT SHEET

ISSUE & REV. NO.	SUBJECT OF AMENDMENT	REVIEWED BY & SIGNATURE:	AUTHORIZED BY & SIGNATURE:	DATE

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4.1.3 PURPOSE

The Board Secretary is mandated to be the custodian of the Authority's Board Records, the Authority's Seal as prescribed under Section 4 (1) of the KRA Act and other Legal Documents like the title deeds, leases, contracts, log books, performance bonds and Memoranda of Understanding.

4.1.4 SCOPE OF APPLICATION

Ordinarily, the documents are forwarded to the Board Secretary's office for safe keeping from other Departments. Therefore, all Departments in the Authority are involved depending on their application of the same.

4.1.5 DEFINITIONS

4.1.5.1 Seal

A stamp engraved with a device bearing the name of Kenya Revenue Authority to authenticate documents.

4.1.5.2 Title Deed

A legal document proving a person's right to property.

4.1.5.3 Contract document

A binding agreement between two or more persons that confers rights on the parties and is enforceable in a court of Law.

4.1.5.4 Lease

An agreement granting use or occupation of property during a specified time for a specified payment between a landlord and a tenant.

4.1.5.5 Memorandum of Understanding

A written summary of the terms of a transaction entered into by two or more parties but not enforceable in a court of Law.

4.1.6 Officer in charge

Any person with the highest grade and directly answerable to the Commissioner – LS&BC in the office.

4.1.7 CROSS REFERENCES

1. The Kenya Revenue Authority Cap. 469 of the Laws of Kenya.
2. The Eighth Corporate Plan of the Kenya Revenue Authority.
3. The ISO 9001:2015 International Standards.
4. Kenya Revenue Authority Quality Management Systems Requirements.
5. Performance Contract of the Commissioner – Legal Services & Board Coordination (hereinafter referred to as Commissioner – LS&BC).
6. Departmental Risk Register.

4.1.8 RESPONSIBILITY FOR APPLICATION

The Commissioner– LS&BC shall be the owner of all the processes under this work procedure. Any amendments or overhaul of these procedures shall have the express approval of the Commissioner– LS&BC who is responsible for providing strategic leadership in the formulation and implementation of strategies and policies for the Legal Services and Board Coordination functions as well as discharge the duties of the KRA Board Secretary.

Chief Manager – Operations (hereinafter referred to as CM-OP) who is responsible for coordinating activities and ensuring efficient & effective management of Departmental resources/activities and compliance with directives from the Head of Department in the process of discharging and performance of his/her administrative functions.

Manager – Operations (Business Transformation Office) (hereinafter referred to as M – OP) who is responsible for the implementation of policy and strategy related to operational and support services.

Manager – Registry (hereinafter referred to as M – Reg) who is responsible for the implementation of policy and strategy related to records management and process service.

Assistant Manager – Operations (hereinafter referred to as AM – OP) who is responsible for providing operational and support services on matters affecting the Department.

Secretary who is responsible for offering the office administrative services in the Department.

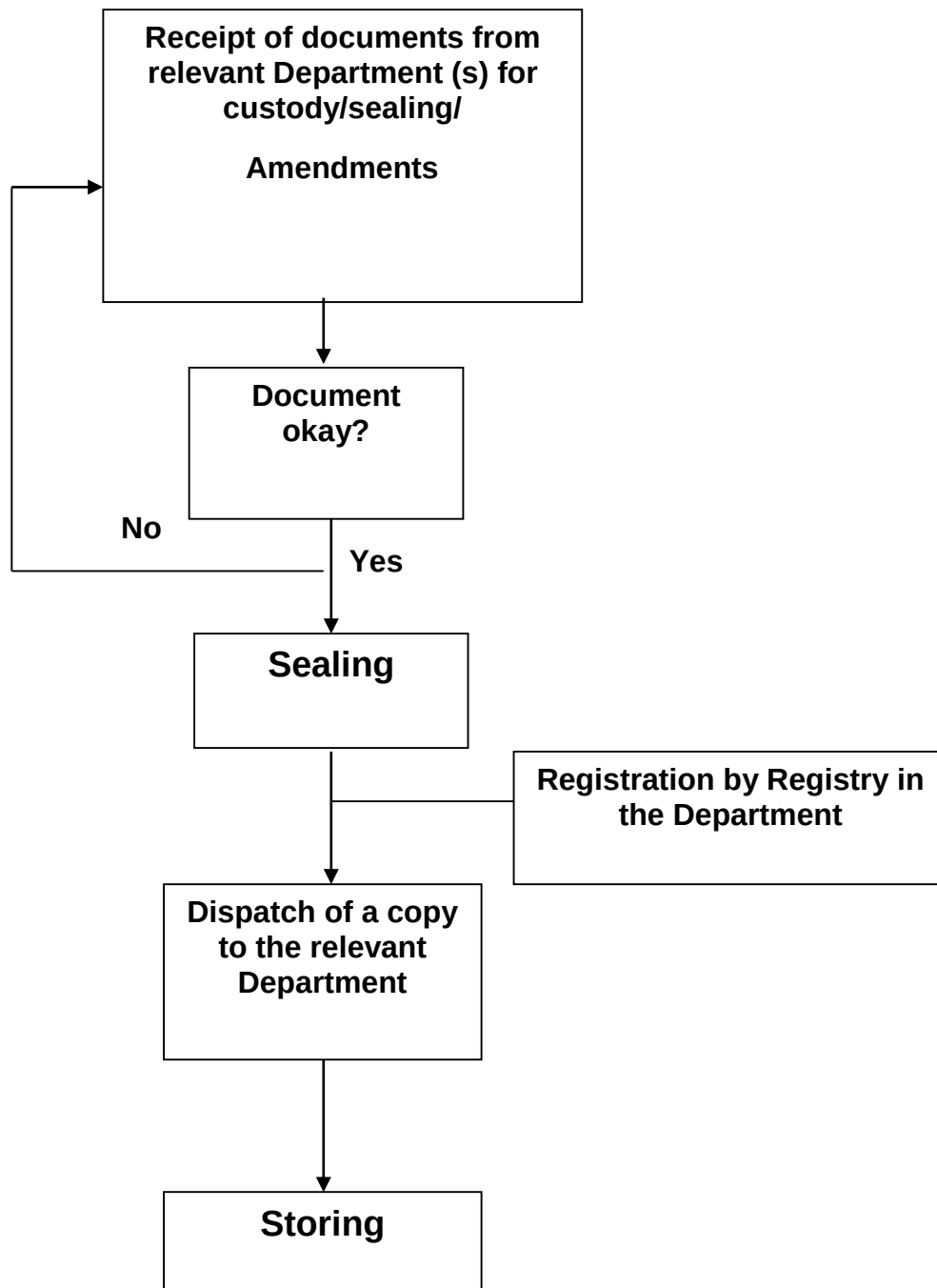
Office Assistant (hereinafter referred to as OA) who is responsible for offering administrative office support services.

Driver who is attached to the Office of the Head of Department.

Manager – Commissioner’s Office (hereinafter referred to as M – CO) who is responsible for providing legal and administrative support to the Commissioner’s Office by working closely with the Commissioner in managing and executing day to day office operations for efficiency and effectiveness of the Department.



**4.1.9 STEP WISE PROCEDURES FOR CUSTODY OF THE AUTHORITY'S
STATUTORY RECORDS, LEGAL DOCUMENTS AND COMPANY SEAL**



4.1.10 PROCESS FLOW**4.1.10.1 Forwarding of documents to the Commissioner – LS&BC's Office.**

The Registry officer on duty will receive the documents for safekeeping and mark them appropriately before passing them to the Commissioner – LS&BC.

Where the Division's input is required, the M – CO will be responsible until the documents are finalized.

4.1.10.2 Sealing

When the document needs to be sealed, the Commissioner – LS&BC will forward the same to the Commissioner General/Commissioner of Corporate Support Services/Commissioner responsible for the specific function for execution.

Upon execution, the Commissioner – LS&BC will seal the document and return a copy to the other party. The remaining document(s) will be kept in the safe.

4.1.10.3 Storing

The CM - OPS will give the AM – OPS in the Board Affairs Division the Record of Documents book to enter the document's information and under the supervision of the CM - OPS put the same in the safe.

The keys to the safe will be kept in the Commissioner – LS&BC's office under lock and key to avoid loss of the same.

In the event the CM - OPS is not available, the AM - OPS in the Board Affairs Division will handle the keys to the safe and/or any issue of the safe.

4.1.11 DOCUMENTED INFORMATION RETAINED

The Assistant Manager – Operations in the Board Affairs Division will keep and update the record of all the documents in the safe and all the documents should be kept in the safe.

The update of records will be done twice in a year in June and December of every year.

The register for the records will be kept both in soft and hard copies in the safe.

Record of all the attendances for Board Meetings will be made in the Attendance Register and all approvals and decisions made also kept.

4.1.12 FILING

4.1.12.1 Receiving the document

For any mail (letter or document), the Officer (Registry) on duty will record the same in the "mail received" register in the computer, the date received and stamped using the office stamp.

4.1.12.2 Action

The Secretary will forward the mail to the Commissioner – LS&BC or the officer acting in that capacity before it is forwarded to the relevant Division or the Acting Head of Department for necessary action and record a reminder for follow up after ten (10) working days.

4.1.12.3 Collecting Documents to be filed

The dealt with documents are put in the out tray and dispatched to their destination. The Secretary is responsible for putting copies of the same in the relevant files and recording the document for follow up within a maximum of two (2) weeks, where applicable.

4.1.12.4 Confidential Documents

All confidential documents shall be kept in soft copy in the marked out computer by the CM - OPS under a folder with a password for access.

4.1.12.5 Custody of Statutory Records, Legal Instruments and the Seal

All statutory records, legal instruments and the seal shall be kept in the safe and the CM – OPS will be in charge of the same.

4.1.13 INPUTS

1. Qualified, experienced and trained staff.

2. Authority's Legal Instruments/Seal.

4.1.14 RESOURCES

1. Adequate Budget.
2. Adequate staff as per structure.
3. Working environment and space.
4. Computers at a ratio of 1:1.
5. Furniture as per the grading structure.
6. Stationery and office equipment.
7. Internet connectivity.

4.1.15 KEY PERFORMANCE INDICATORS

Number of statutory documents and legal instruments recorded.

4.1.16 OUTPUTS

1. Safe custody of the Authority's Legal Instruments.
2. Well-kept register of the Authority's legal Instruments.

4.1.17 RISKS

Refer to the Departmental Risk Register

4.1.18 OPPORTUNITIES

1. Promotion prospects
2. Training for skills enhancement
3. Recognition and awards
4. Increased digitization

4.1.19 ATTACHMENTS

None

5.0 WORK PROCEDURES FOR PREPARATION OF BOARD AND BOARD COMMITTEES MEETINGS

PROCEDURE FOR PREPARATION OF BOARD AND BOARD COMMITTEES MEETINGS

APPROVED BY _____ **DATE** _____

COMMISSIONER –

LEGAL SERVICES & BOARD

COORDINATION DEPARTMENT

REVIEWED BY _____ **DATE** _____

CHIEF MANAGER –

OPERATIONS/

BOARD AFFAIRS

PREPARED BY**DATE****MANAGER –****OPERATIONS/****ISO CHAMPION**



5.1.1

AMENDMENT SHEET

ISSUE & REV. NO.	SUBJECT OF AMENDMENT	REVIEWED BY & SIGNATURE:	AUTHORIZED BY & SIGNATURE:	DATE

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5.1.3 PURPOSE

Section 12 of the KRA Act (hereinafter referred to as “The Act”) provides for the appointment of the Secretary to the Board by the Board of Directors to deal with issues pertaining to the Board.

5.1.4 SCOPE OF APPLICATION

The Board Secretary’s office was established to facilitate the Board of Directors of the Kenya Revenue Authority’s work and applies as far as they are concerned within the Authority and any actions that have direct and indirect effect on the Authority.

5.1.5 DEFINITIONS

5.1.5.1 Board of Directors

A group of persons chosen to govern the affairs of a corporation or other large institution.

5.1.5.2 Approval

The formal act of giving approval (formal agreement) to a matter that has been deliberated on by the Board of Directors.

5.1.5.3 Action Points

Matters set out during the Board Meeting for the Top Management to respond to.

5.1.5.4 Memorandum items

The agenda items which have been set out in different cover pages.

5.1.5.5 Notices

An announcement, whether in a hard copy or electronic, containing information about a future Board Meeting.

5.1.5.6 Per Diem allowance for Board Members

Money supposed to be paid to Board members on the material day when a member sleeps in town a day before or after (depending on air ticket booking and end of meetings) meetings.

5.1.5.7 Monthly allowance

Money paid out to Board Members as allowances for the month.

5.1.5.8 Sitting allowance

Money paid out to Board Members for the attendance of Meetings.

5.1.5.9 Committee Members

A group of people constituting a committee of the Authority's Board of Directors.

5.1.5.10 Mail

The letters and memos that are transported by the postal or courier service or sent from one office of a Department to another. This includes electronic mail.

5.1.5.11 Document

Any writing that provides information of an official nature.

5.1.5.12 Officer in charge

Any person with the highest grade and directly answerable to the Commissioner – Legal Services & Board Coordination.

5.1.5.13 Board Meetings and Minutes

This shall refer to Meetings and Minutes of the Board and Board Committees.

5.1.6 CROSS REFERENCES

1. The Kenya Revenue Authority Cap. 469 of the Laws of Kenya.
2. The Eighth Corporate Plan of the Kenya Revenue Authority.
3. The ISO 9001:2015 International Standards.
4. Kenya Revenue Authority Quality Management Systems Requirements.
5. Performance Contract of the Commissioner – Legal Services & Board Coordination (hereinafter referred to as Commissioner – LS&BC).
6. Departmental Risk Register.

5.1.7 RESPONSIBILITY FOR APPLICATION

The Commissioner– LS&BC shall be the owner of all the processes under this work procedure. Any amendments or overhaul of these procedures shall have the express approval of the Commissioner– LS&BC who is responsible for providing strategic leadership in the formulation and implementation of strategies and policies for the Legal Services and Board Coordination functions as well as discharge the duties of the KRA Board Secretary.

Chief Manager – Operations (hereinafter referred to as CM-OPS) who is responsible for coordinating activities and ensuring efficient & effective management of Departmental resources/activities and compliance with directives from the Head of Department in the process of discharging and performance of his/her administrative functions.

Manager – Board Affairs (hereinafter referred to as M – BA) who is responsible for the support in the provision of Secretarial Services to the Board, Board Committees and KRA affiliated bodies/entities.

Assistant Manager – Board Affairs (hereinafter referred to as AM – BA) who is responsible for the support in the preparation of Meetings for the Board, Board Committees and KRA affiliated bodies/entities.

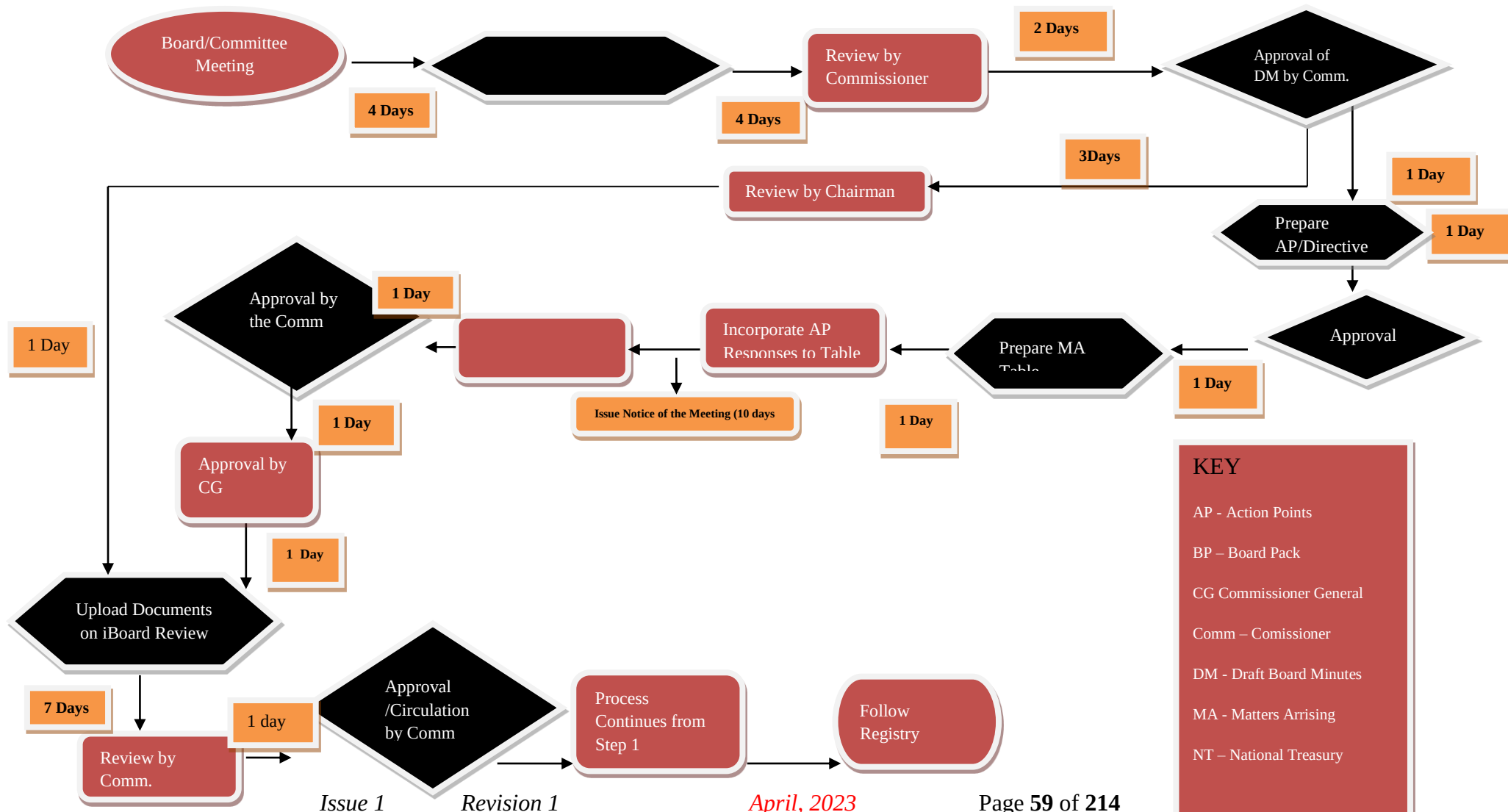
Secretary Officer who is responsible for offering the office administrative services in the Department.

Driver who is attached to the Office of the Head of Department.

Manager – Commissioner’s Office (hereinafter referred to as M – CO) who is responsible for providing legal and administrative support to the Commissioner’s Office by working closely with the Commissioner in managing and executing day to day office operations for efficiency and effectiveness of the Department.

5.1.8

STEP WISE PROCEDURE BOARD COMMITTEE MEETING



KEY

AP - Action Points
 BP – Board Pack
 CG Commissioner General
 Comm – Commissioner
 DM - Draft Board Minutes
 MA - Matters Arrising
 NT – National Treasury

PROCESS WORKFLOW BOARD COMMITTEE

5.1.8.1 Board Meeting

The Secretary on duty will ensure that the necessary documents and stationery for the Board Meeting are ready and in place.

5.1.8.2 Approvals/Sending Minutes to Minister of Finance

The Secretary on duty, under the supervision of the M – BA will type the Board Approvals after the Meeting which will be vetted by the CM - OPS and thereafter forwarded by the Commissioner – LS&BC or the officer in charge in case he/she is not there.

In addition, the Minutes from the Board Meeting signed by the Board Chairman and Minutes of the respective Board Committees signed by their respective Chairpersons (together with accompanying booklets) shall be forwarded to the Cabinet Secretary, The National Treasury and the Inspector General, Inspectorate of State Corporations respectively by the Commissioner – LS&BC or the officer in charge in case he/she is not there, upon confirmation by the M – BA and vetting by the CM - OPS.

5.1.8.3 Minutes Writing and Dispatch

The CM – OPS and M - BA will draft the Minutes of the Board Meeting and forward the same to the Commissioner – LS&BC for vetting. Upon confirmation that the Minutes have captured the business of the Meeting(s), the Commissioner – LS&BC will send the same to the Chairman of the Board of Directors and the Commissioner General.

5.1.8.4 Action Points

The CM – OPS and M – BA will prepare action points from the Meetings and forward the same to the Commissioner – LS&BC to send the same to the Heads of Departments for action.

For Board Committee Meetings the Chairperson's Report and the Minutes shall be prepared and action points sent in accordance with the Internal Standards.

5.1.8.5 Notice of the Meeting

The AM – BA under the supervision of the CM – OPS will draft and forward, via lotus, the notice of Meetings to the Commissioner – LS&BC, who will forward this to the Board Members.

5.1.8.6 Preparation of Board Papers

The CM – OPS and M - BA under the supervision of the Commissioner – LS&BC will prepare the Board papers. This entails the following:

1. Preparation of the Agenda and table for matters for sending to the Commissioner General for approval.
2. Compiling of the soft Board papers.

5.1.8.7 Upload of Documents on Integrated Board Management (KiKAO)

Upon compilation of the soft Board papers and approval by the Commissioner – LS&BC, the CM – OPS will upload the papers on KIKAO and publish the same.

5.1.8.8 Confirmation of Attendance by Board Members

The office of the Commissioner- LS&BC, through the Secretary, will confirm attendance by Board Members to the Board and Board Committees Meetings. The information will be communicated to the CM – OPS and M – BA.

5.1.8.9 Preparation for the Board and Board Committees Meetings

The Secretary working for the M – BA, under the supervision of the AM – BA will ensure that the following is done, prior to the Meeting:

1. Process allowances for the Board Members.
2. Procurement of refreshments for the physical attendees.
3. Creating and confirmation of Members attending through virtual means.

4. Pasting of Minutes for confirmation in the Meetings.
5. Preparation of the attendance register.
6. Availability of the Boardroom and associated equipment for the Meetings.

5.1.9 STORAGE

All documents pertaining to the Board, Board Committees and KRA affiliated bodies/ entities Meeting including Approvals will be kept in the safe while the Board Meeting papers will be kept in the confidential registry.

5.1.10 DOCUMENTED INFORMATION RETAINED

1. A record of all the attendances for Board Meetings will be made in the Attendance Register and all approvals and decisions made also kept in the safe.
2. All the documents (Board Minutes and Papers) that have been dealt with will be kept in the confidential registry with a records register both in hard and soft copy to ensure their safe custody and recording when documents are removed from the registry and returned.
3. The registry keys will be kept in the Commissioner – LS&BC’s office for safe custody and only given out under the CM – OPS supervision.
4. The statutory time of storing the information (Board papers) will be considered when the time for disposal of the said documents will be determined.

5.1.11 FILING

5.1.11.1 Receiving the document.

For any mail (letter or document), the officer working under the Manager – Reg. on duty will record the same in the "mail received" register in the computer, the date received and stamped using the office stamp.

5.1.11.2 Action

The Secretary will forward the mail to the Commissioner – LS&BC or the officer acting in that capacity before it is forwarded to the relevant Division or the Acting Head of Department for necessary action and record a reminder for follow up after ten (10) working days.

5.1.11.3 Collecting Documents to be filed

The dealt with documents are put in the out tray and dispatched to their destination. The Secretary is responsible for putting copies of the same in the relevant files and recording the document for follow up within a maximum of two (2) weeks, where applicable.

5.1.12 CONFIDENTIAL DOCUMENTS

All confidential documents (dealing with Board Members and Minutes) shall be kept on KIKAO and in soft copy in the marked out computer by the CM – OPS under a folder with a password for access.

5.1.13 INPUTS

Qualified, experienced and trained staff.

5.1.14 RESOURCES

1. Adequate Budget.
2. Adequate staff as per structure.
3. Working environment and space.
4. Computers at a ratio of 1:1.
5. Furniture as per the grading structure.
6. Stationery and office equipment.
7. Internet connectivity

5.1.15 KEY PERFORMANCE INDICATORS

1. Timely submission of documentation to the Board Committees and Team One Meetings.
2. Timely Decision making for issues affecting the Department.

5.1.16 OUTPUTS

Board Policies/Decisions/approvals/Resolutions.

5.1.17 RISKS

Refer to the Departmental Risk Register

5.1.18 OPPORTUNITIES

1. Promotion prospects
2. Training for skills enhancement
3. Recognition and awards
4. Increased digitization

5.1.19 ATTACHMENTS

1. The current checklist for Meetings is attached and marked as BC001.
2. The list of items for the Meetings is attached and marked as BC002.
3. A sample duty roster for the Secretaries in the office is attached and marked as BC003.

BC001 – MEETINGS CHECKLIST**LEGAL SERVICES AND BOARD COORDINATION DEPARTMENT****CHECKLIST FOR BOARD AND BOARD COMMITTEE MEETINGS****Committee/Board Meeting Name:** _____**Date:**

S/No	TASK	STATUS
1.	Request File	
2.	Do 1 st and 2 nd Drafts of the Minutes/summary of Deliberations	
3.	Dispatch action points to Departments	
4.	Notice of the Meeting to Board Members	
5.	Agenda.	
6.	Typing Table of Contents.	
7.	Typing Mems.	
8.	Receipt of Responses to Matters Arising	
9.	Typing Table of Matter Arising	
10.	Compiling and send PDF documents to Board Affairs	
11.	Request for sitting /Monthly Allowance for Directors	
12.	Request for per Diem Allowance for Directors	
13.	Request Air Ticket for Directors	
14.	Buy snacks for Commissioners during the Board Meeting	

S/No	TASK	STATUS
15.	Cutting and pasting Minutes	
16.	Prepare Daily Attendance Register for Director Signature	
17.	Calling Directors to confirm their availability in the meeting.	
18.	Ensuring all documents are in place e.g. Chairman's Signature	
19.	Prepare the Boardroom	
20.	Driver to be on standby.	
21.	Typing decisions/Resolutions and dispatch	
22.	Dispatch of Documents to the AG	
23.	Banking of Cheques for Directors	

Name..... Signature..... Date.....

BC002 – LIST OF ITEMS

- 1 A5 draft pads.
- 2 Pens.
- 3 Fountain pen for signature.
- 4 LCD projector.
- 5 T.V./DVD/Video Deck.
- 6 Standby Motor Vehicle.

BC003 – SAMPLE DUTY ROSTER

January	Name A
February	Name B
March	Name C

6.0 WORK PROCEDURES FOR CONVEYANCING AND LEGAL RESEARCH DIVISION

**PROCEDURE FOR PREPARATION OF CONTRACTS AND LEASES; CHARGING
AND SALE OF IMMOVABLE PROPERTIES; AND DISTRESSING AND SALE OF
MOVABLE PROPERTIES.**

APPROVED BY

DATE

COMMISSIONER –

LEGAL SERVICES & BOARD

COORDINATION DEPARTMENT

CHECKED BY

DATE

CHIEF MANAGER –

CONVEYANCE



KRA/LS&BC/WPM/2023/001

ISO 9001:2015 CERTIFIED

INTERNAL

CHECKED BY

DATE

CHIEF MANAGER –

LEGAL RESEARCH

PREPARED BY

DATE

MANAGER –

OPERATIONS/

ISO CHAMPION

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6.1.2 AMENDMENT SHEET

ISSUE & REV. NO.	SUBJECT OF AMENDMENT	REVIEWED BY & SIGNATURE:	AUTHORISED BY & SIGNATURE:	DATE
	Definitions			
	Stepwise Procedure- MoUs			
	Stepwise Procedure – Charge And Sale Of Immovable Properties And Distress And Sale Of Movable Property			
	Attachments			

6.1.3 PURPOSE

This Division has been mandated by the Head of Department through the Division's Performance Contract to prepare or review contracts and leases for the goods, works and services bought by the Authority as well as for the leasing or renting various properties held by the Authority. Further, the Division is mandated to oversee the registration of charges to ensure centralization and tracking of the same as well as ensuring the charged properties are sold to recover taxes from defaulting Taxpayers. In addition, it is mandated to facilitate the issuance of distress orders and enforcing the same through the sale of the movable properties of defaulting Taxpayers.

6.1.4 SCOPE OF APPLICATION

Ordinarily, contracts for goods, works and services bought as well as leases to premises owned and leased by the Authority are forwarded to this Division to prepare and/or review on the same on behalf of the Authority. Further, the Division also receives instructions to charge and sell the immovable properties of defaulting Taxpayers and to facilitate the issuance of distress orders and enforcement of the same on the movable properties of defaulting Taxpayers.

6.1.5 DEFINITIONS**Charge**

An interest in land securing the payment of money or money's worth or the fulfillment of any condition, and includes a sub-charge and the instrument creating a charge.

Contract

An agreement between two or more people to do something, especially one formally set forth in writing and enforceable by law; compact; covenant and shall include a framework contract, framework agreement, medical services agreement, optical services agreement and dental services agreement.

Document

Any writing that provides information of an official nature.

6.1.5.1 Immovable Property

Where the context so admits means Land or building.

Lease

An agreement by which one party (landlord or lessor) gives to another (tenant or lessee) the use and possession of lands, buildings, property, space etc. for a specified time and for fixed payments.

Movable Property

Where the context so admits means property that is not immovable property and which is the subject of distress orders as provided under the Tax Procedures Act.

Memorandum of Understanding (MoUs)

An agreement between two (2) parties constituting statements of the mutually acceptable intentions and expectations of the Parties with respect to its contents but does not constitute any legal obligation binding on either Party.

Properties

Where the context so admits means Movable and Immovable Properties.

Service Level Agreement (SLAs)

Is a commitment between a Legal Services and Board Coordination Department and our stakeholders on aspects of quality, availability, responsibilities of services.

Taxpayer

A person liable for tax under a tax law whether or not they have accrued any tax liability in a tax period Section 3 Tax Procedures Act.

Technical Officer (TO)

Where the context so admits means Assistant Manager – Conveyance, the Supervisor – Conveyance and the Officer – Conveyance.

6.1.6 CROSS REFERENCES

1. The Auctioneers Act, 1996.
2. The Constitution of Kenya, 2010.
3. The Kenya Revenue Authority Cap. 469 of the Laws of Kenya.
4. The Land Act, 2012.
5. The Land Registration Act, 2012.
6. The Tax Procedures Act, 2015.
7. The Eighth Corporate Plan of the Kenya Revenue Authority.
8. The ISO 9001:2015 International Standards.
9. The Public Procurement and Asset Disposal Act ,2015.
10. The Public Procurement and Asset Disposal Regulations,2020.
11. The Cyprus Declaration, the various recommendations by the World Customs Organization and the United Nations universal declaration of human rights of 1948.
12. Kenya Revenue Authority Quality Management Systems Requirements.

13. Performance Contract of the Commissioner – Legal Services & Board Coordination (hereinafter referred to as Commissioner -LS&BC).
14. Departmental Risk Register.

6.1.7 RESPONSIBILITY FOR APPLICATION

The Commissioner– LS&BC shall be the owner of all the processes under this work procedure. Any amendments or overhaul of these procedures shall have the express approval of the Commissioner who is responsible for providing strategic leadership in the formulation and implementation of strategies and policies for the Legal Services and Board Coordination Department functions as well as discharge the duties of the KRA Board Secretary.

The Commissioner– DTD shall assist in the implementation of the strategy for debt collection through identification of defaulting taxpayers for purposes of charging and sale of immovable properties and distressing and sale of movable properties of the defaulting Taxpayers.

The Commissioner– I&SO shall assist in the implementation of the strategy for debt collection through identification of properties (both movable and immovable) of defaulting taxpayers for purposes of charging and sale of immovable properties and distressing and sale of movable properties of the defaulting Taxpayers.

Chief Manager – Conveyance (hereinafter referred to as CM – C) who is responsible for the implementation of policy and strategy related to Conveyancing as well as offering team leadership in the Conveyancing function.

Manager – Conveyance (hereinafter referred to as M – C) who is responsible for ensuring effective management and implementation of strategy related to Conveyancing function.

Assistant Manager – Conveyance (hereinafter referred to as AM – C) who is responsible for providing conveyancing services on matters affecting the Authority and follow up on compliance with statutory requirements.

Supervisor – Conveyance (hereinafter referred to as S - C) - who is responsible for quality control of legal instruments and implementation of the strategy of recovery of debt through sale of property.

Officer – Conveyance (hereinafter referred to as O - C) - who is responsible for quality control of legal instruments and implementation of the strategy of recovery of debt through sale of property.

Chief Manager – Operations (hereinafter referred to as CM-OP) who is responsible for coordinating activities and ensuring efficient & effective management of Departmental resources/activities and compliance with directives from the Commissioner in the process of discharging and performance of his/her administrative functions.

Manager – Operations (hereinafter referred to as M – OP) who is responsible for the implementation of policy and strategy related to operational and support services.

Manager – Registry (hereinafter referred to as M – Reg) who is responsible for the implementation of policy and strategy related to records management and process service.

Assistant Manager – Operations (hereinafter referred to as S – OP) who is responsible for providing operational and support services on matters affecting the Department.

Supervisor – Process Server (hereinafter referred to as S – PS) who is responsible for the implementation of policy and strategy related to records management and process service.

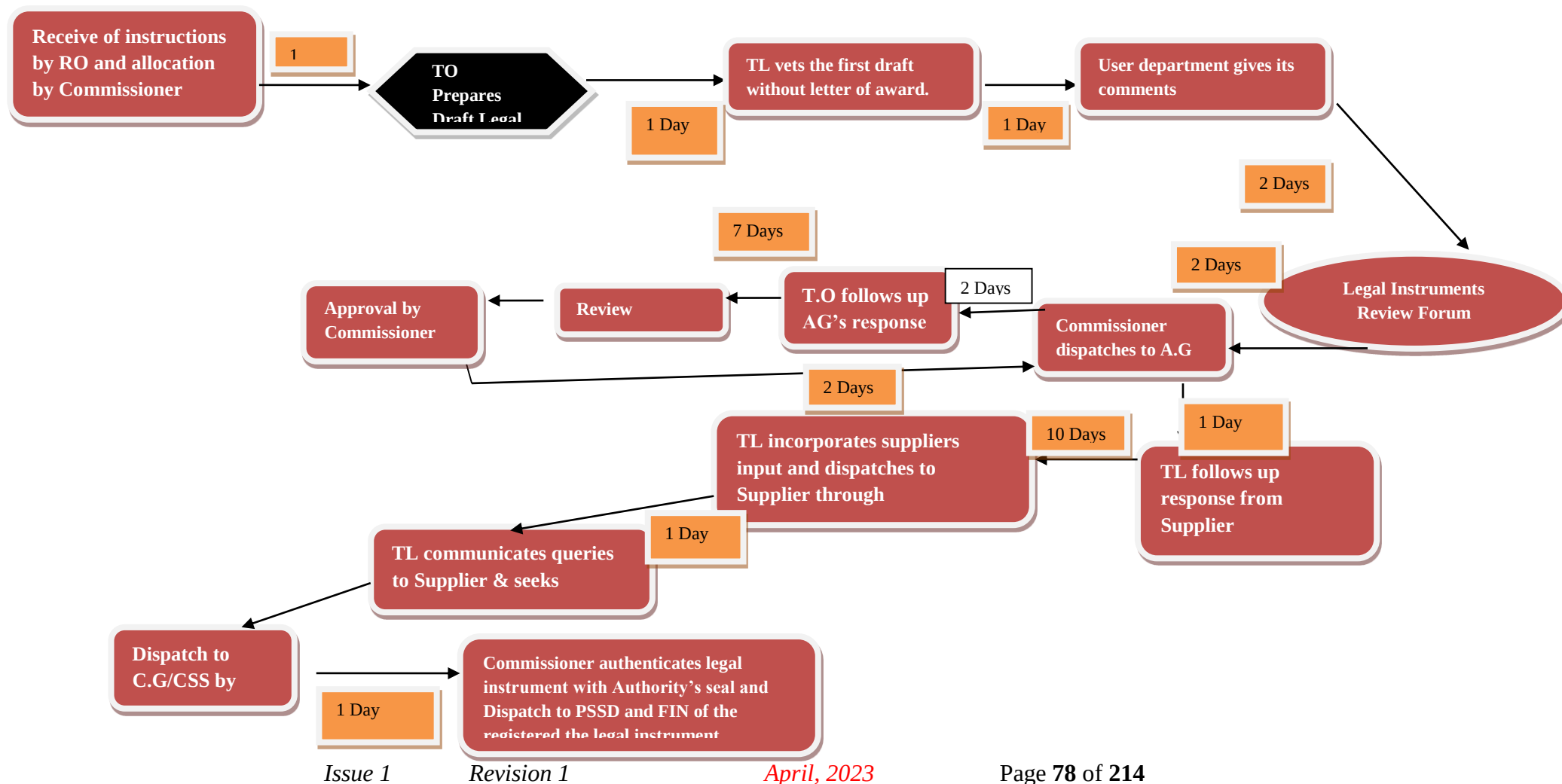
Secretary who is responsible for offering the office administrative services in the Department.

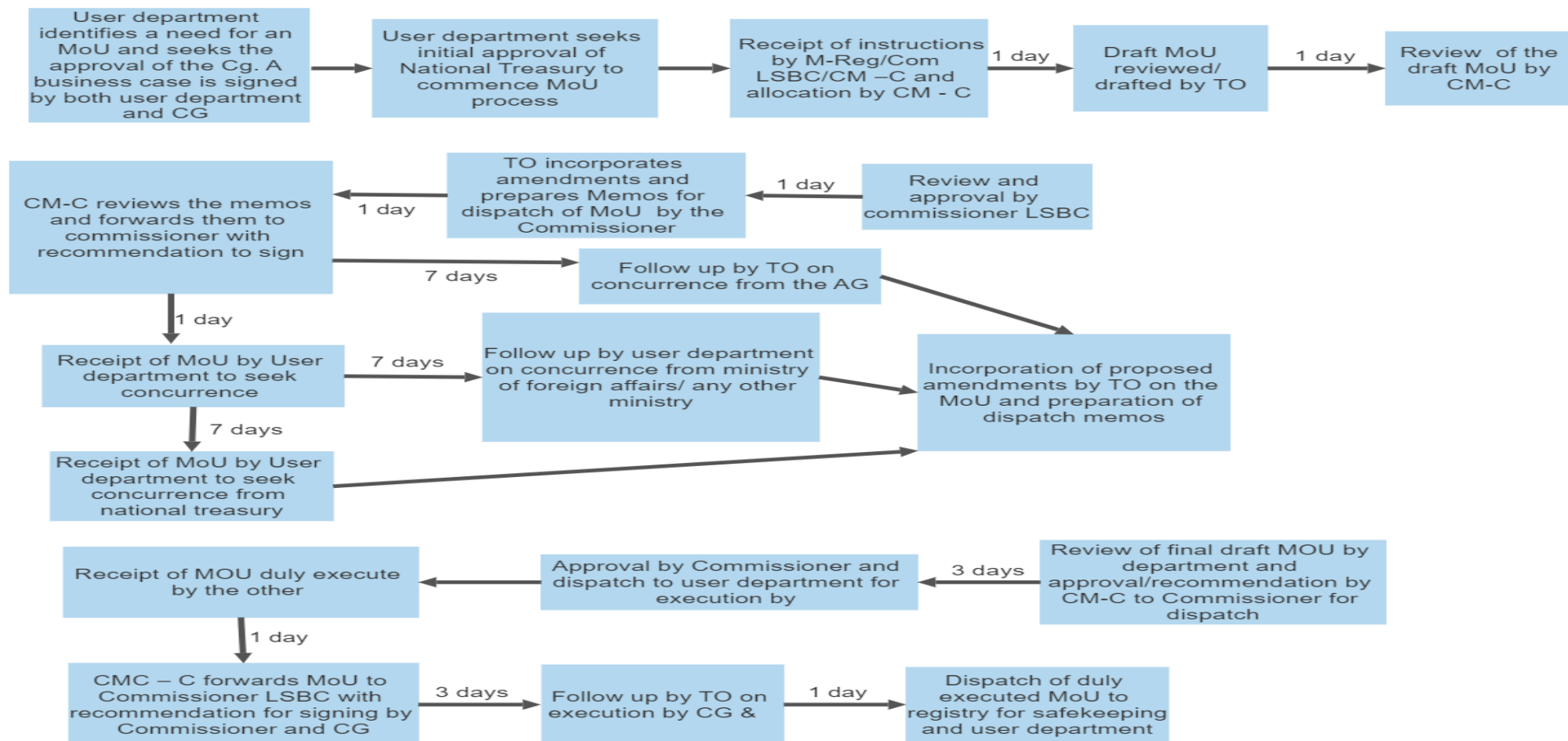
Office Assistant (hereinafter referred to as OA) who is responsible for offering administrative office support services.

Driver who is attached to the Office of the Head of Department.

Manager – Commissioner’s Office (hereinafter referred to as M – CO) who is responsible for providing legal and administrative support to the Commissioner’s Office by working closely with the Commissioner in managing and executing day to day office operations for efficiency and effectiveness of the Department.

6.1.8 a) STEP WISE PROCEDURE CONVEYANCING CONTRACTS, SLA'S & LEASES



b) STEPWISE PROCEDURE- MEMORANDUM OF UNDERSTANDING (MOU)


6.1.9 PROCESS WORKFLOW

a) **Step Wise Procedure Conveyancing Contracts, SLA's & Leases**

1. Receipt of Legal Instrument by the Commissioner's Office

The Manager – Registry will either receive a complete set of documents or advance copies of the Legal Instrument and forward to the Chief Manager - Conveyance for allocation to a Technical Officer within one (1) day.

2. Vetting

The Technical Officer shall prepare/review the Legal Instrument within five (5) days and forward the same to the User Departments for their approval within 1 (one) day.

After the Legal Instrument has been vetted and approved by the User Department, the Legal Instrument is forwarded back to the Technical Officer for incorporation of amendments within 1 (one) day of receipt of legal Instrument.

3. Execution of the Legal Instrument by the Supplier/LandLord

The Supplier/Landlord will be expected to execute the Legal Instrument within 4 (four) days and submit it back to the Technical Officer for quality control. Any queries by the supplier/landlord related to the Legal Instrument will be done before execution of the Legal Instrument by the supplier/landlord.

4. Execution of the Legal Instrument by the Authority

The Technical Officer will forward the duly executed Legal Instrument to the CM-C for recommendation of execution by the Commissioner General/Commissioner of Corporate Support Services and the Commissioner – LS&BC within 1 (one) day upon receipt from the Supplier/Landlord. Authentication of the same with the Authority's seal will also be done.

Request for allocation is made by the Technical Officer to CM –O for allocation of Legal Instrument for registration/ stamping to S – PS within 1 (one) day upon receipt of the executed Legal Instrument.

5. Distribution to Suppliers and Landlords

Upon registration/ stamping, the CM – C shall send out one (1) set of the registered/ stamped legal instrument to the supplier/landlord within one (1) day upon receipt from S - PS.

6.1.9.1 Safekeeping

Technical Officer shall forward the executed and registered/ stamped Legal Instruments in two (2) sets to Manager – Reg for safekeeping within one (1) day upon receipt from S - PS.

b) Step Wise Procedure MoU's

1. Receipt of documents by the Commissioner – LS&BC's Office

The Manager – Registry (Registry Officer) will receive either the draft MoU or the advance copies of the documents for preparation or review of the MoU.

This will be marked appropriately and passed to the Allocation Officer (Commissioner – LS&BC or the officer acting in that position) for allocation.

Where the Division's input is required, the Technical Officer (AM-C) will be responsible until the documents are finalized. This will be dependent on how the allocations have been done.

2. Vetting

The CM - C will allocate to the Technical Officer to prepare/review the MoU as appropriate and forward the same to the User Departments for their approval.

After the MoU has been vetted and approved, the MoU is forwarded back to the Technical Officer for incorporation of amendments, if any or forwarded to the instructing department for consideration.

3. Dispatch to the User Department/Attorney General/National Treasury

The draft MoU, after review by the TO and approval by the CM-C will be dispatched to the User Department by the CM – C through the Commissioner’s office.

The User department will be required to forward the MoU to the National Treasury for concurrence.

Where the MoU requires concurrence from another Ministry (where the other party operates under a different Government Ministry/ where the subject of the MoU falls within the mandate of a different Government Ministry) then the user department must seek concurrence from the subject Government Ministry.

Where the MoU involves a foreign entity, concurrence from the Ministry of Foreign affairs must be sought by the user department.

The CM-C will be required to seek concurrence from the Attorney General through the Commissioner LS&BC.

On receipt of response from all the offices from which concurrence is sought, Technical Officer will incorporate all amendments to the draft MoU and send the MoU to the CM-C. The CM-C will forward the final MoU to the Allocating Officer for approval and onward dispatch to the user department.

4. Execution of the MoU by the Parties

The MoU will be executed either by each party separately or by both parties in an arranged signing ceremony. Where the MoU is to be signed by each party separately, the user department will procure execution by the other party first before the MoU can be executed by the Authority. Each MoU should be signed in at least six (6) original copies in the English Language.

5. Execution of the MoU by the Authority

The Technical Officer will forward the MoU, duly executed by the other party to the CM-C for recommendation of execution by the Commissioner General and the Commissioner – LS&BC. Authentication of the same with the Authority’s seal will also be done.

6. Distribution to Parties

The user department will send three (3) original duly executed copies of the MoU to the other Party while the Authority will retain three (3) copies.

6.1.10 INPUTS

1. Qualified, experienced and trained staff.
2. Instructions for drafting or review of Contracts, Leases, MoU's and SLAs ('the Legal Instruments').
3. Documents as per the MoU checklist

6.1.11 OUTPUTS

Executed Contracts, SLAs, MoUs and Leases.

6.1.12 RESOURCES

1. Adequate Budget.
2. Adequate staff as per structure.
3. Working environment and space.
4. Computers at a ratio of 1:1.
5. Furniture as per the grading structure.
6. Stationery and office equipment.
7. Internet connectivity.

6.1.13 KEY PERFORMANCE INDICATORS

Number of Contracts, SLAs, MoUs and Leases prepared on time.

6.1.14 RISKS

Risks - Refer to the Departmental Risk Register

6.1.15 OPPORTUNITIES

1. Promotion prospects
2. Training for skills enhancement
3. Recognition and awards
4. Increased digitization to enable working offsite

6.1.16 DOCUMENTED INFORMATION RETAINED

A record of all the documents sent out for action will be kept in the relevant file and later moved to the archives within an agreed time.

6.1.17 FILING**1. Receiving the document**

For any mail (letter or document), the Manager – Registry will record the same in the "mail received" register in the computer, the date received and stamped using the office stamp.

2. Action

The Secretary on duty will forward the mail to the Commissioner – LS&BC or the officer acting in that capacity before it is forwarded to the relevant Division or the Acting Head of Department for necessary action and record a reminder for follow up after ten (10) working days.

3. Collecting Documents to be filed

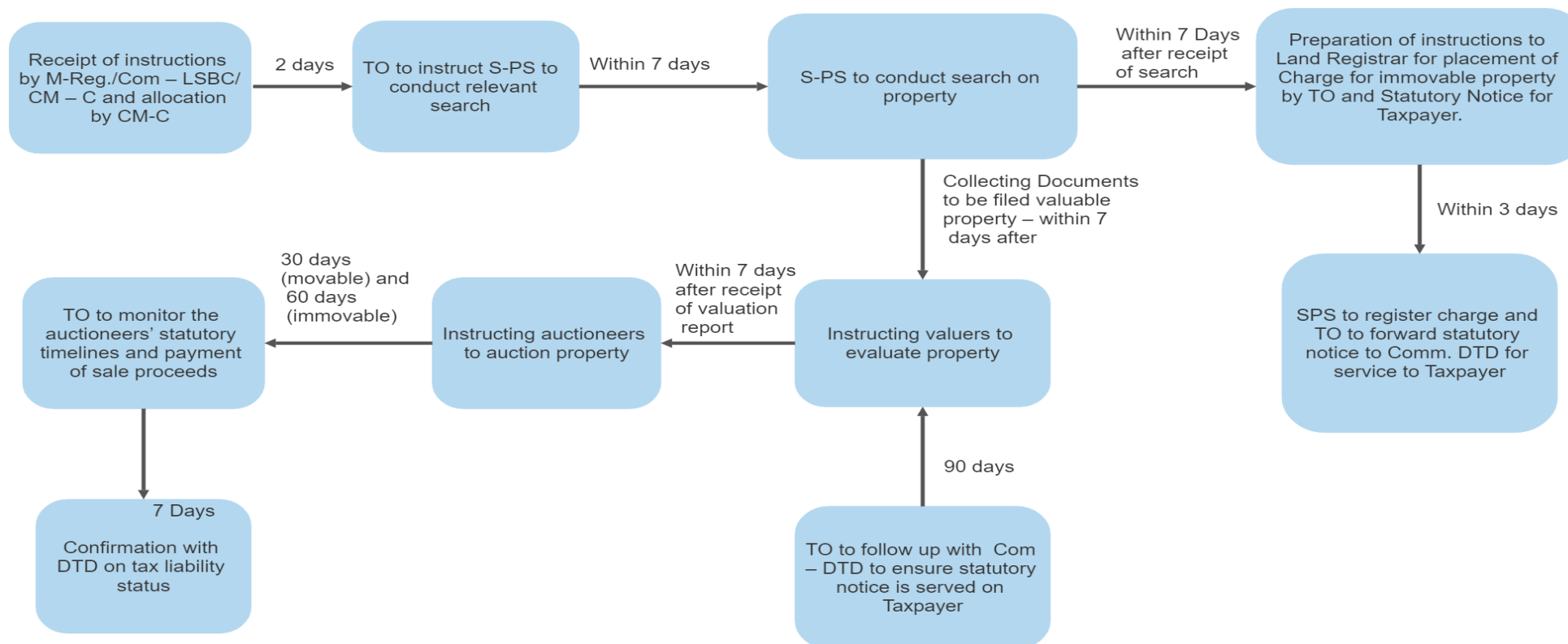
The dealt with documents are put in the out tray and dispatched to their destination. The Secretary is responsible for putting copies of the same in the relevant files and recording the document for follow up within a maximum of two weeks, where applicable.

All registered legal instruments shall be kept in soft copy in the marked out computer by the CM - OP under a folder with a password for access.

6.1.18 ATTACHMENTS

1. Documents in the safe register.
2. Legal Instruments (Contracts, SLAs, MoUs and Leases) Templates.

6.1.19 STEPWISE PROCEDURE – CHARGE AND SALE OF IMMOVABLE PROPERTIES AND DISTRESS AND SALE OF MOVABLE PROPERTIES



6.1.20 PROCESS WORKFLOW

6.1.20.1 Receipt of Instructions by the Commissioner – LS&BC’s Office

The Manager – Registry (Registry Officer) or the Commissioner LS&BC or the Chief Manager Conveyancing will receive instructions for charging immovable property or for distressing movable property either through a hard copy letter or the advance copies of the instructions via email.

The Instructions can be from Commissioner DTD or any other KRA department.

This will be marked appropriately and passed to the Allocation Officer (Commissioner – LS&BC or the officer acting in that position) for allocation.

The Allocation Officer will allocate the matter to a Technical Officer (AM-C or S-C or O-C) who will be responsible for the matter until it is finalized.

6.1.20.2 Conducting of Searches on the Properties

The TO to instruct the S-PS to conduct a search over the property at the relevant registry, that is , Lands Registry, Companies Registry or at the National Transport and Safety Authority within seven (7) days of receipt of the instructions from the Allocation Officer.

TO to prepare a letter instructing the Land Registrar to place a charge on the immovable property if the results confirm ownership by the Taxpayer. In case the results reveal that the property is not owned by the Taxpayer, TO to request for additional property details from Commissioner I&SO.

6.1.20.3 Charging of Immovable Properties

The TO to prepare the letter to the Land Registrar requesting for placement of the charge within seven (7) days of receipt of the search results verifying ownership of immovable property and instruct the S-PS to proceed and deliver the letter to the Land Registrar at the relevant Lands Office.

6.1.21 Preparation and Service of Notice of Compliance to the Taxpayer

TO to prepare Notice informing Taxpayer of placement of charge within three (3) days of instructing the Land Registrar to place the charge and forward the signed notice to

Commissioner - DTD. The notice should also advise the Taxpayer to settle the tax liability within Ninety (90) days of the date of the letter.

TO shall then follow up with Commissioner – DTD to ensure the notice is forwarded to the Taxpayer within Four (4) days of their receipt of the notice.

6.1.21.1 Valuation of Properties

Within 7 days of receipt of the search results for the movable property and confirmation that the Taxpayer is the owner, the TO to co-ordinate with the valuers for the valuation of the property.

For immovable properties, the TO to coordinate with the valuers for the valuation of the property at least seven (7) days before the lapse of the 90 days' notice to the Taxpayer.

The TO shall follow up with the valuers for provision of valuation reports of the properties.

6.1.21.2 Auctioning of properties

Within seven (7) days of receipt of the valuation reports for the properties, the TO shall co-ordinate with the Auctioneer with regard to auctioning of the property.

The TO to follow up with the Auctioneer and ensure the movable property is auctioned within 30 days of receipt of instructions and the immovable property is auctioned within 60 days of receipt of instructions by the Auctioneer.

The TO to follow up with the Auctioneer and ensure the sale proceeds are deposited in the account of the Authority immediately after the auctioneering process.

6.1.21.3 Confirmation of debt status of the Taxpayer

TO to co-ordinate with Commissioner DTD in confirming whether the debt of Taxpayer has been fully settled by the sale proceeds and whether any further recovery measures should be applied.

6.1.21.4 Records

A record of all the documents sent out for action will be kept in the relevant file and later moved to the archives within an agreed time.

6.1.21.5 Filing

Receipt of Documents.

For any mail (letter or document), the Manager – Registry will record the same in the "mail received" register in the computer, the date received and stamped using the office stamp.

4. Action

The Secretary on duty will forward the mail to the Commissioner – LS&BC or the officer acting in that capacity before it is forwarded to the relevant Division or the Acting Head of Department for necessary action and record a reminder for follow up after ten (10) working days.

5. Collecting Documents to be filed

The dealt with documents are put in the out tray and dispatched to their destination. The Secretary is responsible for putting copies of the same in the relevant files and recording the document for follow up within a maximum of two weeks, where applicable.

6.1.21.6 Inputs

1. Qualified, experienced and trained staff.
2. Instructions for Charging, distressing and sale of properties.

6.1.21.7 Outputs

1. Post registration search results indicating property is charged.
2. Reports on status of sale of properties.
3. Recovery of Taxes.

6.1.21.8 Resources

1. Adequate Budget.
2. Adequate staff as per structure.
3. Adequate Valuers and Auctioneers in the Panel.
4. Working environment and space.
5. Computers at a ratio of 1:1.

6. Furniture as per the grading structure.

7. Stationery and office equipment.

8. Internet connectivity.

6.1.21.9 Key Performance Indicators

1. Number of charges placed.

2. Number of searches conducted at Lands Registries, Companies Registry and at National Transport and Safety Authority.

3. Progress made on sale of properties.

4. Amount of taxes recovered.

6.1.21.10 Risks

Risks - Refer to the Departmental Risk Register

6.1.21.11 Opportunities

1. Promotion prospects

2. Training for skills enhancement

3. Recognition and awards

4. Increased digitization to enable working offsite

6.1.21.12 Documented Information Retained

A record of all the documents sent out for action will be kept in the relevant file and later moved to the archives within an agreed time.

Attachments

1. Documents in the safe register.

2. Request for Charging.

3. Notice of Compliance

SALE FORM 1

LETTER OF INSTRUCTION

Date

To: Name and address of auctioneer:

.....

1. Name and address of instructing party:

2. Name and address of instructing advocate:

3. (a) Name and address of property owner:

.....

(b) Name and address of principal debtor:

.....

4. (a) Physical address of property to be seized/repossessed* and sold as per annexure:

.....

(b) Person to point out locality and property:

.....

(c) Legal description of property to be seized/repossessed* and sold:

.....

5. Statutory provisions under which seizure/repossessed* and sale is authorized:

.....

6. (a) Amount to be recovered as at date of letter of instruction: KSh.

.....

(b) Daily rates thereafter (interest/rent/storage*): KSh.....

.....

7. Additional charges to be recovered:

(a) estimated legal cost: KSh.

.....

(b) estimated Auctioneers fees: KSh.

8. Reserve prices or reasons for selling without reserve:

.....

9. Advertising instruction/expense authorized:

.....

10. We the instructing party or its advocate on its behalf hereby:

(i) confirm that all statutory conditions precedent to seizure/repossession* and sale have been complied with;

(ii) request you to sell the property described in paragraph 4 by public auction at the best price obtainable subject to the reserve prices indicated in paragraph 8;*

(iii) hereby agree to indemnify you against all costs, damage, losses and expenses you may incur in the lawful exercise of your duties as a licensed auctioneer;

(iv) agree to pay your charges as per fees already agreed*/as specified in the Auctioneers Rules.

.....

Signature of instructing party or its advocate

Note. In some cases such as income tax or value added tax distraint and in the event of objection proceedings or applications for a stay, extra penalties/interest/storage and other charges may be incurred and may require payment in advance.

LEGAL SERVICES AND BOARD COORDINATION DEPARTMENT**Ref:****Date:****Name of taxpayer,****P.O. Box**

.....

Dear Sir/Madam**RE: NOTICE OF SALE OF DUE TO
OUTSTANDING TAX ARREARS OF KSHS.**

We refer to the above matters and to the enclosed tax demand which indicates that you have an outstanding tax arrears of **Kshs**.....

We wish to notify you that a Charge has been registered on your properties above for failure to pay the outstanding tax arrears amounting to **Kshs**.....

Please note that the amount remains due and payable and notice is hereby given to you to pay the outstanding tax arrears of **Kshs**..... within 90 days from the date of service of this notice.

Kindly note that failure to comply with this notice shall prompt the Commissioner to put the above-mentioned properties up for sale in accordance with the powers vested in section 40 (3) of the Tax Procedures Act.

Yours,

Commissioner – Legal Services & Board Coordination.

Encl.



Our Ref:.....

DATE:.....

The Registrar of Titles

Ministry of Lands and Physical Planning

..... Land Registry

.....

Dear

**RE: CHARGE OVER PROPERTYTO SECURE TAX
LIABILITY**

TAXPAYER:

PIN No.

The above matter refers.

2.

I hereby direct under the Provisions of Section 40(1) of the Tax Procedure Act 2015 that the above lands or buildings to the extent of the Interest therein of
– **P.....**, shall be the subject of security for income tax for the sum of **Kenya Shillings** and I request you to forthwith register this direction as an instrument of mortgage over or charge on such lands or buildings.

Yours

.....

For: Commissioner – Legal Services & Board Co-ordination

7 WORK PROCEDURES FOR PROVISION OF LEGAL RESEARCH AND OPINIONS

7.1.1 AMENDMENT SHEET

ISSUE & REV. NO.	SUBJECT OF AMENDMENT	REVIEWED BY & SIGNATURE:	AUTHORIZED BY & SIGNATURE:	DATE

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7.1.3 PURPOSE

The Legal Services and Board Coordination Divisions have been mandated by the Head of Department through the Divisions' Performance Contracts to provide legal opinions for issues that affect the Authority's operations.

7.1.4 SCOPE OF APPLICATION

Ordinarily, advice and opinions are sought by Departments for matters that touch on the Authority's operations.

7.1.5 DEFINITIONS

7.1.5.1 Legal Opinion

A written explanation given by lawyers laying out the rationale and legal principles of a matter.

7.1.5.2 Document

Any writing that provides information of an official nature.

7.1.5.3 Officer in charge

Any person with the highest grade and directly answerable to the Commissioner – LS&BC in the office.

7.1.5.4 Call Over

A meeting of lawyers to review cases, which are being handled within the period and those that require special mention.

7.1.6 CROSS REFERENCES

1. The Kenya Revenue Authority Cap. 469 of the Laws of Kenya.
2. The Eighth Corporate Plan of the Kenya Revenue Authority.

3. The ISO 9001:2015 International Standards.
4. Kenya Revenue Authority Quality Management Systems Requirements.
5. Performance Contract of the Commissioner – Legal Services & Board Coordination (hereinafter referred to as Commissioner – LS&BC).
6. Departmental Risk Register.

7.1.7 RESPONSIBILITY FOR APPLICATION

The Commissioner– LS&BC shall be the owner of all the processes under this work procedure. Any amendments or overhaul of these procedures shall have the express approval of the Commissioner– LS&BC who is responsible for providing strategic leadership in the formulation and implementation of strategies and policies for the Legal Services and Board Coordination functions as well as discharge the duties of the KRA Board Secretary.

Chief Manager – Conveyance (hereinafter referred to as CM – C) who is responsible for the implementation of policy and strategy related to Conveyancing as well as offering team leadership in the Conveyancing function.

Manager – Legal Research (hereinafter referred to as M – CLR) who is responsible for the implementation of policy and strategy related to Conveyancing and Legal Research as well as offering team leadership in Conveyancing and Legal Research functions.

Assistant Manager – Conveyance and Legal Research (hereinafter referred to as AM – CLR) who is responsible for providing conveyancing and Legal Research services on matters affecting the Authority and follow up on compliance with statutory requirements.

Chief Manager – Operations (hereinafter referred to as CM-OP) who is responsible for coordinating activities and ensuring efficient & effective management of Departmental resources/activities and compliance with directives from the Head of Department in the process of discharging and performance of his/her administrative functions.

Manager – Business Transformation Office (hereinafter referred to as M – BTO) who is responsible for the implementation of policy and strategy related to operational and support services.

Manager – Registry (hereinafter referred to as M – Reg) who is responsible for the implementation of policy and strategy related to records management and process service.

Assistant Manager – Operations (hereinafter referred to as AM – OP) who is responsible for providing operational and support services on matters affecting the Department.

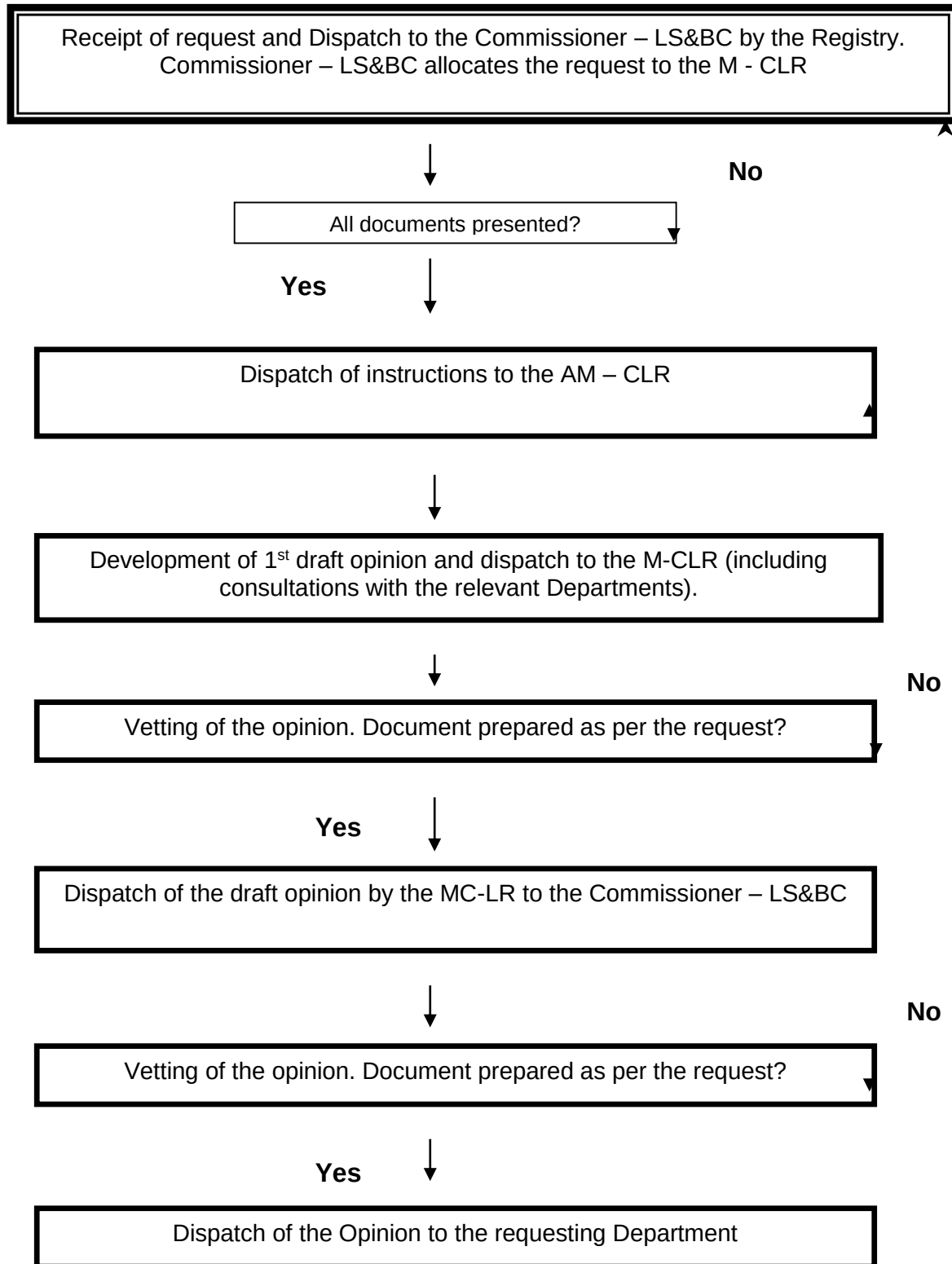
Supervisor – Process Server (hereinafter referred to as S – PS) who is responsible for the implementation of policy and strategy related to records management and process service.

Secretary who is responsible for offering the office administrative services in the Department.

Office Assistant (hereinafter referred to as OA) who is responsible for offering administrative office support services.

Driver who is attached to the Office of the Head of Department.

Manager – Commissioner’s Office (hereinafter referred to as M – CO) who is responsible for providing legal and administrative support to the Commissioner’s Office by working closely with the Commissioner in managing and executing day to day office operations for efficiency and effectiveness of the Department.

7.1.8 STEP WISE PROCEDURE LEGAL RESEARCH

7.1.9 PROCESS WORKFLOW

7.1.9.1 Forwarding of Request for Legal Opinion to the Legal Services and Board Coordination Department.

The Manager – Reg will receive the request for a legal opinion and mark it appropriately before passing the same to the Commissioner – LS&BC the officer acting in that position.

Commissioner – LS&BC or the officer acting in that position will allocate the request to the CM – LR.

7.1.9.2 Vetting and discussion at the Call Over

The M – LR will prepare the legal opinions as appropriate and forward to the CM – LR for review. Upon approval the same will be presented at the Technical Forum. Where this is not required, the opinion will be forwarded to the Commissioner – LS&BC.

After the same has been vetted and discussed at the Technical Forum, the same will be forwarded back to the M – CLR for incorporations of amendments, if any.

7.1.9.3 Dispatch to the Commissioner – LS&BC

The draft legal opinion will be dispatched to the Commissioner – LS&BC for clearance. Amendments, if any, will be done by the M – LR and vetted by the CM – LR before being forwarded to the Commissioner – LS&BC.

7.1.9.4 Dispatch to the Requesting Department

The Commissioner – LS&BC will dispatch the final opinion to the requesting Department.

7.1.10 DOCUMENTED INFORMATION RETAINED

A record of all the documents sent out for action will be kept in the relevant file and later moved to the archives within an agreed time.

7.1.11 FILING**7.1.11.1 Receiving the document**

For any mail (letter or document), the Manager – Reg. will record the same in the "mail received" register in the computer, the date received and stamped using the office stamp.

7.1.11.2 Action

The Secretary will forward the mail to the Commissioner – LS&BC or the officer acting in that capacity before it is forwarded to the relevant Division or the Acting Head of Department for necessary action and record a reminder for follow up after ten (10) working days.

7.1.11.3 Collecting Documents to be filed

The dealt with documents are put in the out tray and dispatched to their destination. The Secretary is responsible for putting copies of the same in the relevant files and recording the document for follow up within a maximum of two weeks, where applicable.

7.1.11.4 Confidential Documents

All confidential documents shall be kept in soft copy in the marked out computer by the CM – OPS under a folder with a password for access.

7.1.12 INPUTS

1. Qualified, experienced and trained staff.
2. Instructions/requests for legal opinions.

7.1.13 RESOURCES

1. Adequate Budget.
2. Adequate staff as per structure.
3. Working environment and space.

4. Computers at a ratio of 1:1.
5. Furniture as per the grading structure.
6. Stationery and office equipment.
7. Internet connectivity.

7.1.14 KEY PERFORMANCE INDICATORS

Number of legal research and opinions submitted on time.

7.1.15 OUTPUTS

Quality legal opinions and research work.

7.1.16 RISKS

Risks - Refer to the Departmental Risk Register

7.1.17 OPPORTUNITIES

1. Promotion prospects
2. Training for skills enhancement
3. Recognition and awards
4. Increased digitization to enable working offsite

7.1.18 ATTACHMENTS

None.



8

WORK PROCEDURES FOR THE LITIGATION

PROCESS

PROCEDURE FOR THE LITIGATION PROCESS

APPROVED BY _____ DATE _____

COMMISSIONER –

LEGAL SERVICES & BOARD

COORDINATION DEPARTMENT

CHECKED BY _____ DATE _____

DEPUTY COMMISSIONER –

LITIGATION

PREPARED BY _____ DATE _____

MANAGER –

OPERATIONS/

ISO CHAMPION



8.1.1 AMENDMENT SHEET

ISSUE & REV. NO.	SUBJECT OF AMENDMENT	REVIEWED BY & SIGNATURE:	AUTHORISED BY & SIGNATURE:	DATE
1 Revision 3	1. Signing of conflict forms by registry, case officer and panelists at EC 2. Update of ejuris in the litigation process 3. Fill client briefing form after strategy meeting and before hearing. 4. Litigation Structure - Change of title from Head – Litigation to Deputy Commissioner – Litigation -Reconstitution of working teams 5. Operations Structure – Introduction of Assistant Manager – Operation and Assistant Manager - Registry	1. Carol Mburugu 2. Pius Nyaga 3. Fridah Mwongera 4. Patricia Naeku 5. Nick Osoro 6. Wambui Nyaga 7. Judith Kithinji 8. Victor Chabala 9. Beatrice Odundo	Carol Mburugu	December 2022

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8.1.3 PURPOSE

The Litigation Services Division has been mandated by the Head of Department through the Division's Performance Contract to represent the Authority in all cases filed against or for the Authority (either before Court or Tribunals).

8.1.4 SCOPE OF APPLICATION

Ordinarily, cases files against the Authority are forwarded to this Division to prepare responses and represent the Authority in Court or Tribunals.

In other cases, / instances the Division receives instructions to institute cases on behalf of the Authority.

8.1.5 DEFINITIONS

8.1.5.1 Court Pleadings

Papers already filed in Court or being prepared for filing in Court.

8.1.5.2 Memorandum of Appearance/ Notice of Appointment

A notice filed in court by counsel who has been allocated a matter to show that they have been appointed to act on behalf of the Authority.

8.1.5.3 Defense/Statement of Defense/ Statement of Response

This signifies the response filed by counsel acting on behalf of the Authority in response to the allegations raised by a party suing the Authority.

8.1.5.4 Affidavit/ Replying Affidavit

A statement written/made under oath. It can either be to adduce evidence or to reply to one done in evidence.

8.1.5.5 Call Over

A meeting of lawyers to review cases, which are being handled within the period and those that require special mention.

8.1.5.6 Court Attendance Report

This is a summary form filed by counsel after handling a matter in court reporting on what happened in Court.

8.1.5.7 Master Diary

A controlling diary where all hearing and mention dates for all cases in the Division are recorded.

8.1.5.8 Daily Cause List

A daily list given by respective court registries showing the cases coming up in Court on a particular date.

8.1.5.9 External Counsel

A counsel not employed by the Kenya Revenue Authority appointed to handle a matter on behalf of the Authority.

8.1.5.10 Lead Counsel

A lawyer appointed to lead another lawyer in Court in the hearing of a particular case.

8.1.5.11 Post – Litigation Follow Up

Once a case has been concluded, the Legal Services and Board Coordination Department is expected to make a follow up on collection of revenue or compliance of any terms, if any.

8.1.5.12 Court Orders

These are pronouncements or directives by Court to either restrain or enforce the performance of an act.

8.1.6 CROSS REFERENCES

1. The Kenya Revenue Authority Cap. 469 of the Laws of Kenya.
2. The Civil Procedure Act Cap. 21 of the Laws of Kenya.
3. The Tax Procedure Act, 2016.
4. The Tax Appeals Tribunal Act, 2015.
5. The Appellate Jurisdictions Act Cap 9 of the Laws of Kenya.
6. The Judicature Act, Cap 8.
7. The Advocates Act, Cap 16.
8. The Advocates (Remuneration) Order, 2014.
9. The Income Tax Act, Cap 470.
10. The Value Added Tax Act, 2013.
11. The East African Community Customs Management Act, 2004.
12. The Excise Duty Act, 2015.
13. The Constitution of Kenya.
14. The Eighth Corporate Plan of the Kenya Revenue Authority.
15. The ISO 9001:2015 International Standards.
16. Kenya Revenue Authority Quality Management Systems Requirements.
17. Performance Contract of the Commissioner – Legal Services & Board Coordination (hereinafter referred to as Commissioner -LS&BC).
18. Departmental Risk Register.

8.1.7 RESPONSIBILITY FOR APPLICATION

The Commissioner– LS&BC shall be the owner of all the processes under this work procedure. Any amendments or overhaul of these procedures shall have the express approval of the Commissioner– LS&BC who is responsible for providing strategic leadership in the formulation and implementation of strategies and policies for the Legal Services and Board Coordination functions as well as discharge the duties of the KRA Board Secretary.

Deputy Commissioner – Litigation (hereinafter referred to as DC – LS) who in the absence of the Commissioner - LS&BC and upon delegation of the duties is responsible for the Department. He/She is responsible for overseeing the Functions and Operations of the Legal Services Division, providing and guiding all legal advice on matters affecting the Authority, preparation of legal documents, vetting of fiscal budget proposals and provision of litigation services.

Chief Manager – Litigation Services (hereinafter referred to as CM – LS) who is responsible for overseeing the Functions and Operations of the Litigation Section, provision of legal advice, preparation of legal documents and guiding litigation.

Manager – Litigation Services (hereinafter referred to as M – LS) who is responsible for the implementation of policy and strategy related to litigation as well as offering team leadership in litigation.

Assistant Manager – Litigation Services (hereinafter referred to as AM – LS) who is responsible for providing litigation services on matters affecting the Authority and follow up on compliance with Court orders.

Supervisor – Litigation Services (hereinafter referred to as S – LS) who is responsible for providing litigation services on matters affecting the Authority.

Officer – Litigation Services (hereinafter referred to as O – LS) who is responsible for providing litigation services on matters affecting the Authority.

Chief Manager – Operations (hereinafter referred to as CM-OP) who is responsible for coordinating activities and ensuring efficient & effective management of Departmental resources/activities and compliance with directives from the Head of Department in the process of discharging and performance of his/her administrative functions.

Manager – Business Transformation Office (hereinafter referred to as M – BTO) who is responsible for the implementation of policy and strategy related to operational and support services.

Assistant Manager – Operations (hereinafter referred to as AM – OP) who is responsible for the implementation of policy and strategy related to operational and support services as directed by Manager Operations

Manager – Registry (hereinafter referred to as M – Reg) who is responsible the implementation of policy and strategy related to records management and process service.

Assistant Manager – Registry (hereinafter referred to as AM – Reg) who is responsible for the implementation of policy and strategy related to records management and process service as directed by Manager Registry.

Supervisor – Operations (hereinafter referred to as S – OP) who is responsible for providing operational and support services on matters affecting the Department.

Supervisor – Process Service (hereinafter referred to as S – PS) who is responsible for the implementation of policy and strategy related to records management and process service.

Secretary who is responsible for offering the office administrative services in the Department.

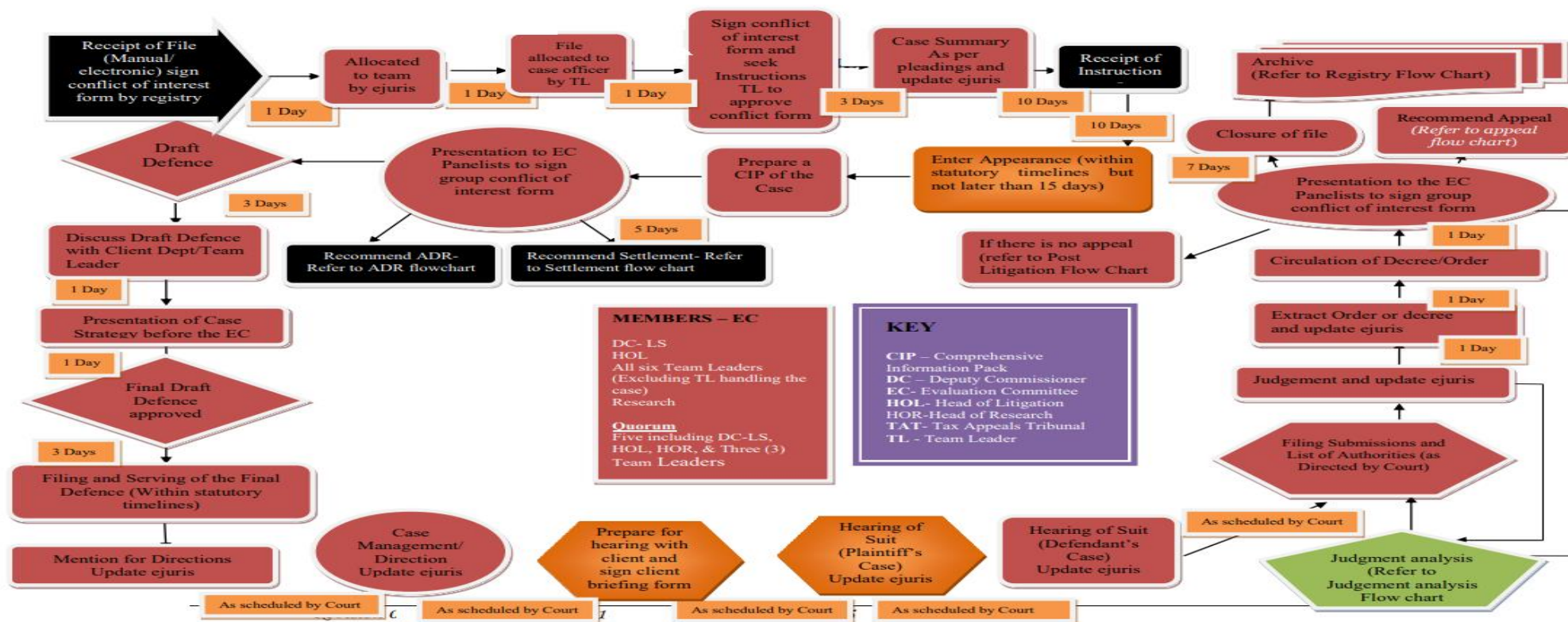
Office Assistant (hereinafter referred to as OA) who is responsible for offering administrative office support services.

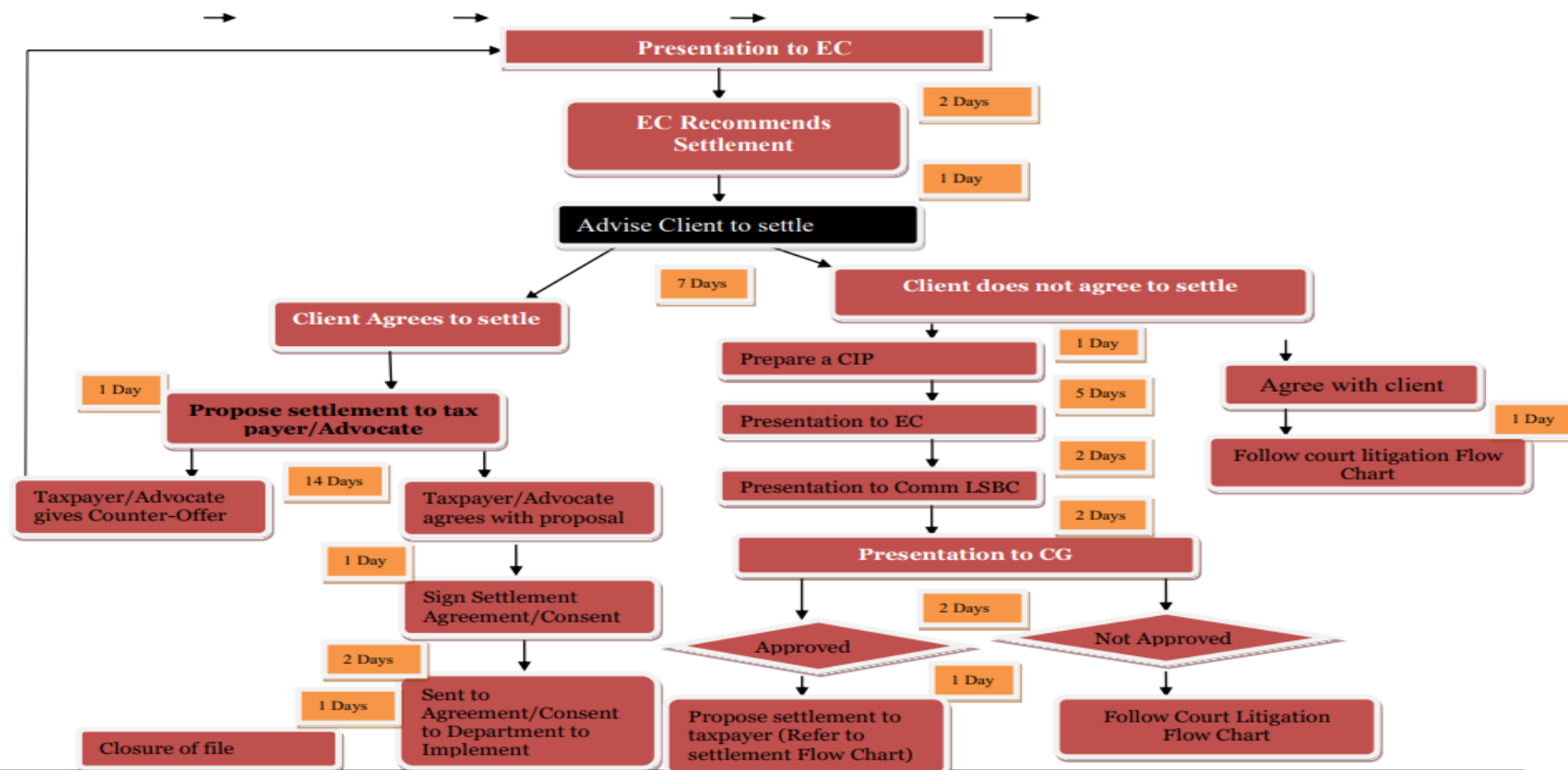
Driver who is attached to the Office of the Head of Department.

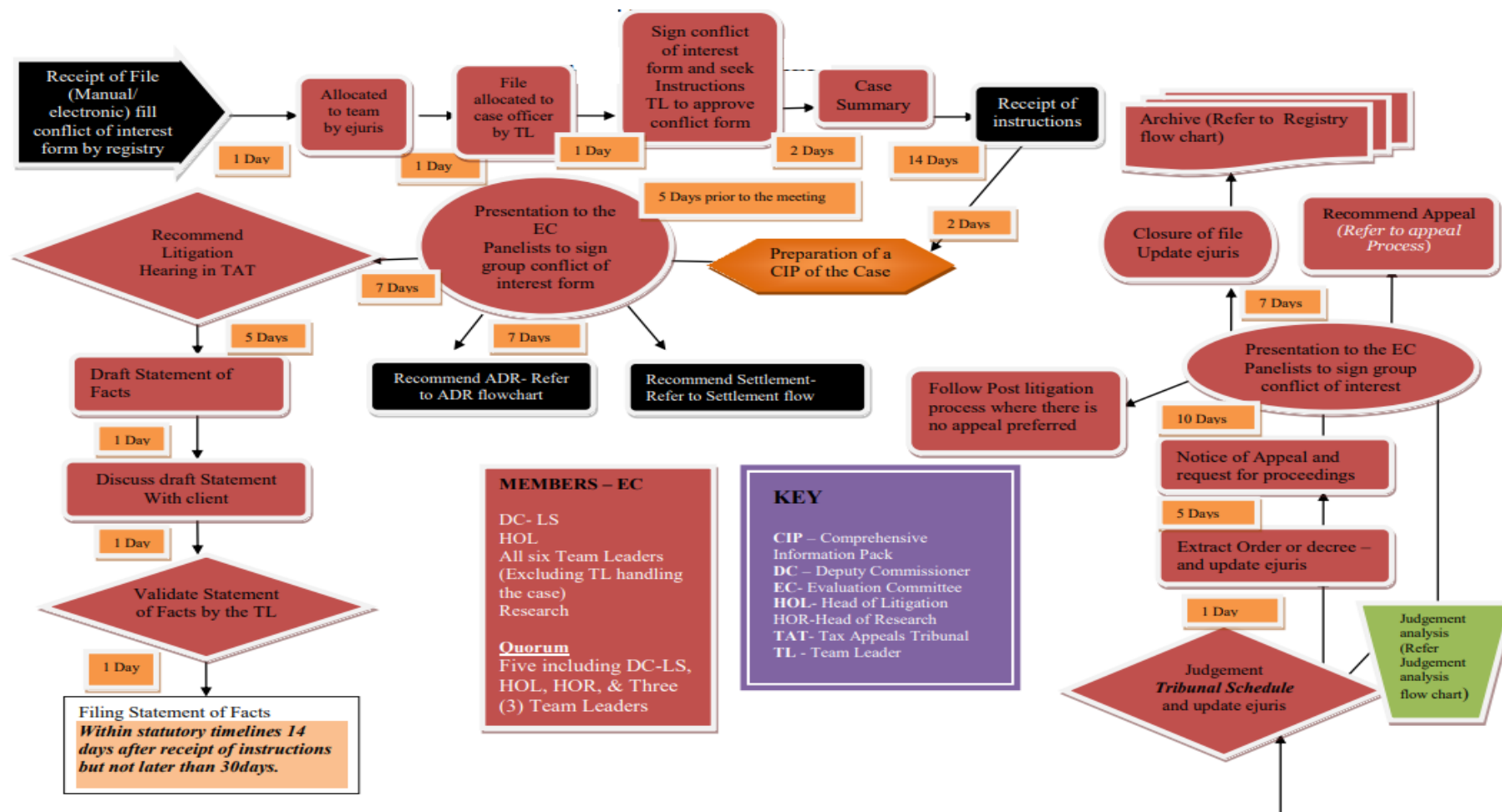
Assistant Manager – Commissioner’s Office (hereinafter referred to as AM – CO) who is responsible for providing legal and administrative support to the Commissioner’s Office by working closely with the Commissioner in managing and executing day to day office operations for efficiency and effectiveness of the Department.

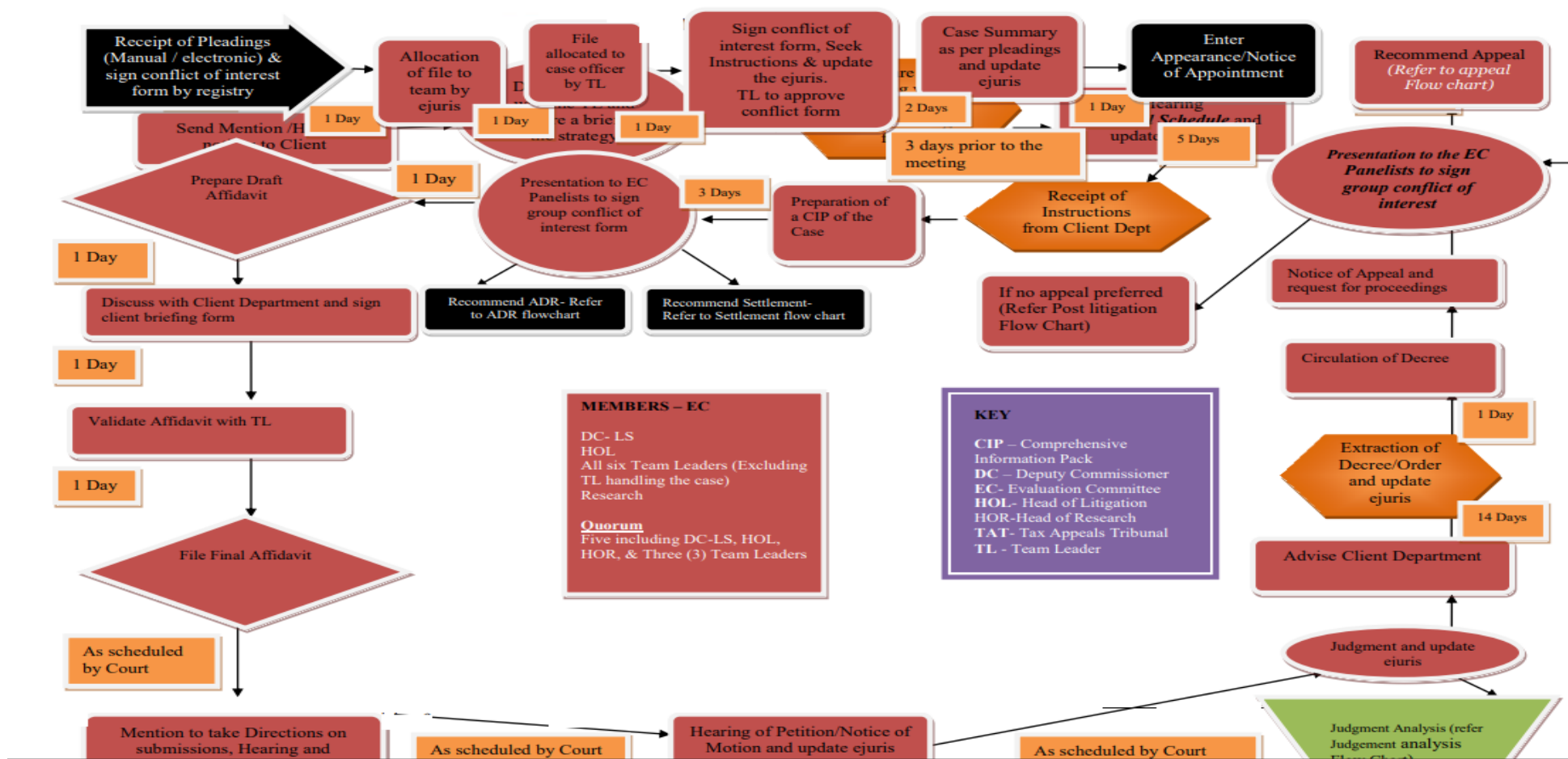
8.1.8

STEP WISE PROCEDURE









8.1.9 PROCESS WORKFLOW LITIGATION

8.1.9.1 Forwarding of documents to the DC– LS’s Office.

The Manager – Reg. will receive the filed court pleadings/court orders.

This will be marked appropriately and passed to the Allocation Officer (DC – LS or the officer acting in that position).

The Allocation Officer will mark the file to a counsel with a copy to the Team leader under who the Counsel is stationed.

8.1.9.2 Request for instructions

The counsel handling the case will review the case and request for instructions from the concerned Department.

These may be instructions to negotiate the matter out of court or to defend the Authority.

In cases where instructions have not been received, holding papers are filed so as to comply with the court timeline subject to filing supplementary or amended papers once full instructions are received.

8.1.9.3 Preparation of Pleadings as per Instructions

Upon receipt of instructions, the counsel handling the case will prepare the court pleadings in defence of the Authority or seek concurrence of the other counsel for a settlement out of court.

8.1.9.4 Attending Court and Preparation of Court Attendance Reports

The counsel handling the case will attend court hearings/mentions and prepare Court Attendance reports to be submitted to the DC – LS and Commissioner – LS&BC.

8.1.9.5 Attendance of Court for Judgement/Ruling

The counsel handling the case will attend court for Judgment/Ruling and obtain a copy of the Judgment/Ruling.

The Court Attendance report will be submitted to the DC – LS and Commissioner – LS&BC.

8.1.9.6 Ruling/Judgment Analysis

The counsel handling the case will prepare an analysis of the Judgment/Ruling and present the same to all counsel in the Department via email and during the call over Meeting.

Thereafter, an approval will be sought from the DC – LS and Commissioner – LS&BC for dispatch to the instructing Department.

8.1.10 PROCESS WORKFLOW POST LITIGATION

8.1.10.1 Receipt of Instructions

The instructing Department or the Legal Services and Board Coordination Department may deem it fit to appeal the Judgment/Ruling, where it is not in favor of the Authority or enforce the Judgment/Ruling where it is in favor of the Authority.

Instructions to appeal may be received from the instructing Department.

8.1.10.2 Preparation of Record of Appeal

The counsel handling the case shall prepare a Memorandum of Appeal and together with the Court Clerk ensure that the record of appeal is prepared and filed in Court.

8.1.10.3 Attending Court and Preparation of Court Attendance Reports

The counsel handling the case will attend court for hearing of the appeal and prepare Court Attendance reports to be submitted to the DC – LS and Commissioner – LS&BC and the relevant Department.

8.1.10.4 Attendance of Court for Judgement/Ruling

The counsel handling the case will attend court for Judgment/Ruling and obtain a copy of the Judgment/Ruling.

The Court Attendance report will be submitted to the DC – LS, Commissioner – LS&BC and the relevant Department

The Court Attendance report will be submitted to the DC – LS and Commissioner – LS&BC.

8.1.10.5 Ruling/Judgment Analysis

The counsel handling the case will prepare an analysis of the Judgment/Ruling and present the same to all counsel in the Department via email and during the call over Meeting.

Thereafter, an approval will be sought from the DC – LS and Commissioner – LS&BC for dispatch to the instructing Department.

8.1.11 PROCESS WORKFLOW SETTLEMENT OUT OF COURT

8.1.11.1 Out of court settlements.

Where the Parties have agreed on an out of Court settlement, the counsel handling the case will communicate the settlement terms to the instructing Department and other counsel.

Upon concurrence by the parties, the settlement terms will be recorded in court by the counsel handling the case and will inform the instructing Department.

8.1.11.2 Matters Handled by External Counsel

Provisions have been made for when an external counsel should be appointed and modalities for appointing them.

Where this is done, an internal counsel shall be allocated the case file to monitor its progress and liaise with the external counsel. Periodic reports shall be provided to the DC – LS and Commissioner – LS&BC.

8.1.11.3 Billing

The counsel handling a case shall cost the case as against the Advocates Remuneration Order and submit a bill of cost to the DC – LS and Commissioner – LS&BC upon conclusion of the case or on a quarterly basis, which is earlier.

For payments to be made to the external counsel, a Board Memorandum shall be prepared by the counsel handling the court case, necessary approvals sought and the same presented to the relevant Committee of the Board for approval and subsequent payment.

8.1.12 INPUTS

1. Qualified, experienced and trained staff.
2. Instructions to represent the Authority in Court.

8.1.13 RESOURCES

1. Adequate Budget.
2. Adequate staff as per structure.
3. Working environment and space.
4. Computers at a ratio of 1:1.
5. Furniture as per the grading structure.
6. Stationery and office equipment.
7. Internet connectivity.

8.1.14 KEY PERFORMANCE INDICATORS

Number of cases successfully completed.

8.1.15 OUTPUTS

1. Court cases won/settled/concluded.

2. Improved Revenue collection/compliance.

8.1.16 RISKS

Risks - Refer to the Departmental Risk Register

8.1.17 OPPORTUNITIES

1. Promotion prospects
2. Training for skills enhancement
3. Recognition and awards
4. Increased digitization to enable working offsite
5. Increased collaboration with other departments

8.1.18 DOCUMENTED INFORMATION RETAINED

A record of all the documents sent out for action will be kept in the relevant file and later moved to the archives within an agreed time.

8.1.18.1 FILING

8.1.18.2 Receiving the document

For any mail (letter or document), the Manager – Reg. will record the same in the "mail received" register in the computer, the date received and stamped using the office stamp.

8.1.18.3 Action

The Secretary on duty will forward the mail to the DC – LS or the officer acting in that capacity before it is forwarded to the relevant Division or the Acting Head of Department for necessary action and record a reminder for follow up after ten (10) working days.

8.1.18.4 Collecting Documents to be filed

The dealt with documents are put in the out tray and dispatched to their destination. The Secretary is responsible for putting copies of the same in the relevant files and recording the document for follow up within a maximum of two weeks, where applicable.

All registered legal instruments shall be kept in soft copy in the marked out computer by the CM – Ops under a folder with a password for access.

8.1.19 ATTACHMENTS

1. Guidelines on appointment of External Counsel template.
2. Guidelines on out of court settlement.

9 WORK PROCEDURES FOR THE LEGISLATIVE AMENDMENT PROCESS

PROCEDURE FOR THE LEGISLATIVE AMENDMENT PROCESS

APPROVED BY _____ **DATE** _____

COMMISSIONER –

LEGAL SERVICES & BOARD

COORDINATION DEPARTMENT

CHECKED BY _____ **DATE** _____

CHIEF MANAGER –

LEGAL RESEARCH

PREPARED BY**DATE****MANAGER –****OPERATIONS/****ISO CHAMPION**



9.1.1 AMENDMENT SHEET

ISSUE & REV. NO.	SUBJECT OF AMENDMENT	REVIEWED BY & SIGNATURE:	AUTHORIZED BY & SIGNATURE:	DATE

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9.1.3 PURPOSE

The Conveyance and Legal Research Division is mandated by the Head of Department to review tax legislation and propose amendments to seal any legal loopholes. The Department also represents the Authority in the Budget Steering Committee in preparation of the Annual National Budget Statement by the National Treasury.

9.1.4 SCOPE OF APPLICATION

The Division participates in the review of tax legislation that affects the Authority's mandate of revenue collection.

9.1.5 DEFINITIONS

9.1.5.1 Legislative

That which is stipulated by written law.

9.1.5.2 Budget Steering Committee

A Committee formed by the National Treasury to work on the annual national budget.

9.1.6 CROSS REFERENCES

1. The Kenya Revenue Authority Cap. 469 of the Laws of Kenya.
2. The Tax Procedure Act, 2016.
3. The Tax Appeals Tribunal Act, 2015.
4. The Income Tax Act, Cap 470.
5. The Value Added Tax Act, 2013.
6. The East African Community Customs Management Act, 2004.
7. The Excise Act, 2015.

8. The Finance Act.
9. The Constitution of Kenya.
10. The Eighth Corporate Plan of the Kenya Revenue Authority.
11. The ISO 9001:2015 International Standards.
12. Kenya Revenue Authority Quality Management Systems Requirements.
13. Performance Contract of the Commissioner – Legal Services & Board Coordination (hereinafter referred to as Commissioner -LS&BC).
14. Departmental Risk Register.

9.1.7 RESPONSIBILITY FOR APPLICATION

The Commissioner– LS&BC shall be the owner of all the processes under this work procedure. Any amendments or overhaul of these procedures shall have the express approval of the Commissioner– LS&BC who is responsible for providing strategic leadership in the formulation and implementation of strategies and policies for the Legal Services and Board Coordination functions as well as discharge the duties of the KRA Board Secretary.

Chief Manager –Legal Research (hereinafter referred to as CM – LR) who is responsible for the implementation of policy and strategy related to Legal Research as well as offering team leadership in the Legal Research function.

Manager –Legal Research (hereinafter referred to as M – LR) who is responsible for providing Legal Research services on matters affecting the Authority and follow up on compliance with statutory requirements.

Chief Manager – Operations (hereinafter referred to as CM-OP) who is responsible for coordinating activities and ensuring efficient & effective management of Departmental resources/activities and compliance with directives from the Head of Department in the process of discharging and performance of his/her administrative functions.

Manager – Business Transformation Office (hereinafter referred to as M – BTO) who is responsible for the implementation of policy and strategy related to operational and support services.

Manager – Registry (hereinafter referred to as M – Reg) who is responsible for the implementation of policy and strategy related to records management and process service.

Assistant Manager – Registry (hereinafter referred to as AM – Reg) who is responsible for the implementation of policy and strategy related to records management and process service as directed by Manager Registry.

Assistant Manager – Operations (hereinafter referred to as AM – OP) who is responsible for providing operational and support services on matters affecting the Department.

Supervisor – Process Server (hereinafter referred to as S – PS) who is responsible for the implementation of policy and strategy related to records management and process service.

Secretary who is responsible for offering the office administrative services in the Department.

Office Assistant (hereinafter referred to as OA) who is responsible for offering administrative office support services.

Driver who is attached to the Office of the Head of Department.

Assistant Manager – Commissioner’s Office (hereinafter referred to as AM – CO) who is responsible for providing legal and administrative support to the Commissioner’s Office by working closely with the Commissioner in managing and executing day to day office operations for efficiency and effectiveness of the Department.

9.1.8 PROCESS WORKFLOW

9.1.8.1 Proposal for Amendment

The Commissioner – LS&BC will request the staff within the Department to review the existing tax laws and prepare any proposed amendments that would be to the benefit of the Authority.

In other cases, the staff in the Department may note a loophole in the Law that may need sealing.

9.1.8.2 Submission of Proposed Amendment/Opinion

The staff proposing an amendment shall come up with a proposal to be circulated to all counsel for discussion during the call over. This will detail among other things, the need for the amendment and the mischief that intends to be cured.

Once the proposal has been discussed and approved, the same will be forwarded to the implementing Department.

9.1.8.3 Submission to the Implementing Department

The implementing Department will review the proposal and either agree to or reject the proposed amendments with necessary reasons or recommendations.

Where approved, the same will be forwarded for discussion at the Team One Meeting. Where rejected, the same will be forwarded back to the Legal Services and Board Coordination Department.

9.1.8.4 Submission to Team One

The Team One will review the proposal and either agree to or reject the proposed amendments with necessary reasons or recommendations.

Where approved, the same will be forwarded to the Budget Steering Committee where the Legal Services and Board Coordination Department is represented. Where rejected, the same will be forwarded back to the implementing Department.

9.1.8.5 Attendance to the Budget Steering Committee

The counsel from the Legal Services and Board Coordination Department representing the Authority will attend the Budget Steering Committee at the National Treasury.

A report will be submitted to the M - CLR and Commissioner – LS&BC.

9.1.8.6 Adoption of the amendments into the Finance Bill

Upon presentation of the Annual Budget Statement by the Cabinet Secretary, the National Treasury, the counsel from the Legal Services and Board Coordination Department representing the Authority in the Budget Steering Committee at the National Treasury will prepare a summary of the amendments adopted, for presentation at the call over.

9.1.8.7 Billing

The counsel from the Legal Services and Board Coordination Department representing the Authority in the Budget Steering Committee at the National Treasury will submit a bill of cost to the M - CLR and Commissioner – LS&BC upon conclusion of the exercise.

9.1.9 DOCUMENTED INFORMATION RETAINED

A record of all the documents sent out for action will be kept in the relevant file and later moved to the archives within an agreed time.

9.1.10 FILING

9.1.10.1 Receiving the document

For any mail (letter or document), the Manager – Reg. will record the same in the "mail received" register in the computer, the date received and stamped using the office stamp.

9.1.10.2 Action

The Secretary on duty will forward the mail to the DC - LS or the officer acting in that capacity before it is forwarded to the relevant Division or the Acting Head of Department for necessary action and record a reminder for follow up after ten (10) working days.

9.1.10.3 Collecting Documents to be filed

The dealt with documents are put in the out tray and dispatched to their destination. The Secretary is responsible for putting copies of the same in the relevant files and recording the document for follow up within a maximum of two weeks, where applicable.

9.1.11 INPUTS

1. Qualified, experienced and trained staff.
2. Proposals for legislative amendments.

9.1.12 RESOURCES

1. Adequate Budget.
2. Adequate staff as per structure.
3. Working environment and space.
4. Computers at a ratio of 1:1.
5. Furniture as per the grading structure.
6. Stationery and office equipment.
7. Internet connectivity

9.1.13 KEY PERFORMANCE INDICATORS

Number of legislative proposals submitted to the Strategy, Innovation and Risk Management.

9.1.14 OUTPUTS

1. Quality legislative proposals.
2. Legislative proposals accepted by the National Treasury

9.1.15 RISKS

Risks - Refer to the Departmental Risk Register

9.1.16 OPPORTUNITIES

1. Promotion prospects
2. Training for skills enhancement
3. Recognition and awards
4. Increased digitization to enable working offsite,
5. Increased collaboration with other departments and stakeholders

9.1.17 ATTACHMENTS

None.

10 WORK PROCEDURES FOR THE TAX DISPUTE RESOLUTION PROCESS

APPROVED BY _____ **DATE** _____

COMMISSIONER –

LEGAL SERVICES & BOARD

COORDINATION DEPARTMENT

CHECKED BY _____ **DATE** _____

DEPUTY COMMISSIONER -

TAX DISPUTE RESOLUTION

PREPARED BY _____ **DATE** _____

CHIEF MANAGER –

OPERATIONS/

ISO CHAMPION



10.1.1 AMENDMENT SHEET

ISSUE & REV. NO.	SUBJECT OF AMENDMENT	REVIEWED BY & SIGNATURE:	AUTHORIZED BY & SIGNATURE:	DATE
Issue 1 Rev 3	10.1.7 Cross References 10.1.8 Responsibility for Application 10.1.9 Stepwise Procedures for workflow 10.1.10 Process Independent Review of Objections 10.1.11 Documented Information Retained 10.1.20 Attachments	DC TDR	Commissioner – LS & BC	

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10.1.3 PURPOSE

The purpose of this procedure is to outline how the officers of Tax Dispute Resolution Division (TDR) shall manage the TDR processes for the benefit of the Kenya Revenue Authority.

10.1.4 SCOPE OF APPLICATION

The work procedures manual is applicable by the Tax Dispute Resolution Division to cover the following:

10.1.4.1 Independent Review of Objections under Section 51 of the Tax Procedures Act (TPA) No. 29 of 2015 and Section 229 of the East African Community Customs Management Act (EACCMA), 2004.

For purposes of Section 229 of EACCMA, only disputes relating to additional assessments arising from Post Clearance Audits and value uplift are covered in this manual.

10.1.4.2 Alternative Dispute Resolution as provided in Article 159 (2) (c) of the Constitution of Kenya, Section 55 of the Tax Procedures Act (TPA) No. 29 of 2015 and Section 28 of the Tax Appeals Tribunal Act 2013.

10.1.5 ABBREVIATIONS

ACS – Assessment Case Summary

ADR – Alternative Dispute Resolution

CAP - Chapter

CIFH – Commissioner’s Invitation for Hearing

CM – Chief Manager

C&BC – Customs & Border Control Department

DC- Deputy Commissioner

DTD – Domestic Taxes Department

EACCMA – East African Community Customs Management Act

EGMS – Excise Goods Management System

I & E – Investigations and Enforcement

IRO-Independent Review of Objections

ORC- Objection Resolution Committee

ORS-Objection Review Submission

PIN - Personal Identification Number

SEC - Section

TDR – Tax Dispute Resolution

TDRD – Tax Dispute Resolution Division

TPA – Tax Procedures Act

VAT – Value Added Tax

10.1.6 DEFINITIONS

10.1.6.1 Alternative Dispute Resolution

Settlement of tax disputes outside the Tax Appeals Tribunal or Court with the permission of such bodies upon application of any of the disputing parties. The disputing parties in this case are the Commissioner and the Taxpayer.

10.1.6.2 Appeal

An appeal as defined by section 2 of the TPA or an application for review of the Commissioner's decision/omission under Section 229 (1) of EACCMA 2004.

10.1.6.3 An objection

An expression of dissatisfaction by a Taxpayer with a Tax decision.

10.1.6.4 Appealable decision

An appealable decision as defined by section 2 of the TPA.

10.1.6.5 Commissioner

Commissioner for Legal Services & Board Coordination.

10.1.6.6 Chief Manager

Where the context so admits means regional head of IRO or Chief Manager in charge of teams.

10.1.6.7 Facilitator

A person in charge of facilitating the ADR discussion

10.1.6.8 EJuris

KRA's Integrated Legal Services Management System.

10.1.6.9 IRO Head Office

The office of the head of Tax Dispute Resolution

10.1.6.10 Movement Register

A register showing the movement of documents/files from one officer to the other.

10.1.6.11 Objection Resolution Committee

The committee that reviews and approves the issuance of an objection decision.

10.1.6.12 PIN

Personal Identification Number.

10.1.6.13 Parties

The Taxpayer and Revenue Commissioners.

10.1.6.14 Regional Office

KRA regional offices outside Nairobi.

10.1.6.15 Revenue Commissioners

Commissioner for Domestic Taxes, Commissioner for Investigations & Enforcement and Commissioner for Customs & Border Control.

10.1.6.16 Regional Head

The Chief Manager or any other person in-charge of IRO in KRA's established regions.

10.1.6.17 Settlement proposal

A proposal tabled by the parties to ADR discussions to be considered towards resolution of a dispute.

10.1.6.18 Statutory rights

The rights granted to a person by the applicable law. Rights that are defined by the laws of the place in which they are granted to an individual

10.1.6.19 Tax

Tax as defined under the TPA and duty as defined under EACCMA.

10.1.6.20 Tax decision

A tax decision as defined under section 2 of TPA or a decision/omission under Section 229 (1) of EACCMA 2004.

10.1.6.21 Taxpayer

A person other than the Commissioner who is party to the dispute under TDR.

10.1.7 CROSS REFERENCES

1. The Constitution of Kenya 2010
2. The Kenya Revenue Authority Cap. 469 of the Laws of Kenya.
3. The Tax Procedures Act, 2015.
4. The Tax Appeals Tribunal Act, 2013.
5. The Appellate Jurisdiction Act
6. The Income Tax Act, Cap 470.
7. The Value Added Tax Act, 2013.
8. The East African Community Customs Management Act, 2004.
9. The Excise Duty Act, 2015.
10. Excise Duty (EGMS) Regulations
11. Excise Duty (Remissions) Regulations
12. Tax Procedures (Settlement Of Tax Disputes Out Of Court Or Tribunal) Regulations, 2020.
13. Gazette Notice No.12048 of 2018 (Under Sec 51 of the TPA)
14. Gazette Notice No. 1036 of 2019 (Under Sec 229 of the EACCMA 2004)
15. VAT Regulations 2017
16. The Eighth Corporate Plan of the Kenya Revenue Authority

17. The ISO 9001:2015 International Standards.
18. Kenya Revenue Authority Quality Management Systems Requirements.
19. The Alternative Dispute Resolution Framework
20. Performance Contract of the Commissioner – Legal Services & Board Coordination (hereinafter referred to as Commissioner -LS&BC).
21. The TDRD Internal Standards
22. Administrative Guidelines on Submission of ADR applications to Case Review Forum.
23. Departmental Risk Register.

10.1.8 RESPONSIBILITY FOR APPLICATION

The Commissioner– LS&BC shall be the owner of all the processes under this work procedure. Any amendments or overhaul of these procedures shall have the express approval of the Commissioner– LS&BC who is responsible for providing strategic leadership in the formulation and implementation of strategies and policies for the Legal Services and Board Coordination functions as well as discharge the duties of the KRA Board Secretary.

Deputy Commissioner – Tax Dispute Resolution (hereinafter referred to as DC – TDR) who in the absence of the Commissioner - LS&BC and upon delegation of the duties is responsible for the Department. He/She is responsible for overseeing the Functions and Operations of the TDR Division and facilitating complex tax disputes as a senior specialist/independent facilitator.

Chief Manager – Independent Review of Objections (hereinafter referred to as CM –IRO) who is responsible for overseeing the operations of the Independent Review of Objections Unit and offering technical and policy guidance on Objection matters.

Chief Manager – Alternative Dispute Resolution (hereinafter referred to as CM –ADR) who is responsible for effectively managing the implementation of Alternative Dispute Resolution (ADR) initiatives and facilitating ADR discussions.

Manager – Independent Review of Objections (hereinafter referred to as M – IRO) who is responsible for ensuring effective management and implementation of Tax and Customs Dispute Resolution initiatives including the Independent review of Tax and Customs disputes.

Manager – Alternative Dispute Resolution (hereinafter referred to as M – ADR) who is responsible for coordinating Case Review Forums, overseeing preparation of Comprehensive Information Pack (CIP) for facilitators, coordinating ADR administrative operations, revenue related activities, preparing policy briefs, strategies and evaluation of ADR initiatives undertaken and facilitating simple tax disputes.

Assistant Manager – Independent Review of Objections (hereinafter referred to as AM – IRO) who is responsible for review of the objections as well as offering guidance and supervision of the team.

Assistant Manager – Alternative Dispute Resolution (hereinafter referred to as AM – ADR) who is responsible for participating in the implementation of Dispute Management and Alternative Dispute Resolution (ADR) Initiatives and other activities in the Division.

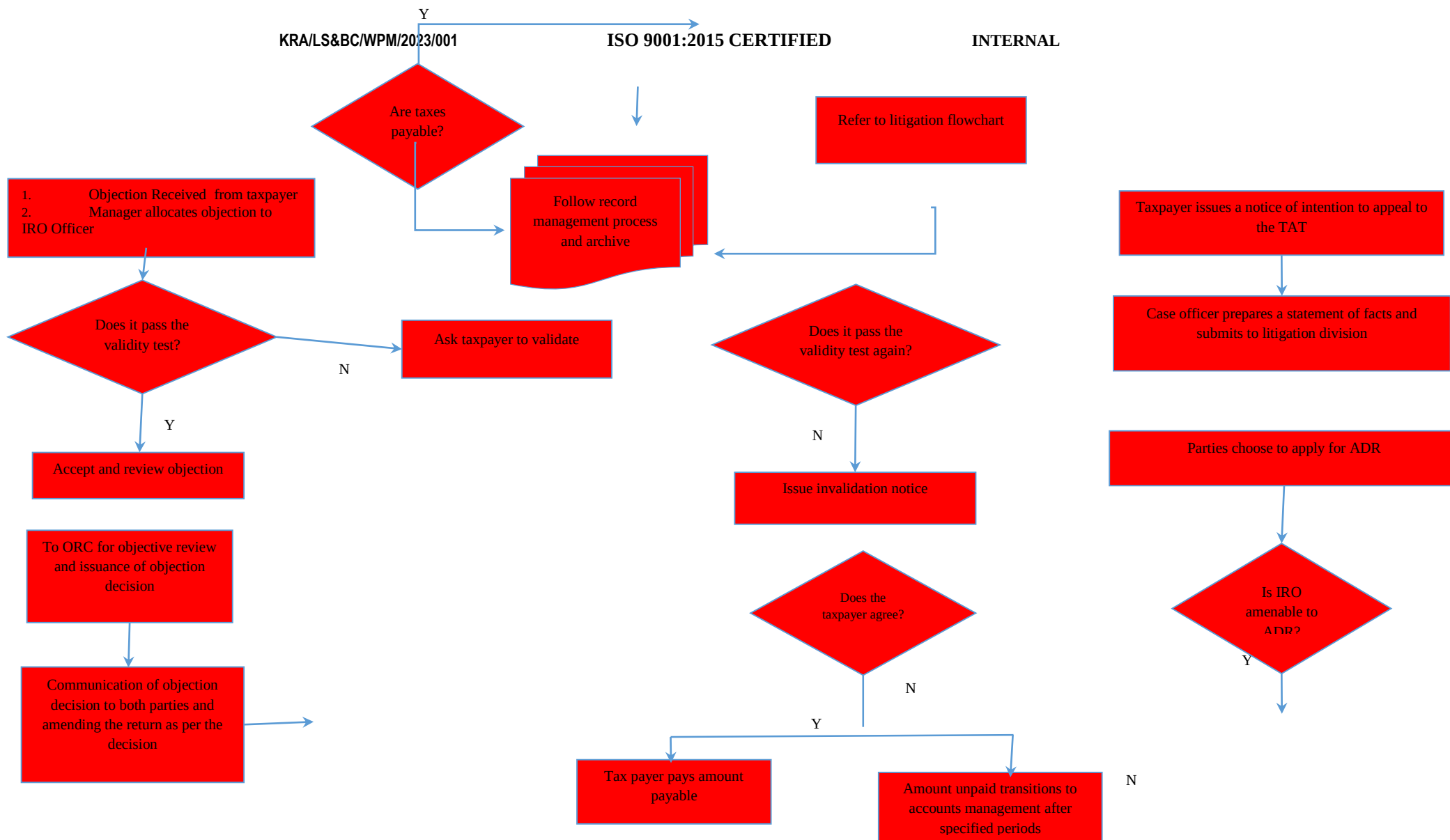
Supervisor – Independent Review of Objections (hereinafter referred to as S – IRO) who is responsible for review of records and making recommendations for appropriate solutions on objection cases

Supervisor – Alternative Dispute Resolution (hereinafter referred to as S – ADR) who is responsible for, preparing reports and information packs for Alternative Dispute Resolution (ADR) and implementing Dispute Management Initiatives and other activities in the Division.

Officer Independent Review of Objections (hereinafter referred to as O – IRO) who is responsible for review of records and making recommendations for appropriate solutions on objection cases

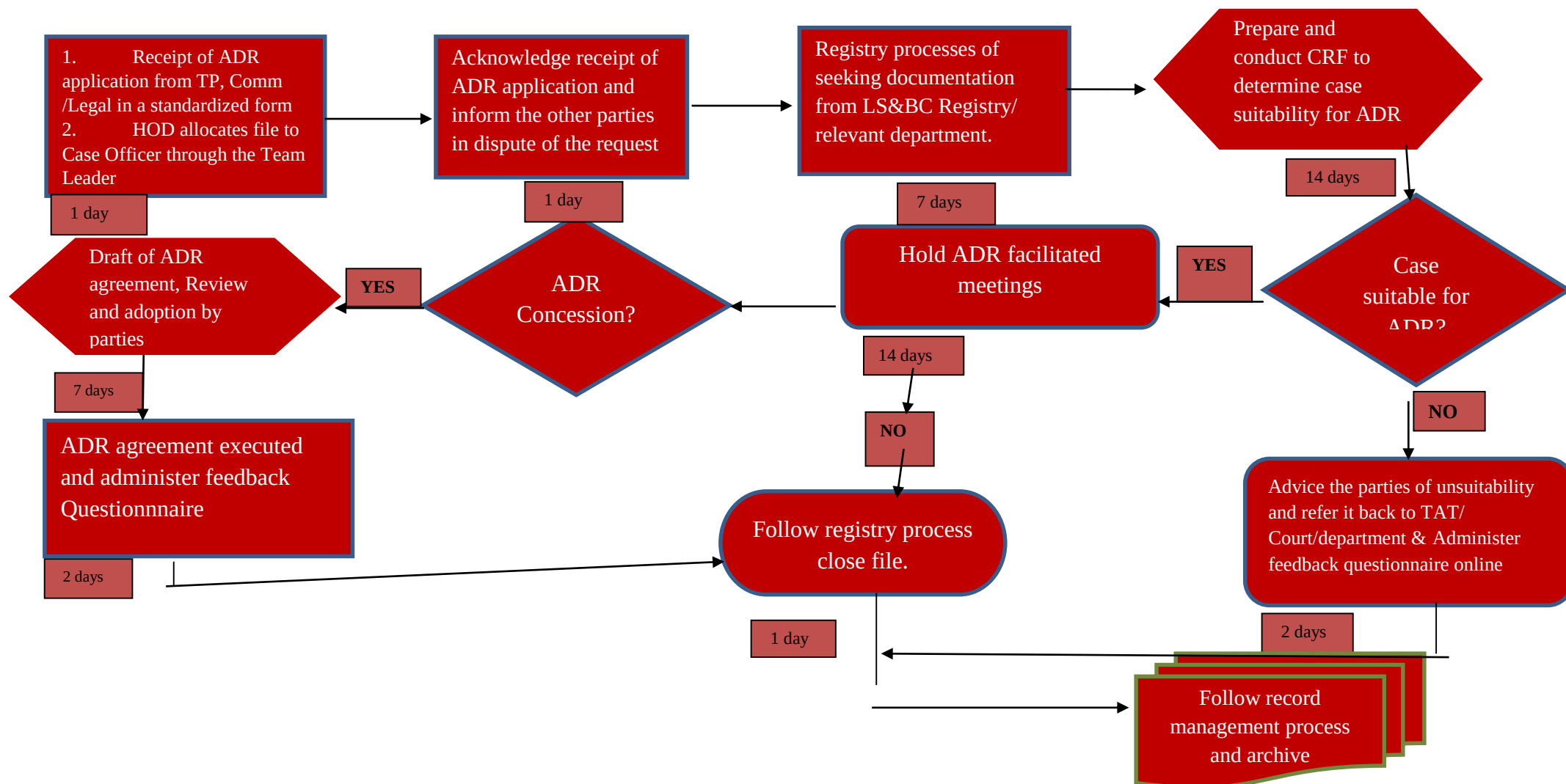
10.1.9 STEPWISE PROCEDURES

KRA/LS&BC/WPM/2023/001 ISO 9001:2015 CERTIFIED INTERNAL





ISO 9001:2015 CERTIFIED

(b) Alternative Dispute Resolution

10.1.10 PROCESS INDEPENDENT REVIEW OF OBJECTIONS**10.1.10.1 Objections under Section 51 of the TPA**

1. Receipt and allocation of objections
2. The IRO Office shall receive Objections filed through i-Tax and/or manually as per section 51(3) of the TPA.
3. The objection shall be allocated to the IRO officer by the Manager in charge of allocation within three (3) days of receipt.
4. Where the Taxpayer applies for extension of time to lodge an objection under section 51(6) of the TPA, the IRO Officer shall review the grounds of the application together with the supporting documentation and make a recommendation through a submission to the Manager to accept or reject the application within fifteen (15) days of allocation
5. The IRO Officer shall notify the taxpayer of the outcome within five (5) days upon approval of the recommendation by the Manager with a request to file a valid objection as per section 51(3) of TPA or a rejection to file a late objection.

10.1.10.2 Review of objection for validity

1. Within three (3) days of receipt of an objection, the IRO Officer shall request for the following documents from the Revenue Commissioner/Assessing Officer: Tax Decision/Notice of assessment, settlement proposal report (SPR), Excel or other workings supporting the assessment and any documentary evidence that is crucial in arriving at an informed decision.
2. The Revenue Commissioner shall furnish the requested documents specified in 9.1.10.2.1 above to the IRO Officer within five (5) days of the request. In the event that the Revenue Commissioner does not provide the documents within ten (10) days of request, the IRO Officer shall escalate the matter to the Chief Manager through the Manager for intervention.

3. Within ten (10) days of allocation, the IRO Officer shall review the objection and documentation provided by the taxpayer to determine whether the objection is valid as per Section 51(3) of the TPA and communicate to the taxpayer within seven (7) days of receipt. Where the objection is not valid, the IRO Officer shall, not later than the seventh day of receipt of the objection notice, notify the taxpayer of that the notice of objection is invalid, the condition(s) which has/have not been met and request the Taxpayer to validate the notice of objection within five (5) days. All invalid objections shall be invalidated within fourteen (14) days of receipt.

4. Where a taxpayer is unresponsive, invalid applications shall be forwarded for enforcement measures within forty four (44) days from the date of issuance of an invalidation notice as per section 51(4) of the TPA.

10.1.10.3 Review of valid Objections

1. Where the objection is valid, the IRO Officer shall review the documents provided by the Revenue Commissioner's and the Taxpayer's grounds of objection and prepare an Objection Review Submission (ORS) to the Objection Resolution committee within eighteen (18) days of receipt of all documents. In doing so, the IRO Officer shall engage the parties for any clarification and/or documentation where necessary before making the submission which shall clearly spell out the facts of the case, point at issue, and the legal provisions relied upon, the contentions of the parties, the Officer's observation/opinion and a recommendation for the course of action.

2. The ORC shall review the case and give an objection decision within five (5) days of receipt of the ORS.

3. The Case Officer shall notify the objection decision to the parties and give effect to the decision within five (5) days of approval of the ORS. This communication shall not be later than sixty (60) days after receipt of a valid objection.

4. If dissatisfied with the Objection Decision, the Taxpayer may appeal to the Tax Appeals Tribunal in accordance with Section 52 of the TPA and thereafter apply for ADR.

10.1.10.4 Reviews under Section 229 of EACCMA**10.1.10.5 Receipt and allocation of objections**

1. The IRO Office shall receive Objections filed manually as per section 229(1) and (2) of the EACCMA, 2004.
2. The objection shall be allocated to the IRO officer by the Manager in charge of allocation within two (2) days of receipt.
3. Where the Taxpayer applies for extension of time to lodge an application for review under section 229 (3) of EACCMA, 2004 the IRO Officer shall review the grounds of the application together with the supporting documentation and make a recommendation through a submission to the Manager to accept or reject the application within ten (10) days of allocation as per 229 (3) of EACCMA, 2004.
4. The IRO Officer shall notify the taxpayer of the outcome within two (2) days upon approval of the recommendation by the Manager with a request to file a valid application or a rejection to file a late application.

10.1.10.6 Review of applications for validity

1. Within two (2) days of allocation of the application in 7.1.2.1 above, the IRO Officer shall request for the Assessment Case Summary or approved report that led to the issuance of the Revenue Commissioner's assessment. Such summary/report shall clearly spell out the point at issue, the facts of the case, the legal provisions relied upon, the contentions of the Revenue Commissioner, and any documents relied upon by the Commissioner to make the decision.
2. The Revenue Commissioner shall furnish the Assessment Case Summary to the IRO Office within three (3) days of the request. In the event that the Revenue Commissioner does not provide the case summary within five (5) days of request, the IRO Officer shall escalate the matter to the Chief Manager through the Manager for intervention.
3. Within five (5) days of allocation, the IRO Officer shall review the objection and documentation provided by the taxpayer to determine whether the application is valid as per

Section 229 of EACCMA, 2004 and communicate to the taxpayer but in any event not more than fifteen (15) days after receipt of the application by the IRO Office.

4. Where a taxpayer is unresponsive, invalid applications shall be forwarded for enforcement measures within forty-four (44) days from the date of issuance of an invalidation notice.

10.1.10.7 Review of valid applications

1. The IRO Officer shall review the Assessment Case Summary and the Taxpayer's grounds of objection and prepare an ORS to the Objection Resolution Committee within ten (10) days of receipt of all documents. In so doing, the IRO Officer shall engage the parties for any clarification and/or documentation where necessary before making the submission which shall clearly spell out the facts of the case, point at issue, and the legal provisions relied upon, the contentions of the parties, the Officer's observation/opinion and a recommendation for the course of action.

2. The Objection Resolution Committee shall review the case and issue a Commissioner's decision within four (4) days within two (2) days from receipt of the ORS.

3. The Case Officer shall notify the Commissioner's decision to the parties within two (2) days of approval by the ORC subject to the timelines stipulated under Section 229 (4) of the EACCMA, 2004.

4. The Taxpayer may appeal to the Tax Appeals Tribunal in accordance with Section 230 of EACCMA, 2004 if dissatisfied with the decision and thereafter apply for ADR.

10.1.10.8 Constitution and conduct of Objection Resolution Committee (ORC)

1. The ORC shall be constituted to review cases presented by IRO Officers, give technical guidance, directions and issue Objection Decisions.

2. ORC Membership shall be limited to the Chief Managers and Managers in IRO.

3. The ORC shall comprise a minimum of Eight (8) and a maximum of fifteen (15) members.

4. The quorum in a particular sitting shall be fifty percent (50%) plus one (1) member.
5. Members shall review the agenda and declare conflict before commencement of the ORC meeting as per the group assignment conflict of interest form.
6. The Head of IRO or his appointed representative shall Chair the ORC. At the sitting of ORC, the case officer shall not be the Chair of the session.
7. The Head of IRO shall appoint a person to provide secretarial services to the ORC. Such a person shall not have voting powers in the ORC.
8. There shall be only one (1) ORC sitting in Nairobi which shall deliberate and rule on all cases including those coming from the regions outside Nairobi.
9. The ORC meetings shall be held every Thursday and may be constituted on any other day on a need basis as may be communicated by the Head of IRO.
10. Where there are deferring opinions on a matter at the ORC, the matter shall be put to vote.
11. The ORC may consult a subject matter expert before making the objection decision.

10.1.10.9 Review of Objections arising from Investigations and Enforcement Department

1. In any case where objections are received arising from tax or customs decisions from the I&E Department, the IRO officer shall return such objections to the I&E Department and advise the taxpayer within five (5) days of allocation.
2. In the event that this function is rolled over to IRO, the procedure prescribed for DTD and EACCMA objections shall apply.

10.1.11 DOCUMENTED INFORMATION RETAINED

The IRO officer shall keep a record of all documents in the relevant file and later move the file to the registry for archive within the stipulated timelines.

10.1.11.1 ALTERNATIVE DISPUTE RESOLUTION

1. **Receipt and Allocation of ADR Applications** - The Alternative Dispute Resolution Office shall receive the ADR application from the parties in a standardized form and open a file within one (1) day. The file will be forwarded to the DC-TDR who will allocate the file to the respective Officer through the Team Leader.
2. **Receipt and Notice to Parties** - The Case officer shall acknowledge receipt of the ADR application and inform the other party in dispute of the request within one (1) day.
3. **Registry Process of seeking for Documentation** - The Manager – Reg. shall provide documentation related to the case within seven (7) days.
4. **Preparation and Conduct of Case Review Forum** - The Case officer shall prepare and conduct the Case Review Forum to determine suitability for ADR within fourteen (14) days of receipt of the ADR application. Presentation of CRF submissions shall be guided by the Administrative Guidelines on Submission of ADR Applications to Case Review Forum (CRF).
5. **Disputes found Unsuitable for ADR** - If the dispute is found unsuitable for ADR, the Case Officer shall advise the parties of the unsuitability and refer it back to TAT/ Court/department and Administer a feedback questionnaire within two (2) days. Within one (1) day, the Case Officer shall forward the file to the Registry Officer who shall follow the registry process to close the file. The Registry Officer shall then follow the records management process and archive.
6. **Disputes found Suitable for ADR** - If the case is found suitable for ADR, the Case Officer shall schedule meetings within fourteen (14) days of the determination of such suitability and/or allocation of a facilitator.
7. **No ADR Concession** - Where there is no concession, the Case Officer shall advise the parties and refer it back to TAT/ Court/department & Administer a feedback questionnaire online within two (2) days. Within one (1) day, the Case Officer shall forward the file to the Registry Officer who shall follow the registry process to close the file. The Registry Officer shall then follow the records management process and archive.

8. **ADR Concession** - Where there is a concession, a draft ADR agreement shall be prepared by the Case Officer and circulated for review and adoption by parties within seven (7) days.

9. **Circulation of ADR agreement** - The Case Officer shall circulate the ADR Agreement to the parties and Facilitator for execution and administer a feedback questionnaire within five (5) days. Within one (1) day, the Case Officer shall forward the file to the Registry Officer who shall follow the registry process to close the file. The Registry Officer shall then follow the records management process and archive.

10.1.12 INPUTS

1. Qualified, experienced and trained staff.
2. Requests for Alternative Dispute Resolution (ADR).

10.1.13 OUTPUTS

1. Tax Disputes successfully concluded/settled.
2. Improved Revenue collection.
3. Decrease in tax disputes referred to the Tax Appeals Tribunal and/or Courts.

10.1.14 RESOURCES

1. Adequate Budget.
2. Adequate staff as per structure.
3. Working environment and space.
4. Computers at a ratio of 1:1.
5. Furniture as per the grading structure.
6. Stationery and office equipment.
7. Internet connectivity.

10.1.15 KEY PERFORMANCE INDICATORS

1. Number of objections reviewed and on time.
2. Number of disputes resolved through the Alternative Dispute Resolution process.

10.1.16 RISKS

Risk - Refer to the Departmental Risk Register.

10.1.17 OPPORTUNITIES

1. Collaboration with other Departments
2. Recognition and awards

10.1.18 DOCUMENTED INFORMATION RETAINED

1. A record of all the documents sent out for action will be kept in the relevant file and later moved to the archives within an agreed time.
2. The Team Leader, Reviewers and Case officers shall ensure an accurate record of all files allocated to them is maintained and updated in the Ejuris system.

10.1.19 FILING

1. **Receiving the document** - For any mail (letter or document), the Manager – Reg. will record the same in the "mail received" register in the computer, the date received and stamped using the office stamp.
2. **Action** - The Secretary on duty will forward the mail to the DC - TDR or the officer acting in that capacity before it is forwarded to the relevant Division or the Acting Head of Department for necessary action and record a reminder for follow up after ten (10) working days.
3. **Collecting Documents to be filed** - The dealt with documents are put in the out tray and dispatched to their destination. The Secretary is responsible for putting copies of the same

in the relevant files and recording the document for follow up within a maximum of two weeks, where applicable.

10.1.20 ATTACHMENTS

1. Request for Submission.
2. Objection Decision Template.
3. Invalidation Letter Template – Tax Not in Dispute Not Paid
4. Invalidation Letter Template – Extension of Time to Lodge an Objection.
5. Invalidation Letter Template – Unsupported Objection.
6. Application for Alternative Dispute Resolution by the Taxpayer Template
7. Application for Alternative Dispute Resolution by the Commissioner Template.
8. Alternative Dispute Resolution Amenability Request form to the Commissioner Template
9. Alternative Dispute Resolution Re-application Amenability Request form to the Commissioner Template.
10. Alternative Dispute Resolution Amenability Request form to the Taxpayer Template.
11. Alternative Dispute Resolution Case Review Forum Submission Template.
12. Alternative Dispute Resolution Progress Report Template.
13. Guidelines on Submission of ADR applications to Case Review Forum.

ACS**KRA/TDR/IRO/001**

TO: (Head of Assessing Unit)**FROM:** (Head of IRO)**DATE:**

RE: REQUEST FOR SUBMISSION**TAXPAYER PIN:****TAXPAYER NAME:**

The Taxpayer has objected to default/amended/additional assessment below.

S.No	Assessment No/ Customs Entry	Assessment Period	Amount

Kindly provide us with the Approved Report leading to the issuance of the above assessment to enable us to review the objection. The report should be able to shed light on the following issues.

1. Brief background of the Case
2. Facts of the Case
3. Point at Issue
4. Relevant Legislation relied upon in arriving at the Decision
5. Documents relied upon in arriving at the Decision
6. Officer responsible for the Case

Head of IRO

**LEGAL SERVICES AND BOARD COORDINATION DEPARTMENT
TAX DISPUTE RESOLUTION DIVISION**

XX.XX.XXXX

Our Ref: A/P0000000001X

The Managing Director,

Taxpayer 1,

P.O Box XXX, xxx

City 1.

Dear Sir,

Re: Objection Decision

Reference is made to your objection application notice dated xx xx xxxx in relation to Income Tax, Value Added Tax (VAT), PAY as You Earn (PAYE), Excise Tax, and Withholding Tax (WHT) assessments as summarized below:

1. Income Tax

	2016	2017	2018	2019	2020	

2. VAT

3. PAYE

4. Excise

5 WHT

1.0 Basis of Assessment

“The assessment was based on *(narrate the basis of assessment in brief)*. The basis of assessment was explained in detail in the Commissioner’s Notice of Assessment dated xx xx xxxx.”

The basis of assessment should include:

- *A brief account of the assessing Commissioner’s grounds of assessment. Refer the taxpayer to the Notice of assessment to avoid contradiction*
- *This narration should reflect the Commissioner’s assessment to the taxpayer making reference to the legal provisions and tax principles relied on.*
- *Each ground should be handled individually.*

N/B: The narration can also be directly lifted from the Commissioner’s assessment to avoid contradiction.

2.0 Grounds of Objection

You objected and contested the Commissioner’s assessments based on the following grounds;

- *State in a summarized form all the grounds advanced by the taxpayer in his/her/its objection notice*

Your grounds of objection have been carefully considered and pursuant to Section 51 of the Tax Procedures Act, 2015 the Commissioner’s decision is as communicated below.

3.0 Statement of Findings

We made the following observations and deductions upon review of your grounds of objection and evidence adduced:

- *Give precise, clear and concise responses that address the grounds of objection*
- *Address all the grounds raised by the taxpayer without skipping a single ground. For logical flow, address the grounds of objection in the sequence narrated by the taxpayer.*
- *Your address must clearly state whether the ground of objection succeeds or not. If it does not succeed, then give clear reasons why the Commissioner has rejected the ground.*
- *Computations and results of testing of evidence adduced must be included here. If possible to quantify the tax confirmed/allowed after review of the ground, then clearly show the tax computation.*
- *Attach annexes of workings*
- *State the dates documents were provided – to clearly show when the last information was supplied.*
- *In the case of late objections state when the late objection was accepted*

4.0 Our Decision

In light of the above, your objection application has been allowed in full/fully rejected/partially accepted. Tax payable is summarized in the following table:

- *Include a table showing the confirmed assessment for each tax initiative clearly defining principal tax, interest and penalties*
- *Include a disclaimer on interest – that it varies with passage of time principal tax stays unpaid*

Please note that the outstanding interest may vary based on the passage of time.

I wish to advise that the objection decision above is limited to documents examined and conclusions drawn from them. KRA reserves the right to review your tax affairs where new information becomes available. Kindly note that areas not reviewed will be open to any KRA inquiry to ensure compliance with the tax laws.



“If you wish to appeal to this decision you may do so to the Tax Appeals Tribunal in accordance with the provisions of the Tax Appeals Tribunal Act 2013”. Should you however wish to engage the Commissioner after lodging the appeal, you may apply for the case to be reviewed under Alternative dispute resolution as provided under section 55 of the Tax Procedures Act 2015. (note: If the case is not suitable for ADR based on existing guidelines then avoid inviting the taxpayer to apply for ADR)

In case of any clarifications, do not hesitate to contact us on mail, email to (Case officers email address) aaaaa.jjjjjj@kra.go.ke with a copy to (manager's email address) ttttt.yyyyyy@kra.go.ke or visit us on 2nd floor, Ushuru Pension Towers, Block B, Upper hill, Elgon Road, Nairobi. You can also reach the undersigned (CM/Manager) on 0709xxxxxx or (case officers name) on 0709xxxxxx.

Yours faithfully

(Chief Manager/Manager for Regions Name)

For: COMMISSIONER OF LEGAL SERVICES & BOARD CO-ORDINATION

C.C.

1. Assessing Commissioner

2. Tax Agent

3. Any other authorized stakeholder

XX.XX.XXXX

PIN: A/PXXXXXXXXXX

Taxpayer

P.O. Box xxxx – xxx,
CITY 1.

Dear Sir / Madam,

**RE: OBJECTION APPLICATION AGAINST CORPORATION INCOME
TAX/VAT/ PAYE/WITHHOLDING TAX/EXCISE ASSESSMENTS OF
KSHS. XXXXXXXXXXXXX**

I refer to your notice of objection application dated xx.xx.xxxx in response to Income Tax- Resident/Income Tax – Company/Value Added Tax/Pay as You Earn/Withholding Tax/Excise Tax additional assessments raised on iTax on xx.xx.xxxx and our emails dated xx.xx.xxxx and xx.xx.xxxx.

I note with regret that you have failed to settle the proportion of the assessment that is not in dispute. In light of the foregoing, your application is declared invalid as it fails to meet the requirements of section 51 (3) of the Tax Procedures Act 2015 that states;

(3) A notice of objection shall be treated as validly lodged by a taxpayer under subsection (2) if—

(a) the notice of objection states precisely the grounds of objection, the amendments required to be made to correct the decision, and the reasons for the amendments;

and (b) in relation to an objection to an assessment, the taxpayer has paid the entire amount of tax due under the assessment that is not in dispute, or has applied for an extension of time to pay the tax not in dispute under section 33(1) (emphasis added).

(c) all the relevant documents relating to the objection have been submitted

In this regard, the Commissioner hereby declines to grant the application sought. The principal Income Tax/VAT/PAYE/WHT/Excise liability of **Kshs. xxxxxxxxxxxx** together with the accrued penalty and interest as at the date of this letter remains due and payable as per the assessment.

Yours faithfully,

(Name of Chief Manager)

For: COMMISSIONER OF LEGAL SERVICES & BOARD CO-ORDINATION



xx.xx.xxxx

PIN: A/Pxxxxxxxxx

Taxpayer

P.O. Box xxxx – xxx,

City 1.

Dear Sir / Madam,

**RE: APPLICATION FOR EXTENSION OF TIME TO LODGE AN
OBJECTION NOTICE AGAINST CORPORATION INCOME TAX/PAYE/
VAT/ WITHHOLDING TAX/EXCISE ASSESSMENTS OF KSHS.**

xxxxxxxxxxxxx

I refer to your application for an extension of time to lodge a notice of objection dated xx.xx.xxxx in response to Income Tax- Resident/Income Tax – Company/Value Added Tax/Pay as You Earn/Withholding Tax/Excise Tax additional assessments raised on iTax on xx.xx.xxxx and our emails dated xx.xx.xxxx and xx.xx.xxxx.

I note with regret that you have failed to state any grounds let alone those prescribed in Section 51 (7) of the Tax Procedures Act 2015 in support of your application for the extension of time to file a notice of objection. The cited section states that:

The Commissioner may allow an application for the extension of time to file a notice of objection if—

(a) the taxpayer was prevented from lodging the notice of objection within the period specified in subsection (2) because of an absence from Kenya, sickness or other reasonable cause; and

(b) the taxpayer did not unreasonably delay in lodging the notice of objection.

In this regard, the Commissioner hereby declines to grant the application sought. The principal Income Tax/VAT/PAYE/WHT/Excise liability of **Kshs. xxxxxxxxxxxx**

together with the accrued penalty and interest as at the date of this letter remains due and payable as per the assessment.

Yours faithfully,

(Name of Chief Manager)

For: COMMISSIONER OF LEGAL SERVICES & BOARD CO-ORDINATION

XX.XX.XXXX

PIN: A/PXXXXXXXXXX

Taxpayer

P.O. Box xxxx – xxx,

CITY 1.

Dear Sir / Madam,

**RE: OBJECTION APPLICATION AGAINST CORPORATION INCOME
TAX/PAYE/ VAT/ WITHHOLDING TAX/EXCISE ASSESSMENTS OF
KSHS. XXXXXXXXXXXXX**

I refer to your notice of objection application dated xx.xx.xxxx in response to Income Tax- Resident/Income Tax – Company/Value Added Tax/Pay as You Earn/Withholding Tax/Excise Tax additional assessments raised on iTax on xx.xx.xxxx and our emails dated xx.xx.xxxx and xx.xx.xxxx.

I note with regret that you have failed to avail the following supporting documents as requested in our previous communications to you:

1.
2.
3.

In light of the above, your application is declared invalid as it fails to meet the requirements of section 51 (3) of the Tax Procedures Act 2015 that states;

(3) A notice of objection shall be treated as validly lodged by a taxpayer under subsection (2) if—

(a) the notice of objection states precisely the grounds of objection, the amendments required to be made to correct the decision, and the reasons for the amendments;

and (b) in relation to an objection to an assessment, the taxpayer has paid the entire amount of tax due under the assessment that is not in dispute, or has applied for an extension of time to pay the tax not in dispute under section 33(1).

*(c) **all the relevant documents relating to the objection have been submitted.***
(emphasis added)

In this regard, the Commissioner hereby declines to grant the application sought. The principal Income Tax/VAT/PAYE/WHT/Excise liability of **Kshs. xxxxxxxxxxxx** together with the accrued penalty and interest as at the date of this letter remains due and payable as per the assessment.

Yours faithfully,

(Name of Chief Manager)

For: COMMISSIONER OF LEGAL SERVICES & BOARD CO-ORDINATION

KRA/TDR/ADR/001A**APPLICATION FOR ALTERNATIVE DISPUTE RESOLUTION****Purpose:**

To apply for Alternative Dispute Resolution proceedings in accordance with the procedures contemplated in the;

1. Constitution of Kenya, 2010; Article 159 (2) (c).
2. Tax Appeals Tribunal Act, 2013 (Section 28).
3. Tax Procedures Act, 2015 (Section 55).
4. Tax Procedures (Settlement of Tax Disputes out of Court or Tribunal) Regulations, 2020.
5. Kenya Revenue Authority ADR Framework, 2018.

Notes:

1. Where the application is made by a Tax Representative, attach a letter of authority from the Taxpayer giving consent to be represented for purposes of ADR deliberations.
2. Where the space provided is insufficient, please make use of an extension page and attach it to this application form.
3. Pages attached are to be sequentially numbered and the total number thereof stated in the field provided.
4. Please note that you may select more than one box.



5. The completed form and attachments are be delivered to the Tax Dispute Resolution office at **Ushuru Pension Towers**, Block B, 7th Floor, Elgon Road – Upper Hill, P .O. Box 48240 - 00100 Nairobi **or** scanned and e-mailed to ADR@KRA.GO.KE

A: Details of Applicant (For purposes of further correspondence)

Name of the Taxpayer	PIN:	E-mail address	Telephone No.
Name of Tax Representative (if applicant)	PIN:	E-mail address	Telephone No.

B: Address for delivery of documents

Registered business name or name of applicant/Tax representative			
Postal address		Code	
Physical address			
E-mail address			
Business Telephone Number			

C: Status of dispute: (Indicate with an 'X' in the applicable block(s))

Is the dispute before;	i. Tax Appeals Tribunal (TAT)		Appeal number	
	ii. Court (High Court or Court of Appeal)		Court Reference number	



If 'Other' please specify											
D: Name of Department/Region/Tax Service Office (TSO) originating the tax dispute											
Department				Region				Tax Services Office			
E: Nature of dispute: (Indicate with an 'X' in the applicable block(s))											
Customs Duty		Income Tax		Excise Duty		VAT		Penalty		Refunds	
If 'Other' please specify											
Period of Assessment(s))				Date of Assessment(s)				Date of Objection(s)			
Amount of tax in dispute						Date of objection decision(s)					
F: Grounds for ADR application:											
1.											
2.											
3.											
4.											
5.											
6.											
G: Please attach appeal documents											
(Memorandum of Appeal, <i>Statement of Facts</i> , <i>Commissioner's decision appealed against</i> and any other relevant documentation)											
H: Please attach a settlement proposal (if any)											

I: No. of pages attached to this form (if any)

J: Declaration:

I hereby apply that the above matter be admitted for resolution through the Alternative Dispute Resolution process and declare that;

- 1) I have fully stated the grounds upon which ADR is being applied for; and
- 2) I have provided/attached relevant documentation in support of my application.

K: Completed by:

Full Name (s)

Signature

Title

Date



INTERNAL

ISO 9001:2015 CERTIFIED

KRA/TDR/ADR/001B

APPLICATION FOR ALTERNATIVE DISPUTE RESOLUTION BY THE
COMMISSIONER**Purpose:**

To apply for Alternative Dispute Resolution proceedings in accordance with the procedures contemplated in the;

1. Constitution of Kenya, 2010; Article 159 (2) (c).
2. Tax Appeals Tribunal Act, 2013 (Section 28).
3. Tax Procedures Act, 2015 (Section 55).
4. Tax Procedures (Settlement of Tax Disputes out of Court or Tribunal) Regulations, 2020.
5. Kenya Revenue Authority ADR Framework, 2015

Notes:

1. Where the space provided is insufficient, please make use of an extension page and attach it to this application form.
2. Pages attached are to be sequentially numbered and the total number thereof are to be stated in the field provided.
3. Please note that you may select more than one box.
4. The completed form and attachments are to be delivered to the Tax Dispute Resolution office at **Ushuru Pension Towers**, Block B, 7th Floor, Elgon Road – Upper Hill, P.O. Box 48240 - 00100 Nairobi or scanned and e-mailed to ADR@kra.go.ke



A: Details of Applicant (For purposes of further correspondence)			
Full Name (s)		Telephone No.	E-mail Address
TSO Head			
Manager/Supervisor			
Case Officer			

B: Name of Department/Region/Tax Service Office (TSO) originating the tax dispute		
Department	Region	Tax Service Office

C: Details of the Taxpayer			
Registered business name		PIN:	
Email Address			
Telephone Number			
Tax Agent			

D: Nature of dispute: (Indicate with an 'X' in the applicable block(s))											
Customs Duty		Income Tax		Excise		VAT		Penalty		Duty	
Refunds		If 'Other' please specify									
Period of Assessment(s)						Date of Assessment(s)					

Date of Objection(s)		Date of objection decision(s)	
Amount of tax in dispute			

E: Status of dispute: (Indicate with an 'X' in the applicable block(s))				
Is the dispute before;	Tax Appeals Tribunal (TAT)		Appeal number	
	Court (High Court or Court of Appeal)		Court Reference number	

F: Grounds for ADR application:
1.
2.
3.
4.
5.
G: Please attach any relevant documents (Assessment (s), objection (s), objection decision(s), instructions from the originating department to Legal Services Division and any other relevant documentation)
H: No. of pages attached to this form (if any)

I: Prepared by:

Full Name (s)

Signature

Designation

Date

J: Reviewed by:

Full Name (s)

Signature

Designation

Date

INTERNAL

KRA/TDR/ADR/002A**TAX DISPUTE RESOLUTION DIVISION****ALTERNATIVE DISPUTE RESOLUTION AMENABILITY REQUEST FORM****Purpose**

The purpose of this form is to seek amenability for Alternative Dispute Resolution (ADR) proceedings in accordance with the procedures contemplated in the;

1. Constitution of Kenya, 2010; Article 159 (2) (c).
2. Tax Appeals Tribunal Act, 2013 (Section 28).
3. Tax Procedures Act, 2015 (Section 55).
4. Tax Procedures (Settlement of Tax Disputes out of Court or Tribunal) Regulations, 2020.
5. Kenya Revenue Authority ADR Framework, 2015.

FILE REFERENCE NO:	KRA/TDR/ADR/
DATE:	
Taxpayer's Details	Name of Taxpayer: PIN No: TAT /Court Case No: Tax in Dispute: Tax Agent: Date of ADR application:

Is the Commissioner Amenable? <i>(please tick where applicable)</i>	Yes () No ()
If Yes, outline any document(s) required.	
If No, please provide reasons <i>(If available space allocated is not enough, kindly attach additional sheet(s))</i>	
Did the assessment originate from an I&SO profile?	Yes () No ()
Originating Department TSO/Station <i>(specific office where applicable)</i>	

Name of Officer: _____

Designation: _____ Signature: _____ Date: _____

Telephone No. _____ Extension: _____

Contact person(s) in ADR:

Kindly forward your response by _____ to allow us adhere to the strict timelines prescribed in law.

KRA/TDR/ADR/002B**INTERNAL****TAX DISPUTE RESOLUTION DIVISION****ALTERNATIVE DISPUTE RESOLUTION****RE-APPLICATION AMENABILITY REQUEST FORM****Purpose**

The purpose of this form is to seek amenability for Alternative Dispute Resolution (ADR) proceedings in accordance with the procedures contemplated in the;

1. Constitution of Kenya, 2010; Article 159 (2) (c).
2. Tax Appeals Tribunal Act, 2013 (Section 28).
3. Tax Procedures Act, 2015 (Section 55).
4. Tax Procedures (Settlement of Tax Disputes out of Court or Tribunal) Regulations, 2020.
5. Kenya Revenue Authority ADR Framework, 2015.

FILE REFERENCE NO:	KRA/TDR/ADR/
DATE:	
Taxpayer's Details	Name of Taxpayer: PIN No: TAT /Court Case No: Tax in Dispute: Tax Agent: Date of ADR Re-application:

Reason(s) for the collapse of the previous ADR deliberations <i>(To be filled by ADR)</i>	
Have the reason(s) been addressed? <i>(To be filled by the Commissioner)</i>	Yes () No ()
If No, how do you intend to address the issue(s)?	
Is the Commissioner Amenable? <i>(please tick where applicable)</i>	Yes () No ()
If Yes, outline any document(s) required .	
If No, please provide reasons <i>(If available space allocated is not enough, kindly attach additional sheet(s))</i>	
Did the assessment originate from an I&SO profile?	Yes () No ()
Originating Department TSO/Station <i>(specific office where applicable)</i>	

Name of Officer: _____

Designation: _____ Signature: _____ Date: _____

Telephone No. _____ Extension: _____

Contact person(s) in ADR:

Kindly forward your response by _____ to allow us adhere to the strict timelines prescribed in law.

CONFIDENTIAL**KRA/TDR/ADR/002C****TAX DISPUTE RESOLUTION DIVISION****ALTERNATIVE DISPUTE RESOLUTION AMENABILITY REQUEST FORM****Purpose**

The purpose of this form is to seek amenability for Alternative Dispute Resolution (ADR) proceedings in accordance with the procedures contemplated in the;

1. Constitution of Kenya, 2010; Article 159 (2) (c).
2. Tax Appeals Tribunal Act, 2013 (Section 28).
3. Tax Procedures Act, 2015 (Section 55).
4. Tax Procedures (Settlement of Tax Disputes out of Court or Tribunal) Regulations, 2020.
5. Kenya Revenue Authority ADR Framework, 2018.

FILE REFERENCE NO:	KRA/TDR/ADR/
DATE:	
Taxpayer's Details	Name of Taxpayer: PIN No: Tax Agent:
Commissioner's Details	Department: Region: Tax Services Office:

Nature of the Dispute	Tax in Dispute: Tax Head: TAT /Court Case No:
Is the Taxpayer Amenable to the dispute being handled at ADR? <i>(please tick where applicable)</i>	Yes () No ()

Taxpayer's/Tax Agent Details (for purposes of further correspondence)
Full name(s) _____

Telephone No. _____ Email Address: _____

Designation: _____ Signature: _____ Date: _____

Contact person(s) in ADR:

Kindly forward your response by _____ to allow us adhere to the strict timelines prescribed in law.

KRA/TDR/ADR/003**INTERNAL****CASE REVIEW FORUM SUBMISSION****TAXPAYERS NAME****PIN:****REF: KRA/TDR/ADR/XXX****TAT APPEAL / HIGH COURT APPEAL / COURT OF APPEAL / NO.****DEPARTMENT/DIVISION/STATION****TOTAL TAX IN DISPUTE - KSHS.**

1. **Background**

- To include the nature of business of the Taxpayer and any other background needed while drafting the ADR Agreement.

2. **Basis of the assessment**

To clearly state how the assessment arose: See examples below.

- *The income tax assessment was issued because the taxpayer was a non-filer yet there were WHT credits in the system. The commissioner grossed up the WHT credit to arrive at the taxable income.*
- *The Commissioner noted variances between the income in the VAT returns Vs income in the income tax returns. The variance was subjected to VAT/Income tax.*
- *The commissioner got information on payments from the county government yet the taxpayer had not filed any income tax/VAT returns. The commissioner charged income tax/VAT on the income as per County records but did not consider expenses.*

INTERNAL

3. Dispute Summary

Tax head assessed	Tax in dispute (KSh.)	Period assessed	Assessment date	Objection date/ Application for late objection date	Objection decision date/ Rejection of late objection application date Objection invalidation date/	Notice of Appeal date	Appeal date	ADR application date
Corporate Income Tax								
PAYE								
WHT								

INTERNAL

Customs Duty								
VAT								

4. **Procedural Gaps Identified**

Gap analysis	Proposed action points At CRF	Actions taken before ADR meeting

5. Summary of contentions

Points at issue	Taxpayer's position	Commissioner's position	Way forward
1.	The Taxpayer contends....	The Commissioner contends....	
2.	The Taxpayer contends....	The Commissioner contends....	
3.	The Taxpayer contends....	The Commissioner contends....	
4.	The Taxpayer contends....	The Commissioner contends....	

KRA/TDR/ADR/004
PREJUDICE

WITHOUT CONFIDENTIAL

TAXPAYERS NAME:

PIN: _____

KRA/TDR/ADR/XXX

TAT/COURT APPEAL NO. XX OF 20XX

DTD TSO/C&BCD/IED/LS&BC

TAX IN DISPUTE – KSHS. XXX

PROGRESS REPORT FOR THE VIRTUAL ADR MEETING HELD ON XX/XX/202*

6. **Dispute summary**

Tax head assessed	Tax dispute in (KSh.)	Period assessed	Assessment date	Objection date/ Application for late objection date	Objection decision date/ Rejection of late objection application date Objection invalidation date/	Notice of Appeal date	Appeal date	ADR application date

CONFIDENTIAL
7. ADR deliberations as at xx/xx/ 20xx

Point at issue	Taxpayer's position	Commissioner's position	Way forward
Whether the Commissioner erred in raising additional Corporation Tax/VAT/PAYE for the periods.... based on...	- The Taxpayer/Taxpayer's agent stated that... - The Taxpayer/Taxpayer's agent stated that... - The Taxpayer /Taxpayer's agent stated that...	- The Commissioner stated that the assessment was based on... - The Commissioner stated that...	

ATTENDANCE REGISTER FOR THE VIRTUAL ADR MEETING HELD ON XX/XX/202*

	Name	Organization	Telephone (official/extension)	E-mail address	Signature

1.	Facilitator	ADR - KRA			Virtual Meeting
2.		Taxpayer's company / Audit firm/ Legal Firm			
3.					
4.		Commissioner's TSO / Department e.g. I&E			
5.					
6.		ADR Team			
7.					

**LEGAL SERVICES & BOARD
CO-ORDINATION DEPARTMENT**

TAX DISPUTES RESOLUTION DIVISION

**ADMINISTRATIVE GUIDELINES ON CASE
REVIEW FORUM TO FAST TRACK THE
ALTERNATIVE DISPUTE RESOLUTION
PROCESS**

**FINANCIAL YEAR
2022 – 2023**

DOCUMENT APPROVAL AND SIGN OFF:

<u>PREPARED BY:</u> Doreen Karwitha Manager Alternative Dispute Resolution	Signature: Date:
<u>REVIEWED BY:</u> David Mwangi Deputy Commissioner Tax Dispute Resolution Division	Signature: Date:

APPROVED BY:**CS Paul Muema Matuku****Commissioner****Legal Services & Board Coordination****Signature:****Date:**

DOCUMENT REVISION HISTORY

ISSUE & REV. NO.	SUBJECT OF AMENDMENT	REVIEWED BY AND SIGNATURE	AUTHORIZED BY & SIGNATURE	DATE

LEGAL SERVICES & BOARD CO-ORDINATION DEPARTMENT

11 PREAMBLE

Kenya Revenue Authority (KRA) adopted Alternative Dispute Resolution (ADR) as a method of handling tax disputes outside the judicial and quasi-judicial processes which are costly, acrimonious and time wasting. The form of ADR used by KRA is the facilitative mediation method. Using this method, rather than making recommendations or imposing a decision, the mediator (facilitator) encourages disputants to reach their own voluntary solution by exploring each other's deeper interests.

The ADR section is established under the Tax Dispute Resolution Division (TDR) of Legal Services & Board Co-ordination Department (LS&BC). The section was established in the year 2015 with the mandate of facilitating speedy resolution of tax disputes and early release of revenue for collection.

The ADR process is guided by the Constitution of Kenya, 2010, Tax Procedure Act (TPA) 2015, Tax Appeals Tribunal Act (TATA) 2013, Tax Procedures (Settlement of Tax Disputes out of Court or Tribunal) Regulations 2020, the ADR Framework and the procedures documented in the LS&BC Procedures manual.

These guidelines are meant to facilitate the entrenchment of best practices in dispute resolution, and do not replace the law. Where these guidelines are found to be inconsistent with the law, the law shall prevail.

11.1 CREATION OF THE CASE REVIEW FORUM (CRF)

It is a requirement under the LS&BC Procedures Manual that all matters where disputants seek to engage in ADR be reviewed for suitability at the Case Review Forum (CRF).

Upon creation of the KRA's ADR process, it was noted that Taxpayer's were keen on resolving their tax disputes through the ADR process hence numerous ADR applications were received from interested Taxpayers' at the time. Some of the applications were on matters not related to tax while others were on matters that were unsuitable for ADR as provided in the ADR Framework as follows:

- Where the settlement would be contrary to the Kenyan constitution, revenue laws or any other enabling laws
- Where the matter requires technical or legal interpretation
- Where the matter is of public interest hence the need to have judicial clarification of the disputed issues
- Where there is undisputed judgments and rulings on the matter
- Where a party is unwilling to engage in the ADR process
- Where the matter has criminal elements like fraud.

CRF was created in the year 2016 to review all ADR applications and determine their suitability before the cases are resolved through the ADR process. Matters found to be unsuitable for ADR are referred back to the applicant with clear reasons why they are unsuitable

Besides determining suitability of a matter for ADR, mediators (facilitators) who are well versed with various tax issues are appointed to mediate the cases. The appointment is done during CRF, to ensure that ADR meetings are scheduled without delay.

12 **THE CURRENT PRACTISE AT THE CRF**

The CRF membership comprises Chief Managers and Managers in the ADR section.

The CRF is held once a week and during the forum various case officers present CRF submissions giving the background of the tax disputes, a highlight of the disputed issues and the disputed taxes. Thereafter the CRF members and participants deliberate on the matters and guidance is given by the CRF chair regarding the suitability of the matters for resolution at ADR. Once a matter is deemed suitable for ADR, a mediator (facilitator) is allocated.

13 **EMERGING ISSUES WITH THE CURRENT CRF PRACTISE**

Over time the ADR process has widely been embraced as a method of resolving tax disputes hence large numbers of ADR applications are made. This calls for new ways of hastening the ADR process to ensure ADR matters are resolved in a timely manner.

Some of the ways encompassed to deal with the growing number of applications is holding virtual meetings as opposed to physical ones to maximize on the number of ADR meetings held in a day, and where issues of a similar nature arise during CRF similar guidance is given on how to deal with them expeditiously.

14 **SUITABILITY TEST**

Upon receipt of an ADR application, a request for amenability is sent to the Commissioner who made the objection decision that is the subject of appeal. The Commissioner conducts an ADR suitability test and shares their verdict with ADR. Subjecting the same issues to CRF to determine suitability, amounts to duplication of a test already done by the Commissioner.

Holding the CRF weekly occasions a delay as no ADR meeting can be scheduled before the CRF is held to determine suitability of a matter and allocation of a facilitator. The ADR process is time bound hence the need to cut down on any delays along the process.

15 ADMINISTRATIVE GUIDELINES

The aforementioned challenges have led to the preparation of these administrative guidelines on the role of CRF to avoid redundant processes and hasten the ADR process.

The objective of these guidelines is to reduce the time spent at CRF by limiting the number of cases presented during the CRF. This shall be done by categorization of matters under dispute into two broad categories; technical and non-technical cases. The two categories shall be dealt with as outlined below:

15.1 Non-Technical Matters

- a) These are matters where:
 - The assessment in dispute is a default assessment
 - The dispute arises from reconciliation of figures
 - The Taxpayer had not provided documents at the objection stage
 - The Taxpayer was not engaged at objection stage
 - The objection was invalidated and Commissioner did not make an objection decision
 - The Commissioner declined an application to file an objection out of time
 - The dispute is on Section 42 credits or VAA matters
- b) All applications in respect of non-technical matters shall be determined by the Manager following a submission by the case officer irrespective of the amount of tax in dispute
- c) The Manager shall then prepare a list of such ADR applications and submit to the facilitator allocation committee for assignment of a facilitator.

- d) The Manager shall present the list in the next scheduled CRF meeting for adoption and record.

15.2 **Technical Matters**

- a) These are matters where the Taxpayer is challenging the law relied on by the Commissioner, the principles applied by the Commissioner or the policy adopted by the Commissioner including customs tariff classification matters.
- b) For purpose of learning, all technical matters shall be presented at the CRF where Subject Matter Experts (SME) may be co-opted to give an expert opinion on the matter at hand as regards its suitability for ADR
- c) The above guidelines will ensure that suitability of matters for ADR is determined daily as opposed to weekly, giving parties' ample time to engage both at ADR meetings and during working meetings.